



TRUWORTHS
INTERNATIONAL

2025

**GROUP AND COMPANY AUDITED
ANNUAL FINANCIAL STATEMENTS
AT 29 JUNE 2025**

These annual financial statements were prepared by the finance department of the Truworths International Ltd Group acting under the supervision of EFPM Cristaudo (B.Comm), the Chief Financial Officer of the Group.

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Truworths International Limited

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Truworths International Limited (the Company) and its subsidiaries (which together with the Company constitute the Group), set out on pages 16 to 141, which comprise the consolidated and separate statements of financial position as at 29 June 2025, and the consolidated and separate statements of comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the 52-week period then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group and the Company as at 29 June 2025, and of their consolidated and separate financial performance and their consolidated and separate cash flows for the 52-week period then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB) and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements section of our report. We are independent of the Group and the Company in accordance with the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' (IESBA) International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette No. 49309 dated 15 September 2023 (EAR Rule), we report:

Final Materiality

We define materiality as the magnitude of misstatement in the consolidated and separate financial statements that makes it probable that the economic decisions of a reasonably knowledgeable person would be changed or influenced. We use materiality both in planning the nature and extent of our audit work and in evaluating the results of our work.



Managing Partner: ML Tshabalala

A full list of partners and directors is available on request

B-BBEE rating: Level 1 contribution in terms of the DTI Generic Scorecard as per the amended Codes of Good Practice

Associate of Deloitte Africa, a Member of Deloitte Touche Tohmatsu Limited

INDEPENDENT AUDITOR'S REPORT
To the Shareholders of Truworths International Limited (continued)

Based on our professional judgement, we determined materiality for the consolidated and separate financial statements as follows:

	Group Materiality	Company Materiality
Materiality	R 282 million (2024: R 264 million)	R 671 million (2024: R 787 million)
Benchmark	7.5% of Profit before Tax (2024: 6.5%)	2% of Total Assets (2024: 2%)
Rationale for benchmark applied	A key judgement in determining materiality is the appropriate benchmark to select, based on shareholder interests. We considered which benchmarks and key performance indicators have the greatest bearing on shareholder decisions. We determined that profit before tax remained the key benchmark for the Group and is generally accepted for listed entities. The input factor applied to the benchmark increased in the current year from 6.5% to 7.5%. This was determined by considering supporting benchmarks and the knowledge and history on expected outcomes of the audit. The Company is an investment holding company and our materiality calculation was based on the carrying value of its assets. We believe asset value to be the most relevant measure to users of the separate financial statements.	

Scope of our audit

Our Group audit was scoped by obtaining an understanding of the Group and its environment, including the structure and organisation of the Group, and assessing the risks of material misstatement at the Group level.

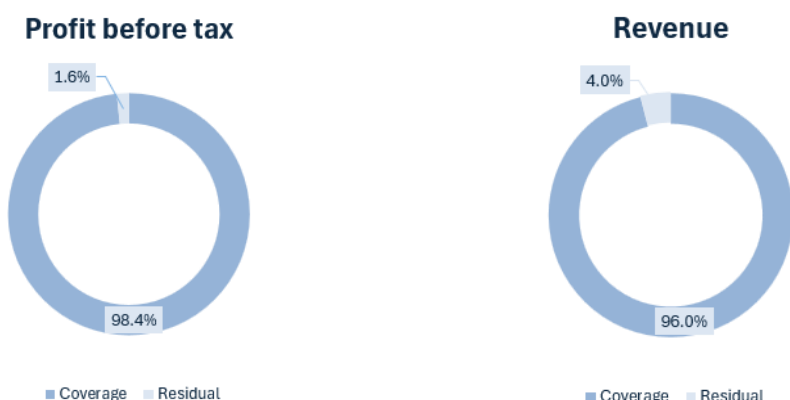
We selected components at which audit work in support of the Group audit opinion needed to be performed in order to provide an appropriate basis for undertaking audit work to address the risks of material misstatement. Our selection was informed by taking into account the component's contribution to relevant classes of transactions, account balances or disclosures.

We performed work on 10 components (2024: 2 components):

- 2 components are audits of the component financial information; and
- 8 components are audits of one or more classes of transactions, account balances or disclosures

Residual values were addressed by risk assessment and analytical procedures performed at a Group level.

The resultant testing accounts for 98.4% of the Group's profit before tax and 96% of the Group's revenue.



INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Truworths International Limited (continued)

Key Audit Matter

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. No key audit matter was identified over the separate financial statements.

In terms of the EAR Rule, we are required to report the outcome of audit procedures or key observations with respect to the key audit matter and these are included below.

Key Audit Matter	How the matter was addressed in the audit
Expected Credit Loss Allowance (Group)	
Trade receivables are unsecured. The level of credit risk accepted by the Group is driven by its ownership and funding of the trade receivables portfolio as well as the retail margin on the underlying sales. Refer to note 1.4 (Use of estimates in the preparation of annual financial statements), note 11 (Trade and Other Receivables) and note 27.4 (Credit Risk Management). Trade receivables are carried at amortised cost and their impairment is measured using the general approach under IFRS 9, i.e., modelling expected credit losses (ECLs). As at 29 June 2025 the Group's trade receivables active portfolio amounted to R6 448 million, against which an ECL allowance of R1 339 million has been raised. The "charged-off" trade receivables portfolio (comprising accounts with low expectation of recovery based on the Group's behavioural credit risk models and rules which have been reported to the credit bureau and moved from the active trade receivables portfolio to a separate portfolio) amounted to R543 million, against which an ECL allowance of R400 million was raised. The measurement of ECL in respect of the Group's active trade receivables portfolio considers the probability and the expected timing of charge-off and the Group's anticipated exposure at the time of charge-off, as well as the likelihood that the asset is: - simultaneously charged-off and written-off (derecognised); or - transferred to the charged-off portfolio, in which regard it further considers the expected timing and estimated cash-flows (net of direct external collection costs) up to the point of write-off. The measurement of ECL in respect of the Group's charged-off trade receivables portfolio considers the Group's exposure to these charged-off trade receivables at reporting date and their associated expected cash-flows (net of direct external collection costs) up to the point of write-off. When measuring the ECL of trade receivables for the Group, the following judgements and estimates are made by management: - The gross loss estimate is based on a prediction of the likelihood of an account entering a charge-off state, along with a forecast of the expected outstanding balance the account will have at the point of being charged off. - The forecasting of balance movements within the portfolio between successive risk states leading to the point of charge-off is estimated using transition matrices using a Markov model approach.	In response to the risk of the impairment of trade receivables in terms of IFRS 9 – Financial Instruments, the following procedures were performed by the audit team utilising appropriately skilled credit and financial modelling specialists where required: - Obtained an understanding of the various assumptions used, the impairment modelling and data management processes, systems and methodologies; - Inspected the model development documentation (i.e., Provision (Markov) model, loss given charge-off (LGCO) model, economic model and expected credit loss (ECL) calculation). - Evaluated, the impairment methodology applied against the requirements of IFRS 9: Financial Instruments; - Evaluated whether the impairment methodology developed has been appropriately applied in the underlying impairment models; - Performed exploratory analytics using the model calibration and application data and performed benchmarking of key metrics against peer portfolios; - Independently reperformed the calculation of each significant component of the ECL based on management's methodology, including expected value and timing of charge-offs from the active portfolio, loss given charge off, stage allocation, the ECL calculation and management overlays to evaluate the accuracy thereof; - Assessed the suitability of the write-off point by determining the average level of post write-off collections relative to a set materiality threshold of 10% (as a ratio of write-off balances). - Assessed the simulation of the effect of management's revised write-off point (implemented in FY24) and using the simulated data in reperforming: - The calibration of the loss given charge-off assumptions. - The validation of the write-off point; - Assessed the reasonability of the most relevant forecasted macroeconomic variables included in the credit models by benchmarking the base scenario forecasts to those of agencies which forecast the same variables - Assessed and benchmarked the appropriateness of the forecasts per cautious and optimistic scenarios and the weightings applied to these scenarios.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Truworths International Limited (continued)

Key Audit Matter	How the matter was addressed in the audit
• The “Loss Given Charge-off” (LGCO) component is management’s estimate of the loss arising on charge-off of trade receivables. It is based on the difference between the contractual cash flows due from a charged-off financial asset and those that the Group would expect to receive up to the point of write-off. • The final ECL is obtained by adjusting the gross loss estimate to account for forward-looking information and the estimated loss given charge-off; and • The “Point of Write-off” is a key input into the ECL model and is estimated by management as the point in time at which the entity has no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. The point of write-off (WO) is when management determines that any recoveries beyond this point are considered “immaterial”. Timing of WO is determined by the arrear status (contractual delinquency bucket), payment recency, economic justification (i.e., cost to collect vs outstanding balance) and is important in selecting the WO point referred to above. The Group uses reasonable and supportable forward-looking information, which is based on assumptions and expert opinion on the future movement of different economic drivers and how these drivers will affect each other. The impact on ECL is assessed based on the latest information available. Management has incorporated forward-looking information in the ECL calculation as follows: • an economic overlay model, developed using linear regressions to model the relationship between macroeconomic indicators and additional variation in the probability of entering a charge-off state that is not explained by the base Markov model estimate; • the potential impact of industry-specific factors, including changes in the regulatory environment as well as the anticipated impact of macro factors; and • management judgement. These forward-looking scenarios were probability weighted based on management’s best estimate of their relative likelihood of occurrence to determine the ECL allowance in the current reporting period. As these assumptions and expert opinions pertain to uncertain future events, significant judgement is present. The ECL of trade receivables are material to the consolidated financial statements in terms of their magnitude, the level of subjective judgement applied by the directors and the effect that they have on the Group’s credit risk management processes and operations. The ECL balance has required significant audit effort as well as extensive use of our credit and financial modelling specialists. It has therefore been identified as a key audit matter.	• Performed an assessment of the adequacy of forward-looking information (“FLI”) adjustments by developing a linear regression model with the portfolio level balance weighted forward transition rate as the response variable. • Used macroeconomic factors as explanatory variables and incorporated forward-looking information in the Markov model by using the forecasted balance weighted forward transitions to accordingly adjust the transition rates in the Markov mode; and • Performed an assessment of the reasonableness of overlays raised by management, based on our understanding of the industry, emerging risks and regulatory changes. Based on our reperformance of the ECL model, we considered effects already taken into account by the ECL model to determine whether the impact of the overlay was not double counted. • For the forward-looking information and scenarios considered, we assessed and benchmarked the appropriateness of the scenarios and weightings applied. This included; – Inspecting the resulting behaviour of historical trends in the credit book under different macroeconomic conditions; and – Analysing the recent book performance and the impact of recent management interventions. Specific attention was given to the following areas: • Data used in the impairment model was reconciled to the source system, • The appropriateness of the disclosures included in the consolidated financial statements was evaluated in accordance with the requirements of IFRS 7: Financial Instruments: Disclosure. • Obtained an understanding of the overall governance structures and committees in place that oversee both the base model and management overlays; • Assessed the design, implementation and operating effectiveness of controls over the management overlays and those of the base model; and • Tested the automated controls over the debtors’ system for design, implementation and operating effectiveness, with the assistance of IT audit specialists. Based on our audit work performed, we found the allowance for expected credit losses to be reasonable and the disclosures included in the consolidated financial statements to be appropriate, as set out in notes 1.4, 11 and 27.5.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Truworths International Limited (continued)

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "Group and Company audited annual financial statements at 29 June 2025", consisting of the Approval of Annual Financial Statements, CEO and CFO Responsibility Statement, Certificate by Company Secretary, Directors' Report and Audit Committee Report as required by the Companies Act of South Africa, as well as Annexure 5 – Employment Equity Act Summary and Shareholder Information, which we obtained prior to the date of this report. The other information that will be available after this report date consists of the documents titled "The Truworths International Integrated Report for the 52 weeks ended 29 June 2025", "Ten-year Review", "Report on Corporate Governance and Application of King IV Principles", "Environmental, Social and Sustainability Governance Report", and "Social and Ethics Committee Report". The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Truworths International Limited (continued)

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements (continued)

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the Group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

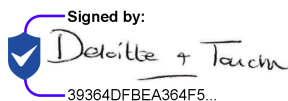
We also provide the Audit Committee with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Audit Committee, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Audit Tenure

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that Deloitte & Touche has been the auditor of Truworths International Limited for two years, which includes the 2025 financial audit.

Signed by:

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Deloitte & Touche
Registered Auditor

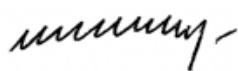
Per Jolandi Grace
Partner
28 August 2025

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South Africa

APPROVAL OF ANNUAL FINANCIAL STATEMENTS

The directors are responsible for preparing annual financial statements that fairly present, in all material respects, the financial position and changes in equity of the Group and company and the results of its operations and cash flows in accordance with the Companies Act (71 of 2008, as amended), International Financial Reporting Standards (IFRS[®] Accounting Standards) and the Listings Requirements of the JSE Limited (JSE). The application of IFRS Accounting Standards is reviewed by the Group's Accounting Forum, which meets quarterly with the external auditor, comprises members of the Group's financial management team, and makes recommendations to management and the directors relating to accounting treatment and disclosure.

The Group and company annual financial statements, which appear on pages 8 to 151, were approved by the board of directors on 28 August 2025 and are signed on its behalf by:



H Saven
Chairman



MS Mark
Chief Executive Officer

CEO AND CFO RESPONSIBILITY STATEMENT

The Chief Executive Officer and Chief Financial Officer hereby confirm, in accordance with the JSE Listings Requirements, that:

- the annual financial statements set out on pages 8 to 151, fairly present in all material respects the financial position, financial performance and cash flows of the Group and the Company in terms of IFRS Accounting Standards;
- to the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- internal financial controls have been put in place to ensure that material information relating to the Company and its consolidated entities has been provided to effectively prepare the annual financial statements of the Group;
- the internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, having fulfilled our role and function as Executive Directors with the primary responsibility for the implementation and execution of controls;
- where we are not satisfied, we have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls, and where required have taken steps to remedy the deficiencies; and
- we are not aware of any fraud involving directors.



MS Mark
Chief Executive Officer
28 August 2025



EFPM Cristaudo
Chief Financial Officer
28 August 2025

CERTIFICATE BY COMPANY SECRETARY

I certify that, in respect of the reporting period, the company has, to the best of my knowledge and belief, lodged with the Companies and Intellectual Property Commission (CIPC) all returns and notices required of a public company in terms of the Companies Act (71 of 2008, as amended) of South Africa and that all such returns appear to be true, correct and up to date.



C Durham
Company Secretary
28 August 2025

DIRECTORS' REPORT

The directors have pleasure in submitting their report on the state of affairs, the business and profit of the company and the Group, together with the Group and company annual financial statements for the 52-week period ended 29 June 2025.

NATURE OF BUSINESS

Truworthe International Ltd (the Company) is an investment holding and management company whose shares are listed for trading on the Johannesburg Stock Exchange, A2X and the Namibian Stock Exchange. Its principal trading entities, Truworthe Ltd and Office Holdings Ltd, are engaged directly or through subsidiaries, concessions, wholesaler partners or agencies, in the cash and account retailing of fashion clothing, footwear, homeware and related merchandise.

RETAIL CALENDAR

The group reports on the retail calendar of trading weeks incorporating trade from Monday to Sunday each week. Accordingly, the results for the financial period under review are for the 52 weeks from 1 July 2024 to 29 June 2025 (2024: 52 weeks from 2 July 2023 to 30 June 2024).

OPERATING CONTEXT

The Group through its subsidiaries operates mainly in South Africa and the United Kingdom, with these countries contributing 64% and 32% of Group revenue respectively. The Group further has operations in the Republic of Ireland and certain southern African countries.

During the 52-week period ended 29 June 2025 (the 'current period' or the 'period'), the Group continued to deliver best-in-class returns despite operating within persistently sub-optimal macroeconomic conditions, supported by a robust balance sheet and disciplined margin and cost management.

Truworthe Africa

The period began with cautious optimism following South Africa's national general elections in May 2024 and the subsequent formation of a Government of National Unity ('GNU'). Sentiment was buoyed by expectations of improved consumer confidence, the introduction of the two-pot retirement savings system (enabling partial access to retirement funds), and the potential for lower interest rates. Forecasts in some quarters anticipated GDP growth of 2% - 3% per annum.

However, much of this optimism failed to materialise due to a combination of geopolitical uncertainties - particularly around tariffs and rising tensions in the Middle East - and internal challenges within the GNU. Consequently, South Africa's macroeconomic environment remained constrained, characterised by low economic growth, stagnant real wage increases, elevated unemployment, and rising living costs, all of which continued to erode consumer disposable income.

Four interest rate cuts during the period, beginning on 20 September 2024, provided some relief to financially strained consumers. Nonetheless, the South African Rand remained volatile, and its periods of weakness contributed to inflationary pressure, particularly through higher costs of imported goods and services.

Truworthe Africa's gross profit margin came under pressure relative to historical norms. Late deliveries of winter merchandise in the prior period due to port congestion and global shipping disruptions, combined with the delayed onset of winter in 2024, dampened seasonal demand. As a result, elevated markdowns were required in the first half of the current period to meet terminal stock objectives. Continued weak trading conditions necessitated increased in-season promotional activity to manage inventory levels effectively.

Despite these challenges, management was encouraged by signs of recovery in the South African consumer credit environment. The TransUnion Consumer Credit Index, which gauges the overall health of credit consumers, rose marginally above 50 points in Q4 of the 2024 calendar year for the first time since June 2022, indicating a modest improvement in credit conditions. Truworthe, however, maintained a prudent approach to credit granting, in particular higher-risk credit, which dampened sales growth. The Truworthe Africa credit book remains resilient and well-managed, underpinned by sound credit risk practices and strong collection strategies. Credit quality continued to improve during the period, and demand for new accounts remained robust.

Investment in the new Truworthe Africa distribution centre was completed during the current period, and a large portion of merchandise distribution has transitioned to this facility, with good opportunity for part allocation and increased replenishment.

Significant effort was spent on refining the merchandise mix and containing expenses while investment in store refurbishment continued, in anticipation of a more favourable macroeconomic outlook over the next 12 to 24 months.

DIRECTORS' REPORT (continued)

Office UK

Office UK delivered a strong trading performance during the current period, consistently outperforming the broader market despite ongoing macroeconomic challenges in the United Kingdom. This resilience was driven by its differentiated market positioning, advanced e-commerce platform and strategic brand partnerships.

UK consumer spending remained subdued due to declining real disposable incomes since late 2021, compounded by elevated interest rates and modest economic growth. Nevertheless, branded fashion footwear, a core category for Office UK, proved resilient and performed well throughout the period.

The Group continued to invest significantly in Office UK's real estate and systems capabilities to capitalise on emerging opportunities. During the period, one new store was added (net of closures), and nine stores were renovated, relocated or expanded in line with the latest store design standards. These investments have exceeded trading expectations and met capital expenditure benchmarks, reinforcing the success of the store development and remodelling programme.

The impact of these factors was considered by management in the exercise of judgement and determination of estimates in the preparation of the annual financial statements, specifically in relation to inventory allowances and impairment testing of right-of-use assets and trademarks.

RESULTS OF OPERATIONS

The results for the period are detailed in the Group and company annual financial statements that follow.

DIVIDENDS

Details of the dividends paid by the company during the period are disclosed in note 30 of the Group annual financial statements.

On 28 August 2025 the directors of the company resolved to declare a final cash dividend of 170 cents per share (before dividends tax) for the period ended 29 June 2025 from retained earnings of the company to shareholders recorded in the company's register on the record date, being Friday, 19 September 2025, bringing the annual dividend per share to 487 cents per share.

PROPERTY, PLANT AND EQUIPMENT

The Group completed the fit-out of the new distribution centre during the period and it is now fully operational. Please refer to note 34 for further information.

There were no other significant changes in the nature of the Group's property, plant and equipment during the period.

SHARE CAPITAL

Details of the authorised and issued share capital of the company are disclosed in note 13 of the Group annual financial statements.

There were no movements in the share capital during the period, and no shares were repurchased during the current or prior period.

DIRECTORS, SECRETARY AND COMMITTEE MEMBERS

The names of the directors and Company Secretary in office at 29 June 2025 are set out in the Administration section of the 2025 Integrated Annual Report. The following changes to the board and board committees occurred during the period:

- Mr Brendan Deegan was appointed as an independent non-executive director of the company and the company's audit committee with effect from 1 October 2024, and chairman of the audit committee with effect from 7 November 2024 following the retirement of Mr Roddy Sparks from this position.

SUBSIDIARIES

Refer to Annexure One, containing full particulars of the Group's non-dormant subsidiaries in the Group annual financial statements.

BORROWING POWERS

In terms of the company's memorandum of incorporation, its borrowing powers are unlimited. The borrowing powers of the Group's subsidiaries may be limited by the company. Any borrowings by the Group are subject to the provisions of the Group's board-approved treasury policies.

DIRECTORS' REPORT (continued)

SPECIAL RESOLUTIONS BY SUBSIDIARY COMPANIES

By way of special resolution taken on 16 January 2025, the wholly-owned subsidiary company, Truworhts Ltd, was authorised specifically to provide financial assistance to the company and to the Group investment company, Truworhts Trading (Pty) Ltd, in the form of loans for the purpose of acquiring shares in the company, and prior such assistance given was ratified.

The special resolution further generally authorised financial assistance (and ratified prior such assistance given) in the form of loans and/or guarantees to (a) the Group's subsidiaries and related companies in South Africa and the rest of Africa and the United Kingdom to enable them to meet various expense and working capital requirements relating to their operations, (b) the Group's charitable, enterprise development and share scheme trusts, so as to enable them to carry out their activities, and (c) to certain directors of that company for housing purposes.

The aforesaid financial assistance was authorised subject to the provisos that any loans and guarantees granted are made in the ordinary course of the Group's business and to further its objectives, that they do not impair the solvency or liquidity of Truworhts Ltd and when viewed objectively are regarded by its board as being fair and reasonable to the said company.

By way of special resolution taken on 16 January 2025, the wholly-owned subsidiary company, Truworhts Ltd, was authorised to repurchase the shares of the company (being the holding company of Truworhts Ltd), for the purpose of awarding shares to the employees of Truworhts Ltd pursuant to the company's 2012 Share Plan.

By way of special resolution taken on 1 July 2024, the wholly-owned subsidiary company Young Designers Emporium (Pty) Ltd was authorised to provide financial assistance (and ratified prior such assistance given) to the fellow subsidiary company Truworhts Ltd and other Group companies in the form of loans for the purpose of investing such funds centrally within the Group. The aforesaid financial assistance was authorised subject to the provisos that any loans and guarantees granted are made in the ordinary course of the Group's business and to further its objectives, that they do not impair the solvency or liquidity of Young Designers Emporium (Pty) Ltd and when viewed objectively are regarded by its board as being fair and reasonable to the said company.

The aforesaid special resolutions did not require filing with CIPC in terms of the Companies Act (71 of 2008, as amended) of South Africa, and have the effect of authorising the said financial assistance for two years following the passing of such resolutions.

The directors of the aforesaid subsidiaries have performed the required solvency and liquidity tests required by the Companies Act (71 of 2008, as amended) of South Africa and are satisfied that the companies have met the requirements of these tests prior to and, where applicable, immediately after the conclusion of the transactions authorised by the aforesaid special resolutions.

No other material special resolutions were passed by subsidiary companies between the reporting date and the date of this report.

EVENTS AFTER THE REPORTING DATE

No event which is material to the understanding of this report has occurred between the reporting date and the date of this report.

AUDIT COMMITTEE REPORT

The Audit Committee (the committee) of the Truworths International board complies with relevant legislation, regulation and governance practices. The responsibilities of the committee are outlined in its written charter which reflects aspects recommended by the King IV™ Report on Corporate Governance for South Africa, 2016 (King IV) (Copyright and trademarks are owned by the Institute of Directors in South Africa NPC and all of its rights are reserved).

This report of the committee is presented to shareholders in compliance with the requirements of the Companies Act (71 of 2008, as amended) of South Africa.

ROLE OF THE COMMITTEE

The objectives and functions of the committee are set out in its charter. In summary the committee:

- aims to ensure the maintenance of adequate accounting records, effective financial reporting and internal control systems;
- aims to ensure compliance of published financial reports with relevant legislation, financial reporting standards and good governance;
- aims to ensure Group assets are safeguarded;
- has oversight of fraud, information security and information technology risks in so far as these impact on the financial reporting process;
- confirms the nomination and appointment of the external auditor, ensuring such appointment is legislatively compliant;
- approves the terms of engagement and fees of the external auditor, in consultation with management;
- defines and considers the non-audit services that may be rendered by the external auditor;
- considers the external auditor's findings arising from the annual financial statement audit;
- monitors the functioning and approves the coverage plan of the internal audit department;
- reviews tax compliance and tax risk management programmes and initiatives;
- fulfils the function of audit committee to Group subsidiaries that are public companies;
- considers the external auditor's findings arising from the annual financial statement audit of, and deals with any other material financial matters deserving attention relating to, the Group's other subsidiaries and charitable and other trusts;
- reviews the expertise, resources and experience of the Group's finance function and the expertise and experience of the Chief Financial Officer; and
- reviews and recommends to the board the approval of the Group's Integrated Report, Interim Report, Summarised Audited Group Annual Results (including pro-forma information), Annual Financial Statements and published results announcements.

AREAS OF FOCUS FOR 2025

The committee's areas of focus for the reporting period were to ensure it fulfils its mandate, with particular reference to the financial reporting and audit processes and provides assurance in this regard to the board. In summary the committee:

- Reviewed processes and controls in regard to the determination and measurement of expected credit losses in respect of the trade receivables;
- Continued the monitoring of external auditor independence and service oversight levels post the audit firm transition of 2024;
- Evaluated the resilience and evaluation of IT governance and cybersecurity controls in an environment of increasing cyber threats; and
- Monitored ongoing tax matters and engagements with the South African Revenue Service.

STRUCTURE OF THE COMMITTEE

The committee comprises the following independent non-executive directors, and the Chairman of the committee is not the Chairman of the board of the company. The following directors served on the committee during the reporting period, recording a 100% attendance at meetings of the committee:

- Mr Brendan Deegan (member wef 1 October 2024 and Chairman wef 7 November 2024)
- Mr Roddy Sparks (retired as Chairman and member wef 7 November 2024)
- Ms Dawn Earp
- Ms Tshidi Mokgabudi

Biographical details of the committee members appear in the Truworths International Board section which will be included in the 2025 Integrated Report. Fees paid to the committee members are outlined in note 28.1 of the Group annual financial statements. Having regard to their financial and business qualifications, as well as their extensive work experience in financial accounting, auditing, internal auditing, internal controls, corporate governance, compliance, consulting and corporate business, the members of the committee are regarded as having the relevant financial expertise and experience required of an audit committee member. The most recent evaluation of the performance of the committee was performed in July 2025 and the results thereof are recorded in the Governance Creating Value section in the Group's 2025 Integrated Report available at www.truworths.co.za/reports.

AUDIT COMMITTEE REPORT (continued)

STRUCTURE OF THE COMMITTEE (continued)

The Chairman of the board, certain non-executive directors, the Chief Financial Officer, the Company Secretary, the Designate Company Secretary (who acted as secretary of the committee), the Truworths Ltd Director: Internal Audit, Legal, Governance and Risk, the Truworths Ltd Head: Governance Risk and Controls, the Truworths Ltd Divisional Director: Finance, the Chairman of the Risk Committee and the external auditor also attend meetings of the committee as invitees.

The Chairman of the committee periodically meets separately with the external auditor and the Truworths Ltd Director: Internal Audit, Legal, Governance and Risk without members of executive management being present in order to maintain a direct line of communication between these assurance providers and the committee. In addition the committee meets separately with the external auditor and the Truworths Ltd Director: Internal Audit, Legal, Governance and Risk respectively without members of executive management being present, as part of the governance process.

INTERNAL AUDIT

The internal audit function provides assurance to the Truworths International board, via the committee, on the adequacy and effectiveness of the Group's internal control and risk management practices, and the integrity of financial reporting systems. Internal audit also assists management by making recommendations for improvements to the control and risk management environment.

The principle of independence of the internal audit department is upheld and the Truworths Ltd Director: Internal Audit, Legal, Governance and Risk reports on operational matters to the Chief Executive Officer and on administrative matters to the Chief Financial Officer. The said director also has direct access to the Chairman of the committee.

The scope of the internal audit department's work includes:

- reviewing, appraising and reporting on the adequacy and effectiveness of the Group's system of internal control;
- reviewing the processes and systems which are designed to ensure integrity of the Group's reporting of financial and operating information; and
- reviewing the adequacy of the Group's compliance with applicable policies, plans, procedures, laws and regulations.

Specific focus is placed on the system of internal control that ensures that assets and information are protected against loss, theft or misuse, as well as on those controls that ensure key transactional information is of high integrity. Internal audit also provides consultation and other services to management such as due diligence services, forensic audit services, systems auditing services, risk management services, business continuity plan monitoring services and special reviews or audits.

INTERNAL CONTROLS

The Group aims to maintain a high standard of internal control. The sound control environment in the Group is founded on:

- strong responsibility for controls by executives;
- executive commitment to integrity and ethical values; and
- the skills and competence of executives.

The soundness of the Group's control environment is illustrated through:

- management's hands-on operating style;
- clear communication through employee policies and operating procedures;
- assignment of authority and responsibility to appropriate levels of management; and
- a control-consciousness throughout the Group.

The Truworths International board is ultimately responsible for the Group's system of internal control, which is designed to ensure:

- effectiveness and efficiency of operations;
- safeguarding and verification of and accountability for assets;
- detection and minimisation of fraud and losses;
- reliability of financial and operational information and reporting; and
- compliance with applicable laws, regulations, policies and procedures.

The Truworths International board delegates responsibility for the implementation and maintenance of the control framework to management. The committee, together with the Risk Committee and the internal auditors, assists the board in monitoring the effectiveness and adequacy of the control environment. The committee also considers the findings raised by the external auditor in assessing the effectiveness and adequacy of the control environment.

AUDIT COMMITTEE REPORT (continued)

INTERNAL CONTROLS (continued)

The committee reports that during the period under review:

- internal control procedures were represented by management as having been substantially effective and appropriate;
- no material breach of internal controls and procedures was brought to its attention;
- key risks appeared to be adequately documented and appropriately monitored and reported on by management;
- policies and authority levels were represented by management as having been enforced and adhered to; and
- no material breaches of any laws affecting the Group were brought to its attention.

EXTERNAL AUDITORS

The Group's external auditor is Deloitte & Touche (Deloitte). Fees paid to the external auditors are detailed in note 27.6 of the Group annual financial statements.

The external auditor's plan for the annual audit of the Group's financial statements, which incorporates the identification of significant risks and how they are to be addressed during the audit, was presented and approved at a meeting of the committee before the commencement of audit fieldwork.

The external auditor has unrestricted access to the Group's records and management. The external auditor furnishes a written report to the committee on significant findings arising from the annual audit and is able to raise matters of concern directly with the Chairman of the committee.

The committee is satisfied that the Group's external auditor, Deloitte, and the designated audit partner are independent of the Group and management, and are therefore able to express an independent opinion on the fair presentation of the Group's 2025 annual financial statements.

Based on an assessment of the independence, competence, resources, and service levels in accordance with paragraph 3.84(g)(iii) read with paragraphs 3.86 and 3.87 of the JSE Listings Requirements, the committee was satisfied that Deloitte was suitable for appointment as the external audit firm for the 2025 financial period. The committee also considered and was satisfied with the suitability for appointment of Ms Jolandi Grace as the designated audit partner for the said period.

The conclusion of the committee with regard to the independence of Deloitte was, *inter alia*, based on the following:

- the Group's policy that prohibits or otherwise restricts the non-audit services that may be provided by the external auditor;
- auditing profession standards that preclude the external auditor's personnel from holding shares in or having other business relationships with the Group;
- the external auditor may not provide services that could be seen as participating in the management of the Group's affairs; and
- the assurance provided by the external auditor that internal governance processes within the audit firm support the claim to independence.

The committee's policy on the provision of non-auditing services by the external auditor, which policy was amended during the prior period, restricts the auditor from rendering accounting, company secretarial, internal audit, legal, valuation, financial information system design, actuarial, management, human resource and investment services to the Group.

Furthermore, the provision of non-restricted non-audit services by the external auditor is subject to prior approval by the committee. Fees for all such non-audit services require appropriate disclosure in the financial statements. Details of non-audit service fees incurred during the reporting period were presented and approved at committee meetings.

During the period the external auditor received fees of R1 757 000 (2024: R172 000) for non-audit services to the Group, equivalent to 9.1% (2024: 1.0%) of the annual audit fee. Refer to note 27.6 of the Group annual financial statements for further detail.

The committee has ensured that a resolution proposing the re-appointment of Deloitte as the external audit firm (and the appointment of Sphiwe Stemela as the designated audit partner, replacing Jolandi Grace) for the 2026 financial period is included in the notice of the company's 2025 annual general meeting, which notice is shortly to be published in terms of section 61(8) of the Companies Act.

COMMITTEE FUNCTIONING

During the reporting period, three committee meetings were held. Meetings are scheduled to coincide with the key dates in the Group's financial reporting and audit cycle.

AUDIT COMMITTEE REPORT (continued)

COMMITTEE FUNCTIONING (continued)

Reports routinely considered by the committee at these meetings included the Truworths Africa Chief Financial Officer's Report, the Office Chief Financial Officer's Report, the report of the Internal Audit Department (including its coverage plan and IT audit activities) and the Group Tax Report.

In addition, the Chairman of the committee attends the quarterly meetings of the Risk Committee and is able to provide feedback to the committee on the Risk Committee's activities and recommendations.

The committee also considered the draft interim, Summarised Audited Group Annual Results, annual and short-form financial reports and announcements, and the integrated annual report, prepared by management, and recommended their adoption by the board subject to identified amendments. The committee further considered the external auditor's audit plan and the appropriateness of the responses of management to the comments raised by the auditor in relation to the prior period audit.

During the reporting period the committee also undertook the following:

- nominated for appointment Deloitte as the external auditor and obtained assurance from management that this appointment complied with legislative requirements, including providing for a resolution relating to such appointment to be incorporated in the notice of the company's annual general meeting;
- considered the suitability of the audit partner assigned to do the annual audit engagement, in accordance with legislative requirements;
- noted the information provided by the external auditor regarding its audit quality processes, as well as the results of internal inspections relating to adherence by the individual audit partner with internal and external audit quality management standards and the results of external inspections, in the form of quality reviews conducted by audit regulators of the audit work carried out by the audit firm and individual audit partner;
- approved the external auditor's fees and terms of engagement that had been negotiated by management;
- reviewed the Group's tax risk management and compliance activities, particularly relating to value-added tax and income tax in South Africa and the United Kingdom, and the Group's fiscal obligations in other countries of operation;
- considered the methods deployed by management to promote sound IT governance as well as information security and privacy and monitored progress, by way of a scorecard maintained by the Head: Governance, Risk and Controls made by management towards attaining the Group's objectives in these areas;
- considered progress made in the implementation of the Group's internal audit coverage plan, the key findings from such audits and special investigations conducted, and key outcomes arising from the Group's loss prevention programme;
- considered the assumptions made, methodologies employed and judgements exercised by management in the course of conducting impairment testing and determining the carrying values of the Group's intangible and right of use assets;
- considered the annual report of the Johannesburg Stock Exchange (JSE) on its findings arising from the proactive monitoring and thematic reviews of the financial reports published by JSE listed companies during 2024;
- monitored the functioning of the audit committee within Office, the Group's business segment in the United Kingdom, which subsidiary committee has reporting obligations to the committee;
- considered the reports and meeting minutes of the Office audit committee, of which the Chairman of the Committee is a member;
- confirmed its satisfaction with the framework and process implemented by management designed to enable the Chief Executive Officer and Chief Financial Officer to attest with assurance in the Group's annual financial statements as to their fair presentation, correctness and completeness, and as to the effectiveness of the internal controls relating to the Group's financial reporting;
- considered recent developments relating to the JSE Listings Requirements and matters for consideration in relation to King IV and the Companies Amendment Act; and
- considered presentations by management on IFRS Accounting Standards applicable to the Group, including in relation to the judgement exercised by management in making financial estimates, the methods of measurement deployed, the choices made in relation to the basis of adoption, practical expedients, and exemptions available and the accounting policy disclosures.

The committee was not required to deal with any complaints relating to accounting practices or internal audit, nor to the content or audit of the Group's annual financial statements.

The committee carried out its other responsibilities as set out in its board-approved charter, including those relating to the audit and financial reporting obligations of the Group's subsidiary companies and charitable and other trusts, during the reporting period by way of a consideration of the status of finalisation of the statutory annual financial statements of such entities.

AUDIT COMMITTEE REPORT (continued)

COMMITTEE FUNCTIONING (continued)

Following each meeting of the committee, the Chairman of the committee submits a written report to the directors on the committee's activities, findings and recommendations, and presents and invites questions on this report at the board meeting immediately following the committee meeting.

The Chairman and members of the committee attend the annual general meeting of shareholders to answer any questions relating to the committee's activities.

CHIEF FINANCIAL OFFICER'S EXPERTISE AND EXPERIENCE

The committee reports in terms of the JSE Listings Requirements that, based on a formal assessment process, it was satisfied as to the appropriateness of the expertise and experience of the Group's Chief Financial Officer during the reporting period.

FINANCE FUNCTION'S EXPERTISE, RESOURCES AND EXPERIENCE

Based on a consideration of the qualifications, participation in continuing professional education and the nature, duration and relevance of the experience of key managers in the Group's finance department, as well as a review of the staff complement, functional responsibilities of and information systems available to the department, the committee reports in terms of King IV that it is satisfied as to the appropriateness of the collective expertise, experience and effectiveness of the Group's finance functions, both in South Africa and the United Kingdom and the adequacy of their human and technological resources.

FINANCIAL REPORTING PROCEDURES

Having regard for both the aforesaid assessments, and the comprehensive, timeous and consistent nature of management's financial reporting to the committee and the Group's financial reporting to its shareholders, the committee is satisfied that the Group has established appropriate financial reporting procedures and that such procedures (which relate to all Group entities) are operating as intended so that the committee has access to all information required to effectively prepare and report on the Group's annual financial statements.

ANNUAL FINANCIAL STATEMENTS AND INTEGRATED ANNUAL REPORT

The committee has recommended the Group's 2025 audited annual financial statements (of which this report forms part), and in due course following the appropriate review process envisages recommending the Group's 2025 Integrated Report, to the board for approval.

APPROVAL OF THE REPORT

The committee confirms that it has functioned in accordance with its charter for the reporting period and that its report to shareholders was approved by the board on 28 August 2025.



B M Deegan
Chairman

Audit Committee
28 August 2025

GROUP STATEMENTS OF FINANCIAL POSITION

	Note	at 29 June 2025 Rm	at 30 June 2024 Rm
ASSETS			
Non-current assets		8,661	8,553
Property, plant and equipment	2	2,768	2,533
Right-of-use assets	3	3,341	3,545
Intangible assets	5	1,625	1,534
Goodwill	4	294	294
Loans and receivables	8	28	28
Assets held at fair value	7	353	315
Deferred tax	9.1	252	304
Current assets		11,243	10,099
Inventories	10	2,465	2,312
Trade and other receivables	11	5,473	5,419
Assets held at fair value	7	2,224	1,468
Prepayments		117	99
Cash and cash equivalents	12	964	801
Total assets		19,904	18,652
EQUITY AND LIABILITIES			
Total equity		10,731	9,506
Share capital*	13	-	-
Treasury shares	14	(1,782)	(1,920)
Retained earnings		11,920	11,093
Non-distributable reserves	15	593	333
Non-current liabilities		3,362	3,794
Lease liabilities	20.1	2,697	2,927
Interest-bearing borrowings	16	-	268
Provisions	22	234	186
Put option liability	17	-	26
Post-retirement medical benefit net obligation	18.1	19	28
Leave pay obligation	19	18	22
Deferred tax	9.2, 9.3	394	337
Current liabilities		5,811	5,352
Trade and other payables	21	1,981	1,636
Interest-bearing borrowings	16	1,479	1,208
Bank overdraft	12	975	1,099
Lease liabilities	20.1	1,045	990
Provisions	22	210	205
Put option liability	17	33	29
Derivative financial liabilities	6	25	27
Tax payable		63	158
Total liabilities		9,173	9,146
Total equity and liabilities		19,904	18,652

* Zero due to rounding.

GROUP STATEMENTS OF COMPREHENSIVE INCOME

	Note	52 weeks to 29 June 2025 Rm	52 weeks to 30 June 2024 Rm
Revenue	26	23,071	22,436
Sale of merchandise	26	21,323	20,664
Cost of sales	27.1	(10,389)	(9,859)
Gross profit		10,934	10,805
Other income	26	405	562
Intangible asset impairment reversal	5	-	1,019
Trading expenses		(8,447)	(8,168)
Depreciation and amortisation	27.2	(1,500)	(1,475)
Employment costs	27.3	(2,771)	(2,718)
Occupancy costs	27.4	(1,145)	(1,072)
Trade receivable costs	27.5	(1,260)	(1,310)
Net bad debt and expected credit loss allowances raised		(1,164)	(1,168)
Other trade receivable costs		(96)	(142)
Other operating costs	27.6	(1,771)	(1,593)
Trading profit		2,892	4,218
Interest income	26	1,351	1,388
Dividend income	26	31	25
Profit before finance costs and tax		4,274	5,631
Finance costs	27.7	(525)	(476)
Profit before tax	27	3,749	5,155
Tax expense	29.1	(953)	(1,255)
Profit for the period		2,796	3,900
Attributable to:			
Equity holders of the company		2,790	3,887
Holders of the non-controlling interest		6	13
Other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods		237	(93)
Movement in foreign currency translation reserve	15.5	237	(93)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods		36	112
Re-measurement gains on defined benefit plans	18.1	7	1
Fair value adjustment on assets held at fair value through other comprehensive income	15.3, 15.4	29	111
Other comprehensive income for the period, net of tax		273	19
Attributable to:			
Equity holders of the company		271	20
Holders of the non-controlling interest		2	(1)
Total comprehensive income for the period		3,069	3,919
Attributable to:			
Equity holders of the company		3,061	3,907
Holders of the non-controlling interest		8	12
Basic earnings per share	(cents) 31.1	745.2	1,046.9
Diluted basic earnings per share	(cents) 31.2	736.5	1,031.3

GROUP STATEMENTS OF CHANGES IN EQUITY

	Note	Share capital* Rm	Treasury shares Rm	Retained earnings Rm	Non-distributable reserves Rm	Equity holders of the company Rm	Holders of the non-controlling interest Rm	Total equity Rm
2025								
Balance at the beginning of the reporting period		-	(1,920)	11,093	333	9,506	-	9,506
Total comprehensive income for the period		-	-	2,797	264	3,061	8	3,069
Profit for the period		-	-	2,790	-	2,790	6	2,796
Other comprehensive income for the period		-	-	7	264	271	2	273
Dividends declared	30	-	-	(1,972)	-	(1,972)	-	(1,972)
Shares vested in terms of the 2012 share scheme	14, 15.1	-	124	-	(124)	-	-	-
Options vested in terms of the 1998 share option scheme	15.1	-	14	2	(6)	10	-	10
Share-based payments	15.1	-	-	-	127	127	-	127
Acquisition of non-controlling interest	15.2	-	-	-	(16)	(16)	(15)	(31)
Movement in put option liability	15.2	-	-	-	15	15	7	22
Balance at 29 June 2025		-	(1,782)	11,920	593	10,731	-	10,731
2024								
Balance at the beginning of the reporting period		-	(2,066)	9,393	327	7,654	-	7,654
Total comprehensive income for the period		-	-	3,888	19	3,907	12	3,919
Profit for the period		-	-	3,887	-	3,887	13	3,900
Other comprehensive income for the period		-	-	1	19	20	(1)	19
Dividends declared	30	-	-	(2,204)	-	(2,204)	-	(2,204)
Cost of shares vested and transferred to participants in terms of the 2012 restricted share scheme	14, 15.1	-	103	-	(103)	-	-	-
Cost of appreciation rights exercised in terms of the 2012 restricted share scheme reversed		-	13	-	(13)	-	-	-
Shares sold by Truworths International Limited Share Trust	14	-	30	6	-	36	-	36
Share appreciation rights expired	15.1	-	-	10	(10)	-	-	-
Utilisation of reserves on exercise of 1998 share scheme options	15.1	-	-	-	(14)	(14)	-	(14)
Share-based payments	15.1	-	-	-	139	139	-	139
Acquisition of non-controlling interest		-	-	-	(10)	(10)	(9)	(19)
Movement in put option liability	15.2	-	-	-	(2)	(2)	(3)	(5)
Balance at 30 June 2024		-	(1,920)	11,093	333	9,506	-	9,506

* Zero due to rounding.

GROUP STATEMENTS OF CASH FLOWS

	Note	52 weeks to 29 June 2025 Rm	52 weeks to 30 June 2024 Rm
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash flow from profit before tax	33.1	4,675	4,658
Working capital movements	33.2	166	38
Cash generated from operations		4,841	4,696
Interest received	33.1	1,345	1,327
Dividends received	26	31	25
Finance costs paid	33.1	(512)	(468)
Capitalised finance costs paid		-	(9)
Tax paid	33.3	(968)	(967)
Cash inflow from operations		4,737	4,604
Dividends paid	33.4	(1,972)	(2,204)
Net cash from operating activities		2,765	2,400
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of plant and equipment to expand operations	33.5	(428)	(586)
Acquisition of plant and equipment to maintain operations	33.6	(187)	(166)
Acquisition of computer software		(59)	(18)
Premiums paid to insurance cell	7.1	(4)	(8)
Amounts received from insurance cell	7.1	1	5
Loans and receivables repaid		-	51
Loans advanced		-	(3)
Proceeds from disposal of mutual fund units		1	2
Investment in mutual fund units		(2)	(16)
Investment in money market funds		(7,248)	(5,764)
Disinvestment from money market funds		6,536	4,296
Interest received from money market funds		-	59
Net cash used in investing activities		(1,390)	(2,148)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds on disposal of treasury shares		10	21
Borrowings repaid	16	-	(500)
Borrowings incurred	16	-	599
Lease liability payments	33.7	(1,105)	(1,101)
Acquisition of non-controlling interest		(31)	(19)
Net cash used in financing activities		(1,126)	(1,000)
Net increase/(decrease) in cash and cash equivalents		249	(748)
Net cash and cash equivalents at the beginning of the period		(298)	527
Net foreign exchange difference		38	(77)
NET CASH AND CASH EQUIVALENTS AT THE REPORTING DATE	12	(11)	(298)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS

1. MATERIAL ACCOUNTING POLICIES REPORTING ENTITY

The separate and consolidated annual financial statements respectively of Truworhts International Ltd (the company) and its subsidiaries (which together with the company constitute the Group) for the 52 weeks ended 29 June 2025 (the current period) were authorised for issue in accordance with a resolution of the directors taken on 28 August 2025. Truworhts International Ltd, the holding company of the Group, is incorporated and domiciled in the Republic of South Africa, and its shareholders have limited liability.

1.1 Basis of preparation of financial results and statement of compliance

The annual financial statements have been prepared in compliance with International Financial Reporting Standards (IFRS[®] Accounting Standards) issued by the International Accounting Standards Board, Financial Reporting Guides as issued by the Accounting Practices Committee of the South African Institute of Chartered Accountants, Financial Pronouncements as issued by the Financial Reporting Standards Council, the Companies Act (71 of 2008, as amended) of South Africa and the JSE Listings Requirements.

The annual financial statements have been prepared in accordance with the going concern and historical cost bases except where otherwise indicated. The accounting policies are applied consistently throughout the Group. The presentation and functional currency used in the preparation of the Group and company financial statements is the South African Rand (ZAR or Rand) and all amounts are rounded to the nearest million, except where otherwise indicated.

Only material information, as determined using the Group's internal framework for materiality, has been included in these annual financial statements. The Group's internal framework for materiality was developed taking into consideration, the requirements of IFRS Accounting Standards, the JSE Listings Requirements as well as other relevant statutory reporting requirements applicable to the Group. Information is considered material if omitting, misstating or obscuring it could reasonably be expected to influence the decisions of the primary users of these financial statements.

The Group presents separately each material class of similar items. The Group also presents separately items of a dissimilar nature or function unless they are immaterial. If a line item is not individually material, it is aggregated with other items either in the primary financial statements or in the notes. An item that is not sufficiently material to warrant separate presentation in the primary financial statements may warrant separate presentation in the notes.

When applying IFRS Accounting Standards the Group decides, taking into consideration all relevant facts and circumstances, how it aggregates information in the primary financial statements and notes. The Group does not seek to reduce the understanding of its financial statements by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

IFRS Accounting Standards specify information that is required to be included in the financial statements. The Group does not disclose specific information required by IFRS Accounting Standards if such disclosures are immaterial and could detract from providing meaningful and concise financial statements. This is the case even if the IFRS Accounting Standards contain a list of specific requirements or describes them as minimum requirements. The Group may also provide additional disclosures when compliance with the specific requirements in IFRS Accounting Standards is insufficient to enable users of the financial statements to understand the impact of particular transactions, events and conditions on the Group's financial position and performance.

Accounting policies and methods of computation

The accounting policies and methods of computation applied in the preparation of these financial statements comply with IFRS Accounting Standards and are consistent with those applied in the preparation of the Group's annual financial statements for the prior period ended 30 June 2024.

IFRS Accounting Standards, amendments and International Financial Reporting Interpretations Committee interpretations (IFRIC[®] interpretations)

The following new and amended IFRS Accounting Standards and IFRIC interpretations that came into effect during the current period were adopted by the Group but did not have a material impact on the Group's financial position and performance:

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.1 Basis of preparation of financial results and statement of compliance (continued)

Description	Effective date (Reporting periods beginning on or after)
IAS 1 amendment: Classification of liabilities as current or non-current	1 January 2024
IAS 1 amendment: Non-current liabilities with covenants	1 January 2024
IFRS 16 amendment: Lease liability in a sale and leaseback	1 January 2024
IAS 7 and IFRS 7 amendments: Supplier finance arrangements	1 January 2024

1.2 Basis of consolidation of financial results

The Group consolidated annual financial statements comprise the annual financial statements of the company and its consolidated subsidiaries and are prepared using uniform accounting policies for like transactions and other events in similar circumstances.

Business combinations

Business combinations are accounted for using the acquisition method. The cost of an acquisition is the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss. Any contingent consideration to be transferred by the acquirer is recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability is measured at fair value with changes in fair value recognised in profit or loss. Contingent consideration that is classified as equity is not re-measured and subsequent settlement is accounted for within equity.

The results of subsidiaries are consolidated from the effective acquisition date to the effective date of loss of control. Acquisitions from outside the Group are included in the Group financial statements using the acquisition method of accounting.

In the course of such consolidation, intra-group balances and transactions, as well as unrealised gains and losses resulting from intra-group transactions and dividends, are eliminated in full.

Subsidiaries

All dividends received from subsidiaries are recognised in profit or loss in the financial statements of the company when its entitlement to receive the dividends has arisen. When such dividends are received, the company considers whether this indicates an impairment of the investment.

The company carries its investments in subsidiaries at fair value through other comprehensive income. The financial statements of subsidiaries are prepared for the same reporting period as the company, using consistent accounting policies.

1.3 Joint arrangements

A joint arrangement can be classified as a joint venture or joint operation depending on the structure, legal form and contractual arrangement thereof. The Group's joint arrangement relating to the Truworths Africa segment's distribution centre is classified as a joint operation.

The Group, as joint operator, recognises its assets, liabilities and transactions including its share of those incurred jointly, in both its consolidated and separate financial statements. The respective assets, liabilities and transactions are accounted for in accordance with the relevant IFRS Accounting standards.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.4 Significant judgements and estimates in the preparation of annual financial statements

In the preparation of the annual financial statements, management is required to make judgements, estimates and assumptions that affect the application of accounting policies and the reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement are inherent in the formation of estimates. Actual results in the future could differ from these estimates made and these differences may be material to the financial statements within the next reporting period. Significant areas of estimation, uncertainty and critical judgements made in applying the Group's accounting policies that potentially have a material effect on the amounts recognised in the financial statements are as follows:

a) Impairment of non-financial assets

The Group assesses its non-financial assets for impairment in terms of the accounting policy set out in note 1.12. Impairment assessments require significant judgement. The Group evaluates amongst other things current trading performance, the business and macroeconomic outlook, technological advancements and the potential redeployment of assets. Refer to notes 2, 3, 4 and 5 for further detail on the specific judgements applied in assessing each class of non-financial assets for impairment (or impairment reversal).

b) Expected credit losses (ECL) allowance on financial assets

The Group assesses its ECL allowances in relation to its trade receivables at each reporting date. The ECL allowances are determined separately for the Group's active and charged-off trade receivables portfolios and are measured at a portfolio level.

The determination of the ECL allowances involves significant judgement and estimation and is governed by a formally mandated committee appointed by the board of the Group's wholly-owned subsidiary and licensed credit provider, Truworths Ltd. In determining its ECL allowances the Group has adopted the general approach, which involves a three-stage approach to the recognition of credit losses and interest:

- Stage 1: Credit risk has not increased significantly since initial recognition of the financial assets. The ECL allowance is recognised on initial recognition and measured at an amount equal to the portion of lifetime expected credit losses in respect of such assets that result in possible default events within the next 12 months. Interest is recognised on a gross receivables basis.
- Stage 2: At each reporting date the Group assesses whether there has been a significant increase in credit risk since initial recognition of the financial assets. The Group considers that there is a significant increase in credit risk when a customer's account is in arrears for more than 30 days based on contractual payment requirements. Where there is evidence of significant increase in credit risk, the ECL allowance is based on lifetime expected credit losses in respect of such assets. Interest is recognised on a gross receivables basis.
- Stage 3: At each reporting date the Group assesses whether the financial assets are credit-impaired. The Group's definition of credit-impaired is aligned to its internal definition of default which occurs when a customer's account is in arrears for more than 90 days based on contractual payment requirements. When a financial asset is considered to be credit-impaired, the ECL allowance is measured over the lifetime of the financial asset. Interest is recognised on a net receivables basis (i.e. the gross carrying amount less the impairment provision).

In estimating the ECL allowance, the anticipated timing and amount of cash flows is estimated with reference to historical collections information of similar trade receivables. Refer to note 11 for further detail.

c) Bad debts

Active trade receivables (i.e. in-store accounts reflecting a balance owing to the Group) are assessed for charge-off or write-off when:

- the customer has been in default for 210 days; and
- the customer has not made a qualifying payment since account billing in the immediately preceding calendar month; or
- the customer has not met certain behavioural risk score cut-offs (holdback criteria) determined by the Group's account management practices. These behavioural risk score cut-offs are not met when Group's internal and external scorecards identify that there is no or only remote possibility of payment.

Accounts that meet the criteria set out above are either charged-off or written-off based on further assessment as set out below:

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.4 Significant judgements and estimates in the preparation of annual financial statements (continued)

- Accounts that show some likelihood of curing over a period longer than 210 days based on the Group's behavioural risk scorecards are charged-off from the active trade receivables portfolio and moved to a separate charged-off trade receivables portfolio with bespoke collections strategies applied to them, with rehabilitation as the key outcome. There are separate criteria within the charged-off trade receivables portfolio to write-off (derecognise) accounts when scorecards indicate further deterioration resulting in no reasonable expectation of recovery.
- Accounts that do not meet the behavioural risk qualifying criteria to be included in the charged-off portfolio are written off (derecognised).

Furthermore, accounts that are subject to legal processes (i.e. in legal status) are written off immediately.

d) Useful lives and residual value of assets

The Group assesses the estimated useful lives and residual values of property, plant and equipment and intangible assets at each reporting date. These estimates take cognisance of current market and trading conditions for the Group's specific assets. In addition, the useful life estimates consider the risk of obsolescence due to advances in technology. Refer to notes 2 and 5 for further detail.

The Group's acquired trademarks are judged to have indefinite useful lives as they are prominent and established fashion apparel and footwear brands in their respective markets. For this reason there is no foreseeable limit to the period over which the trademarks are expected to generate net cash inflows for the Group. The useful lives of trademarks are assessed at each reporting date. This judgement is based on the market and trading conditions applicable to the Group and management's expectations and strategy for the use of the trademarks. Refer to note 5 for further detail.

e) Allowances for inventories

The allowance for markdown of inventory takes into account historic information related to sales trends and represents the expected markdown between the original cost and the estimated net realisable value of the inventory. The net realisable value assigned to inventory is the expected net selling price in the ordinary course of business less the estimated costs of completion (where applicable) less the estimated costs to make the sale. Significant judgement is applied in the determination of the expected net selling price, which considers historic markdown trends to achieve the Group's end-of-season terminal inventory objectives. The allowance for shrinkage applies the historic shrinkage experience (measured as a percentage to sales), between the most recent inventory count and the reporting date, to the inventory on hand at the reporting date. Refer to note 10 for further detail.

f) Fair value of subsidiaries

The fair value of subsidiaries in the company annual financial statements is determined using third-party valuation multiples, specifically enterprise value to earnings before interest, tax and depreciation (EV/EBITDA), adjusted for control, marketability and other relevant factors, and sustainable EBITDA levels. Refer to notes 2 and 8.6.1 of the company annual financial statements for further detail.

g) Taxation

In determining the liability for taxation (including indirect and withholding taxes) management makes certain assumptions regarding the interpretation of the relevant taxation legislation and its practical application by the relevant revenue authorities.

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which such losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax planning strategies.

Tax benefits on uncertain tax positions are not recognised unless the Group's tax position is more likely than not to be accepted by tax authorities. If considered probable of not being accepted, management reviews each material tax benefit and reflects the effect of the uncertainty in determining the related taxable result. Where the amount of tax payable or recoverable is uncertain, the Group recognises a liability based on either the Group's estimate of the most likely amount. When there is a wide range of possible outcomes, a probability weighted approach is applied.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.4 Significant judgements and estimates in the preparation of annual financial statements (continued)

h) Leases Incremental borrowing rate (IBR) term

The Group cannot readily determine the interest rate implicit in its leases. Accordingly, the Group applies its incremental borrowing rate (IBR) to measure lease liabilities. Where the Group has existing borrowings with external parties, the incremental borrowing rate is determined using actual margins, adjusted for market rates, company specific risk as well as the term of the lease. Where there are no borrowings with external parties, the Group applies an incremental borrowing rate similar to rates that would have been incurred to borrow funds equivalent in value to the right-of-use assets for a similar term.

The Group generally enters into retail store leases for periods no longer than five years to ensure flexibility in the overall lease portfolio given the fast changing retail landscape. This ensures that the Group can exit leases within a relatively short period of time. Accordingly, it is generally not possible at the time of entering into the lease to determine with reasonable certainty whether an option to extend the lease (if available) will be exercised, as the sales and profitability of a retail store are subject to several unknown factors including the development of new retail space in close proximity and the on-going migration of sales from stores to online platforms. In the case of individually significant leases, based on sales, profitability, geographic spread and key retail locations, the Group considers the inclusion of extension options in the assessment of the lease term, provided that such inclusion does not result in the lease term exceeding ten years. For all other leases that are not considered to be individually significant, no option periods are included in the assessment of the lease term.

i) Insurance cell captive

The Group has determined that it does not have control of its short-term insurance cell captive arrangement as the current insurance legislative framework regards all the assets and liabilities in the cell as that of the insurer. Therefore the cell captive is not considered to be a silo in accordance with IFRS 10. The Group has therefore not consolidated the cell captive.

In terms of the arrangement the Group is exposed to financial risk rather than insurance risk and has therefore accounted for its investment in the cell captive as an asset held at fair value through profit or loss (FVTPL) in accordance with IFRS 9.

The insurance cell captive does not fall within the scope of IFRS 17 as:

- the entities within the Group do not issue insurance contracts nor do they hold any reinsurance contracts; and
- the Group does not carry insurance risk with regard to the insurance cell captive as any claims in excess of the cell's insured limits are covered by third party insurance contracts.

Refer to note 7 for further detail.

j) Post-retirement medical benefits

The Group provides limited post-retirement medical benefits and obtains an actuarial valuation annually of its net obligation in this regard. The key assumptions applied in arriving at the net obligation relate to mortality rates and other demographic information, medical inflation rates, investment return, the discount rate and current market conditions, and are determined in consultation with an expert actuary with full knowledge of the Group's post-retirement medical aid policy. Refer to note 18.1 for further detail.

k) Share-based payments

Fair value of equity-settled share appreciation rights

The fair value of share appreciation rights granted in terms of the 2012 share incentive scheme is determined with the use of a binomial option pricing model. The key assumptions applied in the calculation include estimates of the expected volatility and dividend yield of the company's shares, the risk-free interest rate and, for equity-settled share appreciation rights, the forfeiture rate. Refer to note 28.5 for further detail.

Fair value of equity-settled shares granted with market-based performance conditions

The fair value of performance shares with market-based performance conditions granted in terms of the 2012 share incentive scheme is determined using a Monte-Carlo simulation pricing model. The key assumptions applied in the calculation include the expected volatility and dividend yield of the company's shares, the risk-free interest rate and the forfeiture rate. Refer to note 28.5 for further detail.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.4 Significant judgements and estimates in the preparation of annual financial statements (continued)

l) Bank overdraft

The overdraft facilities are assessed annually based on actual utilisation patterns, to determine whether the account balance is consistently negative or fluctuates from positive to negative within the working capital cycle. Based on the current year utilisation, it is management's judgement, that for the current year the overdraft involves the management of cash and should therefore be disclosed as part of cash and cash equivalents.

m) Joint arrangement

A joint arrangement can be classified as a joint venture or joint operation depending on the structure, legal form and contractual arrangement thereof, and is therefore subject to the exercise of judgement.

The Group, through a separate real estate investment subsidiary, co-developed and owns a 50% undivided share in a distribution centre which is let to the main operating subsidiary of the Truworths Africa segment, Truworths Ltd. The other 50% undivided share is owned by King Air Industria ("KAI"). The distribution centre was developed on industrial land subject to a 99-year lease, which is owned jointly by the said real estate investment subsidiary and KAI. The arrangement is governed by a co-ownership agreement between the parties.

The Group determined this arrangement to be a joint operation as a result of the following facts and circumstances:

- The Group's real estate investment subsidiary and KAI collectively direct all the relevant activities of the joint arrangement, as per the contractual agreements;
- Both parties have a 50% exposure to all returns and shortfalls in the joint arrangement;
- Both parties were equally responsible for the development of the distribution centre; and
- In accordance with the co-ownership agreement both parties are responsible for the liabilities, costs and expenses of the arrangement relative to their undivided share.

n) Charitable trusts

The Group carries on its charitable and enterprise development activities through four trusts, namely the Truworths Chairman's Foundation, the Truworths Community Foundation, the Truworths Social Involvement Trust and the Truworths Enterprise Development Trust. These Trusts were initially funded by the Group's main operating subsidiary in the Truworths Africa segment, Truworths Ltd, and use the investment returns earned on the trust assets to fund the Group's charitable and enterprise development donations. Charitable activities are conducted under the "Truworths Involved" banner.

Based on the assessment done by management, it was concluded that the Group exercises control over these trusts in accordance with IFRS 10: Consolidated Financial Statements, notwithstanding that the trust investments and capital may never be returned to the Group. Accordingly, these trusts are consolidated in the Group results.

o) Going concern assessment

The directors have reviewed the Group's budget, cash flow and working capital forecasts and medium-term financial forecasts. On the basis of this review, and taking into account the Group's current strong financial position at the reporting date as well as the level of existing borrowing facilities and the Group's overall borrowing capacity, the directors are satisfied that the Group is a going concern and have continued to adopt the going concern basis in preparing the annual financial statements. All covenants related to the Group's borrowings, which include gearing and debt serviceability ratios, have been met throughout the period and show significant headroom on an actual and forecast basis.

1.5 Foreign currency translation

Functional and presentation currencies

The Group and company financial statements are presented in South African Rand (ZAR), the functional currency of the company. Each entity in the Group determines its own functional currency depending on the country of operation of the entity, and items included in the financial statements of each entity are measured in that currency.

Translation of foreign currency transactions and balances

Transactions in foreign currencies are translated to the company's functional currency at exchange rates prevailing at the date of the transaction. Subsequent to initial measurement, monetary assets and liabilities are translated at exchange rates prevailing at the reporting date. Non-monetary items carried at cost are translated using the exchange rate at the date of the transaction, whilst assets carried at fair value are translated at the exchange rate when the fair value was determined.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.5 Foreign currency translation (continued)

Exchange differences arising on the settlement of monetary items or on translation of monetary items at rates different from those at which they were translated at initial recognition are recognised in profit or loss. Exchange differences on non-monetary items carried at fair value are recognised in profit or loss, except where the fair value adjustments are recognised in other comprehensive income, in which case the translation differences arising are recognised in other comprehensive income.

Translation for consolidation

For financial statement consolidation purposes, the assets and liabilities of entities with a functional currency other than the Rand are translated into Rand at the exchange rates prevailing at the reporting date, and their statements of comprehensive income are translated at the average exchange rates of the reporting period, with the exception of individually significant transactions, such as asset impairments, that occur on specific dates that are translated at the prevailing exchange rates on those dates. Exchange differences arising on translation for consolidation are recognised in other comprehensive income in a separate foreign currency translation reserve (FCTR).

1.6 Property, plant and equipment

Initial recognition and measurement

An item of property, plant and equipment is recognised as an asset if it is probable that future economic benefits associated with the item will flow to the entity, and the cost of the item can be reliably measured. Each item that qualifies for recognition is initially measured at cost and includes any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Subsequent measurement

Buildings owned by the Group are classified as owner-occupied property and carried at cost less accumulated depreciation and/or accumulated impairment losses, if any. Land is carried at cost less accumulated impairment losses, if any, and is not depreciated. Motor vehicles, plant, equipment, furniture and fittings, and computer equipment are carried at cost less accumulated depreciation and/or accumulated impairment losses, if any. When these assets comprise major components with different useful lives, these components are accounted for as separate items. Expenditure incurred to replace or modify a significant component of these assets is capitalised if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be reliably measured. Any remaining carrying amount of the component replaced is written off in profit or loss or derecognised on disposal. All other expenditure is recognised in profit or loss.

Depreciation

Buildings, motor vehicles, plant, equipment, furniture and fittings and computer equipment are depreciated to their estimated residual values on a straight-line basis over their expected useful lives. The depreciation methods, estimated remaining useful lives and residual values are reviewed at each reporting date, taking into account technological innovations and asset maintenance programmes. A change resulting from the review is treated as a change in accounting estimate.

The depreciation expense is recognised in profit or loss in the depreciation and amortisation expense category. Depreciation commences when an asset is available for its intended use, and ceases temporarily if the residual value exceeds or is equal to the carrying amount. The following estimated useful lives apply:

Buildings	10 – 20 years
Motor vehicles	4 years
Plant and equipment	10 – 20 years
Furniture and fittings (including shopfittings)	5 – 10 years
Computer equipment	5 years

Derecognition

Gains or losses arising on disposal or scrapping of property, plant and equipment, being the difference between the net proceeds on disposal or scrapping and the carrying amount, are included in profit or loss in the period of derecognition.

Impairment

Property, plant and equipment are subject to impairment testing. Refer to notes 1.4a) and 1.12.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.7 Borrowing costs

Borrowing costs incurred which are directly attributable to the acquisition, construction or production of an asset over a substantial period of time to get ready for its intended use, are capitalised to the cost of the related qualifying asset.

Where specific funding is obtained to finance a qualifying asset the borrowing costs are the actual costs incurred in respect of that specific funding less any income earned on the temporary investment of such borrowings. General borrowing costs are capitalised by making use of a capitalisation rate that represents the weighted average borrowing costs applicable to the general funding pool.

1.8 Goodwill

Initial recognition and measurement

Goodwill arising from a business combination is initially measured at cost, being the excess of the aggregate of the fair value of the consideration transferred and the amount (if any) recognised for the non-controlling interest over the fair value of the net identifiable assets acquired and liabilities assumed. If the consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is a bargain purchase gain and is recognised in profit or loss.

At the acquisition date, any goodwill acquired is allocated to each of the cash-generating units ("CGU") expected to benefit from the acquisition, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Subsequent measurement

Goodwill is stated at cost less accumulated impairment losses, if any.

Impairment

Goodwill is subject to impairment testing. Refer to notes 1.4a) and 1.12

1.9 Trademarks

The Group's acquired trademarks are classified as intangible assets with indefinite useful lives.

Initial recognition and measurement

Where payments are made for the acquisition of trademarks, the amounts are capitalised at cost. Trademarks acquired through an acquisition of an entity are initially recognised at fair value.

At the acquisition date, any trademarks acquired are allocated to each of the CGU expected to benefit from the acquisition, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Subsequent measurement

Acquired trademarks are stated at cost less accumulated impairment losses, if any. Subsequent expenditure incurred is capitalised if it is probable that future economic benefits associated with the trademarks will flow to the entity and costs can be reliably measured.

Impairment and impairment reversal

Trademarks are subject to impairment testing. Refer to notes 1.4a) and 1.12.

1.10 Computer software

Computer software is classified as an intangible asset with a finite useful life.

Purchased software and the direct costs associated with the customisation and installation thereof are capitalised. Expenditure on software developed internally is capitalised if the following criteria are satisfied:

- it can be demonstrated that it is probable that the intangible asset will generate future economic benefits;
- it is technically feasible to complete the asset;
- the intention and ability to complete and use the asset exist;
- adequate financial, technical and other resources to complete the development are available; and
- the costs attributable to the process or product can be separately identified and reliably measured.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.10 Computer software (continued)

Subsequent measurement

Computer software is stated at cost less accumulated amortisation and accumulated impairment losses, if any. Expenditure incurred to restore or maintain the originally assessed future economic benefits of existing software is recognised in profit or loss. Expenditure incurred to replace or modify software is capitalised if it is probable that future economic benefits associated therewith will flow to the entity and the cost thereof can be reliably measured.

Amortisation

Computer software is amortised to its estimated residual value on a straight-line basis over its expected useful life of 5 to 10 years. Amortisation commences when the computer software is available for its intended use, and ceases temporarily if the residual value exceeds or is equal to the carrying amount. Amortisation ceases permanently at the earlier of the date the asset is classified as held for sale in accordance with IFRS 5 and the date that the asset is derecognised. The amortisation period, amortisation method and residual values are reviewed at each reporting date. A change resulting from the review is treated as a change in accounting estimate. The amortisation expense is recognised in profit or loss in the depreciation and amortisation expense category.

Derecognition

Gains or losses arising on disposal or scrapping of computer software, being the difference between the net proceeds on disposal or scrapping and the carrying amount, are included in profit or loss in the period of derecognition.

Impairment and impairment reversal

Trademarks are subject to impairment testing. Refer to notes 1.4a) and 1.12.

1.11 Leases

The Group recognises a 'right-of-use asset' in respect of its leases of immovable property, representing the right to use the underlying asset, and the liability to make lease payments over the lease term, with the exception of short-term leases and leases of low value assets.

The Group has elected to apply the exemptions available in respect of the recognition of both short-term leases and low-value assets to all relevant leases. Accordingly, the lease payments in terms of such leases are accounted for as expenses on a straight-line basis.

For a contract that is, or contains, a lease, lessees are required to account for each lease component within the contract as a lease separately from non-lease components of the contract, unless the practical expedient is applied. Given the complexity and subjectivity involved in distinguishing lease from non-lease components, the Group has elected to apply this practical expedient and is therefore not accounting for lease and non-lease components separately. As a result the right-of-use asset in respect of fixed property leases recognised by the Group includes fixed non-lease components such as operating costs and merchants' association contributions.

The Group recognises a right-of-use asset and lease liability at the lease commencement date at a value equal to the present value of future lease payments over the lease term, discounted using the Group's relevant incremental borrowing rate for the respective lease.

Right-of-use assets

Right-of-use assets are initially measured at cost, which comprises the initial amount of the lease liability over the term of the lease, plus any lease payments made at or before the lease commencement date, initial direct costs of a lease, and dismantling costs, less any lease incentives received.

The right-of-use asset is subsequently measured at cost less accumulated depreciation and accumulated impairment losses (cost model), as well as being adjusted for the impact of lease modifications. The right-of-use asset is depreciated using the straight-line basis from the lease commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Impairment of right-of-use assets

Right-of-use assets are subject to impairment testing. Refer to notes 1.4a) and 1.12.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.11 Leases (continued)

Lease liabilities

The lease liability is initially measured at the present value of the lease payments to be made over the lease term, discounted using the Group's incremental borrowing rate, and taking into account duration, country, currency and inception of the lease. Subsequently the lease liability is increased for interest and reduced for lease payments, as well as being adjusted for the impact of lease modifications.

The lease payments included in the measurement of the lease liability comprise:

- fixed payments less any lease incentives receivable; and
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.

Variable lease payments that do not depend on an index or rate (such as turnover-based rental payments) are not included in the measurement of the right-of-use asset or lease liability. These related payments are recognised as expenses in the statement of comprehensive income under occupancy costs in the period in which the event or condition that triggers those payments occur.

The lease liability is subsequently measured at amortised cost using the effective interest method.

Lease modifications

The lease liability is re-measured when there is a modification to a term that was not contained in the original lease agreement and such modification is not accounted for as a separate contract.

For lease modifications that do not result in a separate lease, the Group allocates the consideration in the contract and re-measures the lease liability using the lease term and the discount rate as determined at the effective date of the modification. For a modification that fully or partially decreases the scope of a lease, the carrying amount of the right-of-use asset is reduced to reflect partial or full termination of the lease. Any difference between the adjustments in the right-of-use asset and the lease liability is recognised in profit or loss at the effective date of the modification. For all other lease modifications which are not accounted for as separate leases, the amount of the re-measurement of the lease liability is accounted for as an adjustment to the corresponding right-of-use asset and if the right-of-use asset is reduced to zero then any further reduction in the lease liability will be recognised in profit or loss.

A revised discount rate is applied when lease payments are updated for a change in the lease term. When lease payments are updated for a change in payments that are dependent on an index or rate, the original discount rate is applied unless the rate is a floating interest rate.

The lease term is reassessed upon the occurrence of a significant event or a significant change in circumstance that is within the control of the Group that results in the Group becoming reasonably certain to exercise a renewal option in respect of a period not previously included in the lease term, or conversely becoming no longer reasonably certain that a renewal option in respect of a period previously included in the lease term will be exercised. The most significant event for the Group is when landlord negotiations occur during the lease term, which result in the addition of further renewal options not included in the initial lease term or that result in the extension of the current or future lease periods.

Group as a lessor

Leases of immovable property in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising from these leases is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature.

1.12 Impairment of non-financial assets

The Group performs a review of all non-financial assets at each reporting date to determine whether there is any indication of impairment. These reviews are also performed whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. If any impairment indicators exist, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount for an individual asset, the recoverable amount is determined for the CGU to which the asset belongs.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.12 Impairment of non-financial assets (continued)

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. Impairment losses are recognised as an expense in other operating costs.

For goodwill and intangible assets that have indefinite useful lives, the recoverable amount is tested at each reporting date.

All previously impaired assets are assessed at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the asset's (or CGU's) recoverable amount is estimated.

A previously recognised impairment loss will be reversed in so far as estimates change as a result of an event occurring after the impairment was recognised. In making this assessment, which requires significant judgement, the Group considers both quantitative and qualitative factors, including the recoverable amount and whether there are any observable internal indicators (e.g. the economic performance of the CGU is or will be better than expected) or external indicators (e.g. significant changes in the external environment that will have a favourable impact on the value of the CGU) that the value has increased significantly. An impairment is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount had no impairment previously been recognised. A reversal of impairment is recognised in profit or loss as other income. Impairment losses in respect of goodwill are not reversed in accordance with IFRS Accounting Standards. Refer to note 3 for further information.

1.13 Financial instruments

Financial instruments recognised in the statement of financial position include assets held at fair value, derivative financial assets/liabilities, loans and receivables, trade and other receivables, cash and cash equivalents, interest-bearing borrowings, bank overdraft, lease liabilities, put option liabilities and trade and other payables. Financial instruments are recognised only when the Group becomes party to the contractual provisions of the instrument.

Initial recognition and measurement

The Group determines the classification of its financial assets and liabilities at initial recognition and, where allowed and appropriate, in limited instances, re-evaluates this designation at each reporting date. The classification of financial assets is based on the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Financial instruments are initially measured at fair value plus, in the case of a financial asset or liability not at FVTPL, transaction costs directly attributable to the acquisition or issue of the financial asset or financial liability. Subsequent measurement and impairment for each category is specified below.

All regular way purchases and sales of financial assets are recognised on the trade date, which is the date that the Group commits to purchase or sell the asset.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

In order for a financial asset to be classified and measured at amortised cost or fair value through other comprehensive income (FVOCI), it needs to give rise to cash flows that are solely payments of principal and interest. In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement and if not, the asset is classified and measured at FVTPL.

Fair value

The fair value of financial instruments traded in active financial markets is determined with reference to quoted prices at the close of business on the reporting date. For financial instruments where there is no active market, fair value is determined using valuation techniques. Such techniques include reference to externally quoted EV/EBITDA multiples published by independent analysts, quoted market prices, recent arm's length transactions and other recognised valuation methodologies.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.13 Financial instruments (continued)

Categories of financial instruments and subsequent measurement

Financial assets and liabilities measured at FVTPL

The Group measures its derivatives in the form of forward exchange contracts, short-term insurance cell captive and investments in money market funds at FVTPL.

Financial assets and liabilities measured at FVTPL

Forward exchange contracts

The fair value of forward exchange contracts is calculated with reference to current forward exchange contracts traded in the open market with similar maturity profiles at the reporting date. Gains and losses arising from changes in the fair value of forward exchange contracts are recognised under other income and other operating expenses respectively, with a corresponding current asset (in the event of a gain) or liability (in event of a loss) in the statement of financial position.

Short-term insurance cell captive

The fair value of the Group's short-term insurance cell captive underwritten by an insurer is determined quarterly with reference to the net asset value of the cell captive, as determined jointly by the insurer and the Group's short-term insurance brokers.

Investments in money market funds

The fair value of the Group's money market fund investments is determined with reference to the net asset value of the investment fund units as published by the fund managers.

Investments in mutual funds

The fair value of the investment in mutual fund units is determined annually with reference to the quoted unit prices at the close of business on the reporting date.

Financial assets measured at FVOCI

Shares in subsidiaries, personal lines insurance business arrangement and the unlisted investment are classified as equity instruments and have been designated as assets measured at FVOCI as these instruments are not held for trading.

Subsequent to initial measurement, these financial assets are measured at fair value. Gains or losses arising on the change in fair value of these financial assets are recognised in other comprehensive income without reclassifying to profit or loss upon derecognition.

The fair value of subsidiaries in the company annual financial statements is determined with reference to income valuation multiples, specifically enterprise value (EV)/EBITDA, adjusted for control, marketability and other relevant factors. This methodology combines the principles of the income and market approach.

The fair value of the Group's personal lines insurance business arrangement with an insurer is determined monthly with reference to a net asset value calculation stipulated in the contract and performed by the insurer.

Financial assets measured at amortised cost

Various amounts owing to the Group, trade and other receivables and cash and cash equivalents are classified as debt instruments.

Subsequent to initial measurement, these financial assets are carried at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when these financial assets are derecognised or impaired, as well as through the amortisation process.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.13 Financial instruments (continued)

Where account sales are made on an interest-free basis, the related receivables are recognised at the fair value on transaction date and notional interest is recognised over the interest-free period.

Subsequently, such receivables are measured at amortised cost using the effective interest method, less an ECL allowance.

Financial liabilities measured at amortised cost

Non-derivative financial liabilities including interest-bearing borrowings and trade and other payables are recognised at amortised cost. Gains and losses are recognised in profit or loss when the financial liabilities are derecognised as well as through the amortisation process.

Offset

Financial assets and liabilities are off-set and the net amount reported in the statement of financial position when there is a current legally enforceable right to off-set the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

Derecognition of financial assets and liabilities

A financial asset, or a portion of a financial asset, is derecognised where:

- the rights to receive cash flows from the asset have expired;
- the Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement; or
- the Group has transferred its rights to receive cash flows from the asset and either:
 - (i) has transferred substantially all the risks and rewards of the asset; or
 - (ii) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or has expired.

1.14 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, current account balances and short-term deposits, (mainly overnight call accounts) in accordance with the Group's treasury policy. Cash equivalents are short-term highly liquid investments that are readily convertible to known amounts of cash which are subject to an insignificant risk of change in value. Cash and cash equivalents are classified as financial assets measured at amortised cost.

For the purposes of the statement of cash flows, outstanding bank overdrafts are deducted from cash and cash equivalents and disclosed on a net basis based on management's assessment of the nature and utilisation of such overdrafts. Refer to note 1.5 for further information.

1.15 Expected credit losses (ECL) allowances on financial assets

The Group recognises an allowance for ECLs for all debt instruments not held at FVTPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and the cash flows that the Group expects to receive, discounted using the blended, portfolio-level effective interest rate of the in-store account portfolio and the original effective interest rate applicable to other financial assets held at amortised cost.

1.16 Inventories

Inventories comprising finished goods, manufacturing work-in-process and raw materials (comprising mainly apparel fabrics and trims) are valued at the lower of cost and net realisable value. The cost of finished goods, work-in-process and raw materials is calculated using the weighted average method, where applicable. Allowances are made for markdown and shrinkage, where appropriate. Write-downs to net realisable value and inventory losses are recognised in profit or loss in the reporting period in which the write-downs or losses occur. The net realisable value of inventories is the estimated selling price in the ordinary course of business, less the estimated costs of completion (where applicable) less the estimated costs to make the sale.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.16 Inventories (continued)

Inventories are physically verified at least once a year through the performance of inventory counts, and shortages identified are written off immediately. An allowance is raised at the reporting date, based on historical trends, for inventory losses judged to have been incurred between the last physical count and the reporting date.

1.17 Share capital and share premium

Issued share capital and share premium (if any) are stated as the amount of the proceeds received on the issue of shares less directly attributable issue costs (if any).

1.18 Treasury shares

Shares in the company repurchased and held by Group subsidiaries, as well as unvested shares held by a Group subsidiary for employee participants in the Group's 2012 share plan, are classified as treasury shares. The cost price of these shares, together with related transaction costs, is deducted from equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Group's treasury shares. The issued and weighted average number of shares of the company is reduced by the treasury shares for the purposes of the basic and headline earnings per share calculations. Dividends received on treasury shares are eliminated on consolidation, except to the extent that they are paid to participants in the 2012 share plan.

When treasury shares held for participants in the 2012 share plan vest and are transferred to such participants, the shares are no longer classified as treasury shares deducted from equity and their number is taken into account for the purposes of basic and headline earnings per share calculations.

When treasury shares are subsequently cancelled, the company's share capital and premium are reduced by the cost of the shares with the number of shares deducted from both the number of shares in issue and the weighted average number of shares. Once the company's share premium had been fully depleted by such reductions, the premium on repurchased shares was deducted from retained earnings.

1.19 Employee benefits

The Group remunerates its employees with short-term employee benefits and participates in seven defined contribution retirement funds and one defined benefit post-retirement healthcare fund. In addition, certain employees are remunerated with share-based payments.

Short-term employee benefits

Remuneration to employees is recognised in profit or loss as the services are rendered, except for non-accumulating benefits that are only recognised when the specified event occurs. Provision is made for accumulated and incentive bonuses.

Defined contribution plans

The Group's contributions to the defined contribution retirement funds are based on a percentage of the pensionable payroll and are recognised as an expense in profit or loss in the reporting period in which the services are rendered by the relevant employees.

Defined benefit post-retirement healthcare plan

The Group has an obligation to provide certain post-retirement medical benefits to eligible employees, and pensioners as former employees, who entered into the Group's employment prior to 30 June 2000. The obligation is conditional upon such employees retiring whilst being in the employment of the Group.

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method.

Re-measurements, comprising actuarial gains and losses, the effect of the asset ceiling (excluding net interest) and the return on plan assets (excluding net interest), are recognised immediately in the statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.19 Employee benefits (continued)

Past service costs are recognised in profit or loss on the earlier of:

- the date of the plan amendment or curtailment; and
- the date that the Group recognises restructuring-related costs.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

Refer to note 18 for further information.

Share-based payments

Equity-settled restricted/performance shares, and share/performance appreciation rights (collectively 'equity-based awards')

Employees of the Group, including executive directors, receive remuneration in the form of equity-based awards, whereby they render services in exchange for such equity-based awards which are, or are referenced to, the company's JSE-listed shares.

The cost of the services to be received from employees and the corresponding increase in the equity-settled compensation reserve are measured with reference to the fair value of the company's shares on the date on which the equity-based awards are granted. The fair value of performance shares subject to market-based performance vesting conditions is determined using a Monte-Carlo simulation pricing model (refer to note 28.5.1 for further detail). The fair value of the share and performance appreciation rights is determined using an actuarial binomial model (refer to note 28.5.1 for further detail). Non-vesting conditions and vesting conditions, to the extent that they are conditions linked to the price of the company's shares (i.e. market conditions), if any, are taken into account in determining the fair value of the equity-based awards.

The cost of these equity-based awards is recognised in profit or loss, together with a corresponding increase in total equity under the equity-settled compensation reserve, over the vesting period. The cumulative expense recognised for equity-based awards granted at each reporting date until the vesting date reflects the extent to which the vesting period has expired, as well as the Group's best estimate of the number of equity-based awards that will ultimately vest. The estimate is revised if subsequent information indicates that the number of equity-based awards expected to vest differs from previous estimates. No expense is recognised for equity-based awards that do not ultimately vest. Where awards are made subject to a market-based performance condition, the awards are treated as vested irrespective of whether the condition is satisfied, provided that all other performance and/or service conditions are satisfied.

Where the terms of an award are modified, as a minimum, an expense is recognised as if the terms had not been modified. In addition, an expense is recognised for any modification that increases the total fair value of the equity-based awards, or is otherwise beneficial to the employee as measured at the date of modification.

However, if a new award is substituted for a cancelled award and designated as a replacement award on the date that it is granted, the cancelled and new awards are treated as if they were a modification of the original award, as described above.

The effect of unvested equity-based awards is reflected in the computation of diluted earnings per share. Refer to note 31.2 for further detail.

1.20 Taxes

The tax expense consists of current tax and deferred tax.

Current tax

The current tax charge is the expected tax payable on the taxable income for each entity for the reporting period and where applicable prior reporting periods. The tax rates and tax laws used to compute this amount are those that are enacted or substantively enacted at the reporting date.

Current tax is recorded in profit or loss, unless the underlying transaction that led to the tax expense was accounted for in other comprehensive income or equity. In such an event the tax expense is also recorded in other comprehensive income or equity, as appropriate.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.20 Taxes (continued)

Deferred tax

The provision for deferred tax assets and liabilities reflects the tax consequences that would follow from the expected recovery or settlement of the carrying amount of the Group's assets and liabilities. Deferred tax is provided, using the comprehensive balance sheet method, for temporary differences at the reporting date between the tax bases of assets or liabilities and their respective carrying amounts.

A deferred tax liability is recognised, except to the extent that it arises from:

- the initial recognition of goodwill; or
- the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither accounting profit (or loss) nor taxable income (or tax loss).

A deferred tax liability is recognised for all taxable temporary differences associated with the assets and liabilities of Group subsidiaries, except to the extent that both of the following conditions are satisfied:

- the entity is able to control the timing of the reversal of the temporary difference; and
- it is probable that the temporary difference will not reverse in the foreseeable future.

A deferred tax asset is recognised where it is probable that, in the foreseeable future, taxable income will be available against which the deferred tax asset can be realised. A deferred tax asset is not recognised where:

- it arises from a transaction that is not part of a business combination; and
- at the time of the transaction, it has not affected accounting profit (or loss) or taxable income (or tax loss).

The carrying amount of deferred tax assets is reviewed at the reporting date and reduced to the extent that it is no longer probable that sufficient future taxable income will be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable income will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date. Deferred tax assets and deferred tax liabilities are off-set, if the Group has a legally enforceable right to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Deferred tax is recorded in profit or loss, unless the underlying transaction that led to the tax expense was accounted for in other comprehensive income or equity. In such an event the tax expense is also recorded in other comprehensive income or equity, as appropriate.

Dividends tax

Dividends tax in South Africa is not levied on the company paying the dividend but on the beneficial owner of the share and accordingly does not require recognition in the company's profit or loss. Dividends tax withheld by the company on dividends paid to its shareholders (who do not qualify for an exemption from the tax) and payable to the South African Revenue Service (where applicable) is included in trade and other payables in the statement of financial position.

1.21 Provisions

A provision is recognised when the Group has a present legal or constructive obligation as a result of a past event, it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense related to any provision is recognised in profit or loss. If the effect of the time value of money is material, a discount rate is applied to determine the present value of the provision. Where discounting is applied the annual increase in the provision due to the passage of time is recognised as an interest expense in profit or loss.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.21 Provisions (continued)

Employment provisions

Employee entitlements to annual leave and bonuses are recognised as they accrue to employees when there is a legal or constructive obligation to make such payments as a result of past performance. Such obligations are measured in terms of IAS 19.

Sales returns

The Group's sales return policy creates a legal obligation to accept merchandise returned within 30 days of sale provided the customer has retained proof of purchase. The provision is calculated with reference to prior period sales returns trends.

A refund liability is recognised for the obligation to refund some or all of the consideration received (or receivable) from a customer. The Group's refund liabilities arise from customers' right of return. The liability is measured at the amount the Group ultimately expects it will have to return to customers. The Group updates its estimates of refund liabilities (and the corresponding change in the transaction price and revenue) at each reporting date.

A right-of-return asset is recognised for the right to recover the goods expected to be returned by customers. The asset is measured at the former carrying amount of the inventory, less any potential decreases in value. The Group updates the measurement of the asset for any revisions to the expected level of returns and any additional decreases in the value of the returned products.

Occupancy commitments provision

Store closure commitments, unless they are in the scope of IFRS 16, are recognised as a provision when there is a legal obligation to dismantle store fixtures and fittings and restore leased stores to their original condition when they are vacated.

Where applicable the cost of the right-of-use assets includes an estimate of costs to be incurred by the Group as lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. The Group incurs the obligation and raises a provision for those costs either at the commencement date or as a consequence of having used the underlying asset during a particular period.

1.22 Revenue

The Group recognises revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. Revenue is recognised when (or as) a performance obligation is satisfied by transferring a promised good or service to a customer and the customer obtains control of that good or service. Revenue transactions are recognised on the following bases:

Sale of merchandise

Revenue from the sale of merchandise through retail outlets and on a wholesale basis, is recognised at the point of sale when control has passed to the customer. Such income represents the net invoice value of merchandise provided to such third parties – excluding discounts and indirect tax. It is the Group's policy to sell its merchandise to customers with rights to a refund or exchange within 30 days, subject to certain exceptions (refer to note 1.21).

Sales to customers made on interest-free deferred settlement terms effectively contain a financing element. The difference between the selling price under market-related conditions and the amount actually paid is recognised as notional interest income over the interest-free period.

Concession revenue

Revenue from the sale of goods through concession outlets where the Group is the principal is recognised at the gross amount (exclusive of VAT) at the point of sale of the merchandise to the customer. Commissions or other fees payable to the concession grantors are not classified as reductions in revenue but as an expense. It is the Group's policy to sell its merchandise to customers in accordance with the concession grantors' returns policy, which varies across concessions.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.22 Revenue (continue)

E-commerce revenue

E-commerce revenue from the sale and delivery of goods on the internet is recognised when control has passed to the customer, which occurs when the customer takes delivery of the good. It is the Group's policy to sell its merchandise on the internet to customers with rights to a refund or exchange within 30 days subject to certain exceptions.

Lay-by revenue

Revenue from the sale of merchandise through a lay-by sale is recognised when control has passed to the customer, which is when the final and full payment for the merchandise is received from the customer and the merchandise is handed over to the customer.

Interest

Interest income is recognised using the effective interest method. The Group calculates interest income by applying the effective interest rate to the gross carrying amount of the financial assets other than credit-impaired (stage 3) financial assets. When a financial asset is classified as credit-impaired, interest income is recognised only on the net carrying amount based on the original effective interest rate. The recognition of interest on the gross carrying amount of the financial asset is suspended during this stage and only resumes if and when the financial asset is reclassified from stage 3.

Commission

Commission, arising from the sale of merchandise by the Group on behalf of third parties, is recognised in the reporting period in which it is earned, according to the applicable contractual arrangements. Where the Group acts as such an agent, all payments collected from customers and passed on to third parties are excluded from both revenue and expenses.

Display fees and financial services income

Display fees and financial services income, comprising commissions and list fees on insurance products and account service fees, are recognised in the reporting period in which they are earned, according to the applicable contractual arrangements.

Management fees

Management fees are recognised over a period of time when the services contracted for have been rendered and the fees have been earned according to the applicable contractual arrangements.

1.23 Other income

Lease rental income

Lease rental income is recognised in the reporting period in which it is earned, based on the straight-line method. Contingent rental income is recognised when it becomes contractually due.

Dividends receivable

Dividends receivable are recognised when the Group's right to receive the payment is established, which typically arises on the record date.

1.24 Cost of sales

Cost of sales includes all costs of purchase, costs of conversion and other costs incurred in bringing inventories to their present location and condition. Costs of purchase include the purchase price (net of rebates and discounts, if any), royalties paid, import duties and other taxes (to the extent that they are not recoverable), as well as relevant depreciation, employment, occupancy and other operating costs relating to transport and distribution.

Inventory shrinkage and write-offs are included in cost of sales when recognised. Trade discounts, settlement discounts and other similar items are deducted in determining the costs of purchase.

Cost of sales is recognised as an expense when the risks and rewards of ownership related to the merchandise sold pass to the customer.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

1. MATERIAL ACCOUNTING POLICIES (continued)

1.25 Finance costs

Finance costs are recognised using the effective interest method. The Group calculates finance costs by applying the effective interest rate to the gross carrying amount of the financial liability.

1.26 IFRS, amendments and IFRIC interpretations issued but not yet effective

Various IFRS Accounting Standards, amendments and IFRIC interpretations that have been issued and are not yet effective have been considered by the Group. It was determined by management that they are either not applicable to the Group or will not have a material impact on the Group's financial reporting. These IFRS Accounting Standards, amendments and IFRIC interpretations are listed below:

Description	Effective date (Reporting periods beginning on or after)
IAS 21 amendment: Lack of exchangeability	1 January 2025
IFRS 9 and IFRS 7 amendments: Classification and Measurement of Financial Instruments	1 January 2026
Annual Improvements to IFRS Accounting Standards—Volume 11	1 January 2026
IFRS 9 and IFRS 7 amendments: Contracts Referencing Nature-dependent Electricity	1 January 2026
IFRS 19: Subsidiaries without Public Accountability: Disclosures	1 January 2027

The following IFRS Accounting Standards may have a material impact on the Group's financial reporting, and are being assessed for adoption in future periods when they become effective.

Description	Effective date (Reporting periods beginning on or after)
IFRS 18: Presentation and Disclosure in Financial Statements	1 January 2027

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	Land Rm	Buildings Rm	Motor vehicles Rm	Plant, equipment, furniture and fittings Rm	Computer equipment Rm	Total Rm
2 PROPERTY, PLANT AND EQUIPMENT 2025							
Balance at the beginning of the reporting period, net of accumulated depreciation and impairment		51	730	5	1,629	118	2,533
Additions		-	10	1	523	39	573
Write-offs and disposals		-	(1)	-	-	-	(1)
Cost		-	(4)	(1)	(130)	(3)	(138)
Accumulated depreciation		-	3	1	130	3	137
Movement in exchange rates through other comprehensive income		-	1	-	14	1	16
Cost		-	3	-	22	3	28
Accumulated depreciation		-	(2)	-	(8)	(2)	(12)
Depreciation		-	(15)	(2)	(296)	(37)	(350)
Transfers		-	(38)	-	38	-	-
Impairment	27.6, 33.1	-	-	-	(3)	-	(3)
Balance at the reporting date, net of accumulated depreciation and impairment		51	687	4	1,905	121	2,768
Reconciliation as at 29 June 2025							
Cost		51	814	31	4,204	340	5,440
Accumulated depreciation and impairment		-	(127)	(27)	(2,299)	(219)	(2,672)
Net carrying amount		51	687	4	1,905	121	2,768
2024							
Balance at the beginning of the reporting period, net of accumulated depreciation and impairment		51	640	7	1,295	76	2,069
Additions		-	99	2	608	75	784
Finance costs capitalised ¹⁶		-	9	-	-	-	9
Reversal of impairment	26, 33.1	-	-	-	7	-	7
Write-offs and disposals		-	-	-	(2)	-	(2)
Cost		-	-	(1)	(21)	-	(22)
Accumulated depreciation		-	-	1	19	-	20
Movement in exchange rates through other comprehensive income		-	(1)	-	5	-	4
Cost		-	(2)	-	(1)	(1)	(4)
Accumulated depreciation		-	1	-	6	1	8
Depreciation		-	(17)	(4)	(284)	(33)	(338)
Balance at the reporting date, net of accumulated depreciation and impairment		51	730	5	1,629	118	2,533
Reconciliation as at 30 June 2024							
Cost		51	843	31	3,751	301	4,977
Accumulated depreciation and impairment		-	(113)	(26)	(2,122)	(183)	(2,444)
Net carrying amount		51	730	5	1,629	118	2,533
							2025 Rm
							2024 Rm
Estimated replacement and insured value*							7,953
							7,162

During the period the Group reviewed the residual values and useful lives of its property, plant and equipment and no material adjustments were required.

¹⁶ Refer to note 34 for further details.

* Not an indication of the fair value.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
3 RIGHT-OF-USE ASSETS			
Balance at the beginning of the reporting period, net of accumulated depreciation and impairment		3,545	3,329
Buildings		3,470	3,253
Land		75	76
Additions in respect of new or renewed leases		374	633
Lease modifications, re-measurements and lease terminations		526	590
Depreciation		(1,136)	(1,098)
Buildings		(1,136)	(1,097)
Land		-*	(1)
Impairment of right-of-use assets	27.6	(35)	(12)
Truworths Africa segment		(35)	(12)
Office UK segment		-	-
Reversal of previously recognised right-of-use assets impairments	26	18	134
Truworths Africa segment		-	2
Office UK segment		18	132
Movement in exchange rates through other comprehensive income		49	(31)
Balance at the reporting date, net of accumulated depreciation and impairment		3,341	3,545
Comprising of right of use assets in respect of:			
Buildings		3,266	3,470
Land		75	75

*Zero due to rounding

Additions in the prior period include the 15-year lease in respect of the 50% share of the new distribution centre (DC) that is owned by the joint operator to the value of R216 million. Refer to note 34 for further information.

Impairment testing of right-of-use assets

Management relies on a number of internal and external qualitative and quantitative indicators to determine which right-of-use assets to assess for impairment. The main internal indicator relates to the profitability of the right-of-use asset or the cash-generating unit to which it has been assigned. Refer to the Operating context section of the directors' report for further detail.

The recoverable amount of the cash-generating units to which the right-of-use assets belong has been determined based on their value-in-use using the discounted cash flow approach. Cash flow projections, covering the remaining lease period, were based on historical information, financial budgets and forecasts approved by senior management.

Key assumptions applied in the value in use calculations and sensitivity analyses

The value in use of cash generating units to which the right-of-use assets have been assigned is most sensitive to the following assumptions:

- Sales growth rate
- Gross profit margin
- Head office cost allocation
- Working capital requirements
- The discount rate applied in determining the present value of future cash flows

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

3 RIGHT-OF-USE ASSETS (continued)

Impairment testing of right-of-use assets (continued)

		2025	2024
Truworths Africa			
<i>Assumptions applied</i>			
Pre-tax discount rate applied to projected cash flows	(%)	14.4	16.4
<i>Discount rate calculated using the following variables:</i>			
Risk-free rate, based on the annualised yield of a South African government issued bond with a maturity of five years	(%)	8.5	8.3
Market risk premium	(% points)	6.0	5.0
Beta value	(:1)	1.1	1.2
Office UK			
<i>Assumptions applied</i>			
Pre-tax discount rate applied to projected cash flows	(%)	21.6	24.3
<i>Discount rate calculated using the following variables:</i>			
Risk-free rate, based on the annualised yield of a UK government issued bond with a maturity of five years	(%)	4.0	4.1
Market risk premium	(% points)	5.0	5.0
Beta value	(:1)	1.3	1.2
		2025 Rm	2024 Rm
4 GOODWILL			
Balance at the beginning and end of the reporting period		294	294

	2025 Rm	2024 Rm
Truworths Ltd cash generating unit		
Earthchild	243	243
Uzzi	38	38
Naartjie	13	13
	294	294

The Earthchild, Uzzi and Naartjie goodwill is allocated to the Truworths Ltd cash-generating unit. The goodwill cannot generate cash flows largely independently from other assets in the Truworths Ltd cash-generating unit and is therefore tested for impairment at the cash generating unit level. Based on the performance and fair value of the Truworths Ltd cash-generating unit and the broader macro environment, management has concluded that there are no internal or external quantitative or qualitative indicators of impairment.

The fair value of the Truworths Ltd cash-generating unit is determined based on income valuation multiples, specifically enterprise value (EV)/EBITDA, adjusted for control, marketability and other relevant factors. Refer to note 8.6.1 in the company annual financial statements for inputs used in the determination of the said fair value.



NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	Trademarks Rm	Computer software Rm	Total Rm
5 INTANGIBLE ASSETS				
2025				
Balance at the beginning of the reporting period, net of accumulated amortisation and impairment		1,432	102	1,534
Additions		-	60	60
Write-offs		-	(15)	(15)
Cost		-	(18)	(18)
Accumulated amortisation		-	3	3
Amortisation		-	(40)	(40)
Movement in exchange rates through other comprehensive income		82	4	86
Cost		235	14	249
Accumulated amortisation		-	(10)	(10)
Accumulated impairment		(153)	-	(153)
Balance at the reporting date, net of accumulated amortisation and impairment		1,514	111	1,625
Reconciliation as at 29 June 2025				
Cost		4,111	508	4,619
Accumulated impairment		(2,597)	-	(2,597)
Accumulated amortisation		-	(397)	(397)
Net carrying amount		1,514	111	1,625
2024				
Balance at the beginning of the reporting period, net of accumulated amortisation and impairment		456	134	590
Additions		-	19	19
Write-offs and disposals		(7)	-	(7)
Cost		(7)	-	(7)
Accumulated amortisation		-	-	-
Amortisation		-	(49)	(49)
Impairment reversal	33.1	1,019	-	1,019
Movement in exchange rates through other comprehensive income		(36)	(2)	(38)
Cost		(149)	(7)	(156)
Accumulated amortisation	33.1	-	5	5
Accumulated impairment		113	-	113
Balance at the reporting date, net of accumulated amortisation and impairment		1,432	102	1,534
Reconciliation as at 30 June 2024				
Cost		3,876	452	4,328
Accumulated impairment		(2,557)	-	(2,557)
Accumulated amortisation		113	(350)	(237)
Net carrying amount		1,432	102	1,534

	2025 Rm	2024 Rm
Trademarks		
Office UK segment	1,398	1,316
Truworths Africa segment	116	116
Balance at the reporting date, net of accumulated impairment	1,514	1,432

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

5 INTANGIBLE ASSETS (continued)

Trademarks (continued)

Office UK segment

The Office trademarks have been allocated to the Office UK cash-generating unit at the acquisition date fair value, which was determined using the relief from royalty method. These trademarks are currently measured at their recoverable amount. The Office trademarks included store brands, Office (including the Office private label product brand) and Offspring. These brands are well established in the UK market and are associated with a wide, curated range of fashion footwear. For this reason there is no foreseeable limit to the period over which the trademarks are expected to generate net cash inflows for the Group and are therefore considered to have indefinite useful lives.

Impairment testing of trademarks

In the 2019 reporting period the profitability of the Office business came under significant pressure. This prompted management to assess the Office goodwill and trademarks for impairment, and resulted in the impairment of the goodwill balance in full, and a partial impairment of the Office trademarks. In the 2022 reporting period the financial performance of the business began to show signs of recovery, attributable to a number of turnaround measures implemented by management, the low base in the prior periods and pent-up demand as the UK economy reopened following the abolishment of all COVID-19 restrictions in early 2022. In the 2023 and 2024 reporting periods Office continued to show improved profitability with sales performance above estimates, the gross profit margin improving due to further alignment with the Group's buying and markdown methodologies, some trading expenses continuing to benefit from no or low capital expenditure during the prior periods, and limited rates relief and government support on energy pricing. However, there was notable pressure on expense growth rates and a decline in sales growth rates during the second half of the 2024 reporting period, as the macro environment remains volatile and uncertain in light of the UK economic challenges and the continued decline in consumer spending on the back of the ongoing cost of living crisis.

In the 2024 financial period, management considered all internal and external qualitative and quantitative impairment reversal indicators and concluded that the improvement in the overall performance of the business supported a reversal of a portion of the previously recognised trademark impairments.

Accordingly, management had to determine the recoverable amount, being the higher of fair value less costs of disposal and value in use of the Office UK trademarks.

Fair value less cost to sell was determined based on the relief from royalty method. Key assumptions applied in the fair value less cost to sell calculations include:

- Royalty rate, with reference to internal and external royalty rates in the Group
- Long-term projected UK growth rates
- Sales growth rate

Based on the relief from royalty valuation, management determined that the recoverable amount of the Office UK trademarks was between £54 million and £60.5 million, with a midpoint of £57.1 million. Management accepted the midpoint of the valuation range, which resulted in a reversal of previously recognised impairment losses of £43.2 million, before tax, in the prior period.

Throughout the current financial period the UK macro environment remained volatile and uncertain. Expense growth is under pressure, mainly due to National Minimum Wage and National Insurance Contribution increases. The sales growth rate continues to slow, and market rates increased as reflected in the risk-free rate at 4.5% (2024: 4.3%). Interest rates however have started decreasing with the Bank of England rate at 4.25 % (2024: 5.25%) at the period end.

Management reviewed the performance of Office UK and reassessed the trademarks based on the latest sales forecasts. The assessment revealed that the current fair value of the Office UK trademarks remains within the range determined in the prior period and management therefore concluded that no further impairment reversal is required at the reporting date.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

		2025	2024
5 INTANGIBLE ASSETS (continued)			
Trademarks (continued)			
Office UK segment (continued)			
The following assumptions were used in the impairment testing during the current period:			
Terminal growth rate	(%)	1.4	1.4
Royalty rate	(%)	3.25	3.25
Pre-tax discount rate applied to projected cash flows	(%)	19.3	19.2
<i>Discount rate calculated using the following variables:</i>			
Risk-free rate, based on the annualised yield of a UK government issued bond with a maturity of 10 years	(%)	4.5	4.3
Market risk premium	(% points)	5.0	5.0
Beta value	(:1)	1.3	1.2

The above variables are consistent with external sources of information.

Truworths Africa segment

The Truworths Africa segment's trademarks comprise the Earthchild, Uzzi, Naartjie and Loads of Living trademarks and are allocated to the Truworths Ltd cash-generating unit. All these brands are well established in the South African market and for this reason there is no foreseeable limit to the period over which they are expected to generate net cash inflows for the Group. The trademarks are therefore considered to have indefinite useful lives.

Impairment testing of trademarks

The Earthchild, Uzzi, Naartjie and Loads of Living trademarks cannot generate cash flows largely independently from other assets in the Truworths Ltd cash-generating unit and are therefore tested for impairment at the cash-generating unit level. Based on the performance and fair value of the Truworths Ltd cash-generating unit and the broader macro environment, management has concluded that there are no internal or external quantitative or qualitative indicators of trademark impairment.

The fair value of the Truworths Ltd cash-generating unit is determined based on income valuation multiples, specifically enterprise value (EV)/EBITDA, adjusted for control, marketability and other relevant factors. Refer to note 8.6.1 in the company annual financial statements for inputs used in the determination of the said fair value.

	Note	2025 Rm	2024 Rm
6 DERIVATIVE FINANCIAL LIABILITIES			
Forward exchange contracts	25.1	25	27

Forward exchange contracts

The Group uses forward exchange contracts to reduce its foreign currency exposure arising from imports into South Africa. These contracts are marked-to-market, are classified as held-for-trading financial assets/liabilities, and are measured at fair value. The fair value is determined as the difference between the contract price of forward exchange contracts entered into by the Group and the price of market traded forward exchange contracts with similar maturity profiles at the reporting date.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
7 ASSETS HELD AT FAIR VALUE			
Non-current portion of assets held at fair value		353	315
Mutual fund investments: Retirement benefits		10	10
Insurance cell captive	7.1	25	24
Personal lines insurance business arrangement		17	13
Unlisted investment		1	1
Mutual fund investments: Charitable trusts	7.2	300	267
Current portion of assets held at fair value		2,224	1,468
Investment in money market funds	7.3	2,224	1,468
Fair value at the reporting date	25.1	2,577	1,783

Refer to note 25.3.3 for further information relating to other price risk.

7.1 Insurance cell captive

The Group's insurance cell became operative with effect from 1 July 2013. This cell, underwritten by Old Mutual Insure, receives a portion of the Group's short-term insurance premiums and meets the Group's corporate short-term insurance claims as and when they arise up to a prescribed limit.

The interest in the insurance cell is represented by an investment in 1 C1 Class variable rate redeemable profit participating preference share in Old Mutual Alternative Risk Transfer Insure Limited, formerly Mutual & Federal Risk Financing Limited, entitling the Group to the profits of the cell. Dividends received by the Group on this share are accounted for as dividend income.

The Group is required to ensure that the insurance cell remains in a financially sound position at all times and maintains capital adequacy requirements (CAR) as determined by various regulatory bodies and Old Mutual Insure. If the Group fails to maintain the CAR it will be required to subscribe for further shares at a premium sufficient to restore the insurance cell to a financially sound position. The Group does not carry insurance risk with regard to the insurance cell captive as any claims in excess of the claims cap are covered by third party insurance contracts.

The insurance cell has been valued at its net asset value at the reporting date in accordance with the agreement with Old Mutual Insure and approximates fair value.

	Note	2025 Rm	2024 Rm
Fair value at the beginning of the reporting period		24	13
Premiums received during the period		4	8
Claims paid during the period		(1)	(5)
Fair value adjustment	33.1	(2)	8
Fair value at the reporting date		25	24

7.2 Mutual fund investments: Charitable trusts

Mutual fund investments held by the Group's charitable trusts comprise units in various South African collective investment schemes. These investments are held to generate a return to fund the Group's charitable donations made under the "Truworths Involved" banner.

These mutual fund investments, along with the other charitable and enterprise development trust assets (predominantly cash) are held in trust for the benefit of the trust beneficiaries, cannot be used or accessed by the Group for its own benefit and must be distributed to third parties in accordance with the trust deeds on dissolution of the trusts.

These mutual fund investments have been valued at the quoted unit prices at the close of business on the reporting date which approximate fair value.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

7 ASSETS HELD AT FAIR VALUE (continued)

7.3 Investment in money market funds

The Group invests cash in short-term money market funds administered by reputable global asset managers. These investments comprise highly liquid, low volatility net asset value money market instruments of the highest credit rating. These investments allow for same day liquidity, have a weighted average duration of less than 90 days, and offer higher interest rates compared to traditional call and current accounts while maintaining low risk.

In the Truworths Africa segment, the money market fund interest rates varied between 7.57% and 9.41% for the period (2024: between 8.46% and 10.06% for the period). In the Office UK segment, money market fund interest rates varied between 1.94% and 5.34% for the period (2024: between 5.13% and 5.34% for the period).

	2025 Rm	2024 Rm
8 LOANS AND RECEIVABLES		
Loans to suppliers		
Gross supplier loans	39	42
Expected credit loss allowances	(11)	(14)
Balance at the reporting date	28	28
Balance at the beginning of the reporting period	28	28
Repayments during the period	-	(1)
Advances during the period	-	3
Written off during the period	(3)	-
Movement in expected credit loss allowances	3	(2)
Balance at the reporting date	28	28

Loans and other receivables comprise secured and unsecured loans to suppliers with varying interest terms. The term of these loans is expected to exceed one year. Management has performed an assessment of the loan beneficiaries' ability to repay these amounts and concluded that the allowances for expected credit losses are appropriate.

These loans have been valued at amortised cost which approximates fair value.

	Note	2025 Rm	2024 Rm
9 DEFERRED TAX			
Net deferred tax asset for Truworths Africa	9.1	252	304
Net deferred tax liability for Truworths Africa	9.2	(43)	(36)
Net deferred tax liability for Office UK	9.3	(351)	(301)
Net deferred tax liability		(142)	(33)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

		Balance at the beginning of the reporting period Rm	Credited/ (debited) to profit or loss Rm	Movement through other comprehensive income Rm	Balance at the reporting date Rm
9.1 Analysis of the Truworthis Africa segment deferred tax assets during the period is as follows:					
2025					
Asset		1,302	(119)	-	1,183
Lease liabilities		895	(62)	-	833
Trade and other receivables		239	(64)	-	175
Post-retirement medical benefit obligation		26	-	-	26
Provisions		37	-	-	37
Trade and other payables		25	-	-	25
Inventories		64	(6)	-	58
Assessed tax losses		8	2	-	10
Other		8	11	-	19
Liability		(998)	67	-	(931)
Property, plant and equipment		(135)	(13)	-	(148)
Right-of-use assets		(793)	77	-	(716)
Prepayments		(34)	-	-	(34)
Trademarks		(22)	-	-	(22)
Employee share schemes		(11)	3	-	(8)
Straight-line operating lease		-	(1)	-	(1)
Other		(3)	1	-	(2)
Net deferred tax asset for Truworthis Africa*	29.1	304	(52)	-	252
2024					
Asset		1,208	94	-	1,302
Trade and other receivables		245	(6)	-	239
Post-retirement medical benefit obligation		26	-	-	26
Provisions		77	(40)	-	37
Trade and other payables		24	1	-	25
Lease liabilities		792	103	-	895
Inventories		49	15	-	64
Assessed tax losses		-	8	-	8
Other		(5)	13	-	8
Liability		(897)	(101)	-	(998)
Property, plant and equipment		(119)	(16)	-	(135)
Right-of-use assets		(697)	(96)	-	(793)
Prepayments		(37)	3	-	(34)
Trademarks		(22)	-	-	(22)
Employee share schemes		(19)	8	-	(11)
Other		(3)	-	-	(3)
Net deferred tax asset for Truworthis Africa	29.1	311	(7)	-	304

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Balance at the beginning of the reporting period Rm	Credited/ (debited) to profit or loss Rm	Movement through other comprehensive income Rm	Balance at the reporting date Rm
9 DEFERRED TAX (continued)				
9.2 Analysis of the Truworths Africa segment deferred tax liabilities during the period is as follows:				
2025				
Liabilities	(36)	-	(7)	(43)
Charitable trusts	(36)	-	(7)	(43)
Net deferred tax liability for Truworths Africa	(36)	-	(7)	(43)
2024				
Liabilities	-	-	(36)	(36)
Charitable trusts	-	-	(36)	(36)
Net deferred tax liability for Truworths Africa	-	-	(36)	(36)

*The deferred tax position of the Truworths Africa segment is assessed on a per-jurisdiction basis. As at the reporting date, all jurisdictions reflect a net deferred tax asset position, except for Namibia, which reported an insignificant deferred tax liability at the reporting period.

In accordance with paragraph 47 of IAS 12, deferred tax balances are measured using the tax rates expected to apply when the asset is realised or the liability is settled, based on tax rates enacted or substantively enacted at the reporting date.

During the year, tax rate changes were enacted in Eswatini (25% (2024: 27.5%)) and Namibia (31% (2024: 32%)), and loss utilisation limitations were introduced in Zambia. The combined impact of these changes on the Group's deferred tax balances is immaterial and accordingly, no separate monetary disclosures have been presented in the Group's consolidated financial statements. However, full details of these adjustments are disclosed in the respective subsidiaries' annual financial statements.

	Note	Balance at the beginning of the reporting period Rm	Credited/ (debited) to profit or loss Rm	Movement through other comprehensive income Rm	Balance at the reporting date Rm
9.3 Analysis of the Office UK segment deferred tax liabilities during the period is as follows:					
2025					
Asset		27	(16)	1	12
Provisions		-	12	-	12
IFRS 16 transition allowance**		3	(3)	-	-
Property, plant and equipment		(7)	2	5	-
Movement in exchange rates through other comprehensive income		31	(27)	(4)	-
Liability		(328)	(13)	(22)	(363)
Trademarks		(250)	-	-	(250)
Property, plant and equipment		-	(13)	-	(13)
Movement in exchange rates through other comprehensive income		(78)	-	(22)	(100)
Net deferred tax liability for Office UK	29.1	(301)	(29)	(21)	(351)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Balance at the beginning of the reporting period Rm	Credited/ (debited) to profit or loss Rm	Movement through other comprehensive income Rm	Balance at the reporting date Rm
9 DEFERRED TAX (continued)				
9.3 Analysis of the Office UK segment deferred tax liabilities during the period is as follows (continued):				
2024				
Asset	96	(64)	(5)	27
Provisions	8	(8)	-	-
IFRS 16 transition allowance**	44	(41)	-	3
Property, plant and equipment	8	(15)	-	(7)
Movement in exchange rates through other comprehensive income	36	-	(5)	31
Liability	(86)	(253)	11	(328)
Trademarks	3	(253)	-	(250)
Movement in exchange rates through other comprehensive income	(89)	-	11	(78)
Net deferred tax liability for Office UK	10	(317)	6	(301)

** In accordance with HMRC's accepted approach, a transitional adjustment was calculated at the adoption of IFRS 16 to align the accounting and tax treatment. This adjustment has been amortised and fully realised over the weighted average remaining lease term of the affected lease portfolio, estimated at five years. As a result, the final portion of this transitional tax deduction was utilised during the 2025 financial year, with no further impact anticipated in future periods.

	2025 Rm	2024 Rm
10 INVENTORIES		
Gross inventories	2,854	2,729
Finished goods	2,730	2,596
Raw materials and work-in-process	124	133
Allowances for markdown and shrinkage*	(389)	(417)
Net inventories at the reporting date	2,465	2,312
Allowances as a % of gross inventories	(%) 13.6	15.3
Allowances as a % of finished goods	(%) 14.2	16.1
Allowances for markdown and shrinkage		
Balance at the beginning of the reporting period	417	439
Movement for the period	(28)	(22)
Allowance raised	384	419
Allowance reversed	(420)	(435)
Movement in exchange rates through other comprehensive income	8	(6)
Balance at the reporting date	389	417

* During the reporting period inventory shrinkage and write offs to the value of R87 million (June 2024: R43 million) were expensed in cost of sales. Please refer to note 27.1.

The challenges experienced in the macro environment did not have a material impact on inventory provisioning as management proactively manages inventory levels taking into account the impact that macro factors are expected to have on merchandise clearance rates.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
11 TRADE AND OTHER RECEIVABLES			
Trade receivables: Active portfolio	11.1	5,109	5,123
Trade receivables: Charged-off portfolio	11.2	143	110
Other receivables^	25.1, 25.4.1	186	186
Right of return asset*		35	-
Trade and other receivables at the reporting date		5,473	5,419

^Other receivables comprise of amounts owed by concession partners, wholesale partners as well as suppliers for recharged marketing costs. These amounts are assessed for impairment and are presented net of their respective expected credit loss (ECL) allowances. The ECL allowances in respect of other receivables are not material and are therefore not separately disclosed.

*In the prior period the right of return asset (representing sold merchandise which may potentially be returned by customers based on their 30-day contractual right of return) was accounted for in inventories.

During the prior period the Group reviewed its credit risk management strategies, including its write-off criteria and made certain changes thereto (refer to the prior period AFS for further information).

Following these changes the Group's trade receivables are reported as two separate portfolios, namely the active trade receivables portfolio and the charged-off trade receivables portfolio. Active portfolio accounts are held back based on the Group's hold-back criteria and accounts in the charged-off portfolio are managed using bespoke collection strategies, with rehabilitation as the key outcome. These accounts are regularly assessed against the Group's risk criteria, and written off in the event of further deterioration if there is no reasonable expectation of recovery.

Accounts in the charged-off portfolio that have been successfully rehabilitated (i.e. become paid up) will be assessed for credit and, should they meet the Group's strict credit risk and affordability criteria, their holders can re-apply for a credit facility with the Group and if successful will be allowed to shop again.

Accounts that have been written off (i.e. derecognised) in periods preceding the current period, because they show no reasonable expectation of recovery based on the Group's bad debt write-off criteria, but that are still subject to enforcement (i.e. collections) activity on an outsourced commission-only basis, amounted to R373 million (2024: R935 million). The decrease in this balance relative to the prior period is due to the introduction of the charged-off portfolio in the prior period, which has resulted in delayed write-off of accounts that show some likelihood of recovery. Amounts written off in the current period are also subject to enforcement activity except if such accounts have been sold. (Note 25.4.1 and note 27.5)

Refer to note 25.4.1 for further information relating to credit risk management.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
11 TRADE AND OTHER RECEIVABLES (continued)			
11.1 TRADE RECEIVABLES: ACTIVE PORTFOLIO			
Gross trade receivables		6,448	6,425
Expected credit loss allowances	11.1.1	(1,339)	(1,302)
Trade receivables: Active portfolio	11	5,109	5,123
Expected credit loss allowances to gross active trade receivables	(%)	20.8	20.3

The active trade receivables portfolio represents active account receivables that have neither been charged off (refer to note 11.2 below) nor written off as bad debt as they do not meet the Group's charge-off and write-off criteria.

The Group's active trade receivables have payment terms ranging between six and twelve months. The debtors' days at the reporting date were 230 days (2024: 229 days).

Interest is charged on all interest-bearing plans and on all overdue accounts in accordance with legislative provisions in the country of operation and the Group's terms and conditions applicable to accounts. The interest rates charged fluctuate in accordance with changes to the relevant central bank or financial authority reference rate. The rates charged during the current period were between 14.75% and 28.15% (2024: 15.50% and 28.15%), which are equal to or lower than the maximum rates legislated.

Refer to note 25.3.2 for further information relating to interest rate risk.

	2025 Rm	2024 Rm
11.1.1 Expected credit loss allowances		
Active portfolio		
Balance at the beginning of the reporting period	1,302	1,350
Movement for the period	37	(48)
Allowance utilised	(690)	(839)
Allowance transferred to charged-off trade receivables ECL allowance	(427)	(449)
Allowance raised	1,154	1,240
Balance at the reporting date	1,339	1,302

The measurement of expected credit losses in respect of the active trade receivables portfolio considers the probability and the expected timing of charge-off and the Group's anticipated exposure at the time of charge-off, as well as the likelihood that the asset is:

- simultaneously charged-off and written-off (derecognised); or
- transferred to the charged-off portfolio, in which regard it further considers the expected timing and estimated cash-flows (net of direct external collection costs) up to the point of write-off.

The calculation of ECLs incorporates forward-looking variables, which include the following:

- an economic overlay model, developed using linear regressions to model the relationship between historic lagged and future macroeconomic indicators and ECL provisions;
- the potential impact of industry-specific challenges, including changes in the regulatory environment as well as the anticipated impact of macro factors; and
- expert management judgement.

The process of determining the ECL allowance involves expert judgement and is governed by a formally mandated committee appointed by the board of the Group's wholly-owned subsidiary and licensed credit provider, Truworths Ltd.

At the reporting date, the ECL allowance to gross trade receivables in the active portfolio increased to 20.8% from 20.3% (2024: decreased to 20.3% from 20.6%) of gross trade receivables. The increase in the ECL allowance as a percentage of gross active trade receivables is due to the growth in 210-days overdue accounts following the charge-off hold-back enhancements implemented in the second half of the prior period, as well as the subdued credit sales performance during the year, especially in the last quarter of the financial period.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

11 TRADE AND OTHER RECEIVABLES (continued)

11.1 TRADE RECEIVABLES: ACTIVE PORTFOLIO (continued)

11.1.1 Expected credit loss allowances (continued)

After due consideration of all the facts and consultation with the Group's external specialist consultants, the directors consider the carrying amount of the active trade receivables portfolio to approximate its fair value and that no further allowance in excess of the ECL allowance is required.

	Note	2025 Rm	2024 Rm
11.2 TRADE RECEIVABLES: CHARGED-OFF PORTFOLIO			
Gross trade receivables		543	511
Expected credit loss allowances	11.2.1	(400)	(401)
Trade receivables: Charged-off portfolio	11	143	110
Expected credit loss allowances to charged-off trade receivables	(%)	73.7	78.5

The charged-off trade receivables portfolio represents accounts that have been charged off from the active trade receivables portfolio but not written off (derecognised for accounting purposes) as they show some likelihood of a payment over a longer period of time. All accounts in the charged-off trade receivables portfolio are classified in the stage three level of delinquency and cannot shop. These accounts are managed using bespoke collections strategies and are regularly assessed and written off if they deteriorate to the point where there is no reasonable expectation of recovery.

Refer to note 25.3.2 for further information relating to interest rate risk.

	2025 Rm	2024 Rm
11.2.1 Expected credit loss allowances		
Charged-off portfolio		
Balance at the beginning of the reporting period	401	-
Movement for the period	(1)	401
Allowance transferred from active trade receivables ECL allowance	427	449
Allowance utilised	(335)	(56)
Allowance (released)/raised	(93)	8
Balance at the reporting date	400	401

The measurement of expected credit losses in respect of the charged-off trade receivables portfolio considers the Group's expected exposure at the time of write-off after considering the expected timing and estimated cash-flows (net of direct external collection costs) up to the point of write-off.

After due consideration of all the facts and consultation with the Group's external specialist consultants, the directors consider the carrying amount of the charged-off trade receivables portfolio to approximate its fair value and that no further allowance in excess of the ECL allowance is required.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
12 CASH AND CASH EQUIVALENTS			
Balances with banks		787	589
Cash on hand		177	212
Cash and cash equivalents at the reporting date		964	801
Bank overdraft	25.5	(975)	(1,099)
Net cash and cash equivalents at the reporting date		(11)	(298)

Balances with banks comprise current account balances and short-term deposits (mainly overnight call accounts) in accordance with the Group's treasury policy. Balances with banks earn interest at floating daily bank deposit and call rates. Call account rates in the Truworths Africa segment varied between 0.5% and 8.4% for the period (2024: 0.5% and 8.4% for the period). The deposit and current account rates in the Office UK segment varied between 1.96% and 4.2% for the period (2024: 1.92% and 4.2% for the period). In addition to the cash and cash equivalents above, the Group also invests in highly liquid, low volatility net asset value money market funds, which are classified as assets held at fair value. Refer to note 7.3 for further information.

The bank overdraft forms part of a South African Rand-based general short-term banking facility of R2 billion, of which R300 million is committed and R1.7 billion is uncommitted (2024: R2 billion, of which R300 million is committed and R1.7 billion is uncommitted). This facility bears interest at between 2.0 and 2.3 percentage points (2024: 2.0 percentage points) below the prime lending rate in South Africa depending on the average utilisation. Interest is settled monthly.

The Group funds its liquidity needs through cash generated from operations and available overdraft and revolving credit facilities (RCF). Cash flow forecasts are prepared to determine the future liquidity needs of the business and borrowing facilities are activated accordingly. Short-term funding requirements are funded through the overdraft facility, while cash flow requirements longer than three months are funded through the RCF. Refer to note 16 for further information relating to interest-bearing borrowings.

Refer to notes 25.3.2 and 25.4.3 for further information relating to interest rate risk and credit risk management respectively.

	2025 R'000	2024 R'000
13 SHARE CAPITAL		
Ordinary share capital		
Authorised		
650 000 000 (2024: 650 000 000) ordinary par value shares of 0.015 cent each	98	98
Issued and fully paid		
408 498 899 (2024: 408 498 899) ordinary par value shares of 0.015 cent each	61	61

The company has one class of ordinary shares which carry no rights to fixed income.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the company's shareholders.

	Note	2025 Number of shares 000's	2024 Number of shares 000's
Reconciliation of movement in issued shares			
Balance at the beginning and end of the reporting period		408,499	408,499
Treasury shares held by subsidiaries	14	(33,138)	(36,248)
Number of shares in issue (net of treasury shares)		375,361	372,251
Treasury shares to issued shares at the reporting date	(%)	8.1	8.9

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Number of shares 000's	2024 Number of shares 000's	2025 Cost Rm	2024 Cost Rm
14 TREASURY SHARES					
Balance at the beginning of the reporting period		36,248	39,196	1,920	2,066
Movement for the period:					
Options vested in terms of the 1998 share option scheme		(3,110)	(2,948)	(138)	(146)
Shares vested in terms of the 2012 share scheme		(229)	-	(14)	-
Shares sold by Truworths International Limited Share Trust		(2,881)	(2,485)	(124)	(116)
		-	(463)	-	(30)
Balance at the reporting date	13	33,138	36,248	1,782	1,920

		2025	2024
Market value at the reporting date	(Rm)	2,353	3,381
Market value at the reporting date	(Rand per share)	71.01	93.28
Average purchase price since inception of the repurchase programme	(Rand per share)	39.44	39.44

The memorandum of incorporation of the company's wholly-owned subsidiaries Truworths Ltd and Truworths Trading (Pty) Ltd enables them to acquire the company's shares, subject to the relevant provisions of the Companies Act and the Listings Requirements of the JSE. In terms of the Companies Act, a maximum of 10% in aggregate of the company's issued shares is capable of being held by subsidiaries of the company. No shares were cancelled and delisted by the company during the current or prior period.

Shares repurchased by the company are periodically cancelled and delisted.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
15 NON-DISTRIBUTABLE RESERVES			
Equity-settled compensation reserve	15.1	388	391
Put options held by non-controlling interests reserve	15.2	(18)	(17)
Personal lines insurance business arrangement reserve	15.3	17	13
Net unrealised gains reserve	15.4	137	112
Foreign currency translation reserve	15.5	69	(166)
Balance at the reporting date		593	333
15.1 Equity-settled compensation reserve			
Balance at the beginning of the reporting period		391	392
Equity-settled share-based payments expensed during the period	28.5.1	127	139
Cost of shares vested and transferred to participants in terms of the 2012 restricted share scheme		(124)	(103)
Cost of appreciation rights exercised in terms of the 2012 restricted share scheme		-	(13)
Cost of appreciation rights expired in terms of the 2012 restricted share scheme		-	(10)
Utilisation of reserves on exercise of 1998 share scheme options		(6)	(14)
Balance at the reporting date		388	391
15.2 Put options held by non-controlling interests reserve			
Balance at the beginning of the reporting period		(17)	(5)
Revaluation of put option liability		22	(5)
Acquisition of non-controlling interest		(16)	(10)
Non-controlling interest derecognised		(7)	3
Balance at the reporting date		(18)	(17)
15.3 Personal lines insurance business arrangement reserve			
Balance at the beginning of the reporting period		13	11
Fair value adjustment through other comprehensive income		4	2
Balance at the reporting date		17	13
15.4 Net unrealised gains reserve			
Balance at the beginning of the reporting period		112	3
Fair value adjustment through other comprehensive income		25	10
Fair value adjustment on consolidation of charitable trusts*		-	99
Balance at the reporting date		137	112
* This amount relates to the first-time consolidation of the charitable trusts in the prior period.			
15.5 Foreign currency translation reserve			
Balance at the beginning of the reporting period		(166)	(74)
Movement in foreign currency translation reserve through other comprehensive income		237	(93)
Movement in foreign currency translation reserve through other comprehensive income attributable to non-controlling interests		(2)	1
Balance at the reporting date		69	(166)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
16 INTEREST-BEARING BORROWINGS			
Balance at the beginning of the reporting period		1,476	1,377
Borrowings incurred		-	599
Borrowings repaid		-	(500)
Finance costs incurred	25.6	135	128
Finance costs recognised in profit before tax	27.7	135	119
Finance costs capitalised	2	-	9
Finance costs paid		(132)	(128)
Balance at the reporting date, comprising:		1,479	1,476
Non-current portion of interest-bearing borrowings		-	268
Current portion of interest-bearing borrowings		1,479	1,208
SA Rand-based interest-bearing borrowings		1,468	1,468
Unsecured, variable-rate revolving credit facility		1,200	1,200
Unsecured, variable-rate term loan facility (green loan)		268	268
Accrued interest on interest-bearing borrowings		11	8
Balance at the reporting date		1,479	1,476

The SA Rand-based interest-bearing borrowings comprise of an unsecured variable-rate 12-month notice revolving credit facility (RCF) of R1.2 billion advanced to the Truworths Africa segment's main operating subsidiary, Truworths Ltd, and an unsecured variable-rate R268 million term loan facility (green loan) advanced to the Truworths Africa segment's real estate investment company holding the investment in the segment's new distribution centre, the construction of which was completed at the end of November 2023.

The RCF bears interest at a margin of 1.30 (2024: 1.30) percentage points above the three-month Johannesburg Interbank Rate (JIBAR) and requires drawdowns and interest to be repaid at the end of each quarterly interest period. The facility expires 12 months after notice is given by the lender. The three-month JIBAR in respect of the interest period applicable at the reporting date was 7.32% p.a. (2024: 8.4% p.a.). At the period-end this facility was fully drawn (2024: fully drawn).

The green loan was concluded in December 2022 to fund the Group's share of the land and construction costs of the Truworths Africa segment's new distribution centre. It has a three year tenor with availability step-up over a 15-month period during the construction phase of the distribution centre, and is repayable in December 2025. This facility bears interest at a margin of 1.35 (2024: 1.35) percentage points above the three-month JIBAR. The three-month JIBAR in respect of the interest period applicable at the reporting date was 7.56% p.a. (2024: 8.4% p.a.). The Group only utilised R268 million of the total facility of R350 million, and the unutilised portion fell away at the end of the facility's availability period in April 2024. At the period-end the loan balance was R268 million (2024: R268 million). The green loan was obtained as a result of the EDGE certification requirements of the distribution centre and the interest rate charged is not influenced by any targets being met. Therefore the lending arrangement does not contain an embedded derivative. The loan is repayable in December 2025.

The South African Reserve Bank is replacing JIBAR with ZARONIA (South African Rand Overnight Index Average) and the cessation date is anticipated in the fourth quarter of the 2025 calendar year. This change is not expected to have a material impact on the Group.

In addition to the facilities set out above, the Group also has a South African Rand-based general short-term banking (overdraft) facility of R2 billion, of which R300 million is committed and R1.7 billion is uncommitted (2024: R2 billion, of which R300 million is committed and R1.7 billion is uncommitted). Refer to note 12 for further information.

The SA Rand-based RCF and green loan are subject to a single set of bank covenants and are measured against the results of the Group, excluding the Office UK segment. The covenants measure leverage (net debt to EBITDA) and interest cover. The Group met all the bank covenants relating to these interest-bearing borrowings during the period, with significant headroom in the covenant thresholds.

The amortised cost of these borrowings approximates their fair values.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

17 PUT OPTION LIABILITY

The Group (via Truworths UK Holdco 1 Ltd) has granted put options to Office management in respect of their non-controlling interest in Truworths UK Holdco 2 Ltd. These options give the holders the right to sell their shares in Truworths UK Holdco 2 Ltd in tranches upon approval of the audited consolidated annual financial statements of that company for the 2019 to 2025 financial periods. At the reporting date, Office management held 0.3% (2024: 0.6%) of the shares in Truworths UK Holdco 2 Ltd.

The Group has determined that these put options do not transfer a present ownership interest of those shares to the Group. The exercise price of these options is designed to approximate the fair value of the shares on the exercise date, being a multiple of the Office consolidated EBITDA adjusted for net debt or cash. The discount rate applied in determining the present value of the liability is the forecast SONIA plus 1.39 percentage points (2024: forecast SONIA plus 1.39 percentage points).

	Note	2025 Rm	2024 Rm
Non-current liabilities			
Present value of the amount payable on exercise of the put options		-	26
Current liabilities			
Present value of the amount payable on exercise of the put options		33	29
Balance at the reporting date	25.5	33	55

Refer to notes 25.3.1 and 25.3.3 for further information relating to currency risk and other price risk respectively.

Any changes in the redemption amount of the liability are recognised directly in non-distributable reserves. Accordingly, changes in the valuation assumptions do not have any impact on profit or loss.

18 POST-RETIREMENT MEDICAL BENEFIT OBLIGATION

The Group participates in and contributes towards defined benefit healthcare funds for certain employees. Refer to note 28.3 for further information on such funds.

Employees who joined the Group prior to 1 July 2000 and who have been members of these funds uninterruptedly since 1 January 2001, continue to enjoy Group subsidised healthcare contributions after retirement. The subsidy lapses if an employee transfers between the approved funds.

The Group's exposure in terms of this post-retirement medical benefit plan is reflected in the net benefit obligation set out on the next page. This obligation comprises the present value of the obligation, which is actuarially determined, less the fair value of the plan assets. The present value of the obligation is subject to certain financial and demographic assumptions as regards:

- the discount rate matching the duration of the liability;
- expected medical cost inflation;
- the expected return on plan assets;
- pre- and post-retirement mortality rates;
- the percentage of participants married at the time of retirement;
- the age gap between male and female participants;
- the normal retirement age; and
- the rate of withdrawal.

The nature of the benefits provided under the post-retirement medical benefit plan exposes the Group to changes in the life expectancy of beneficiaries and changes in the future medical expenses that could impact the contributions to be paid by the Group. The plan assets expose the Group to market risk.

Plan assets comprise collective investment scheme units and level annuities underwritten by an insurer. The plan is not exposed to any significant concentration of risk in relation to its assets as is evident from the breakdown of the assets on the next page. On an annual basis, level annuities are purchased from an insurer to cover the cost of the subsidies payable for eligible pensioners at the level of healthcare fund contributions set for that year. This purchase is funded from the other plan assets held in collective investment scheme units and premium payments by the employer to the insurer.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

18 POST-RETIREMENT MEDICAL OBLIGATION (continued)

The plan is not regulated but is operated in accordance with the Group's insurance and subsidy policies, and is managed by a Management Committee operating in terms of a written mandate and comprising employees of the Group, representatives of the Group's actuaries and representatives of the insurer underwriting the level annuities. The objectives of the Management Committee are to manage the Group's liability in terms of the post-retirement medical benefit plan, review the viability of the plan, resolve policy implementation and ongoing queries, manage the terms and conditions of the policy, and implement and monitor the execution of the plan's investment mandate.

Details of the post-retirement medical benefit obligation are disclosed below.

	Note	2025 Rm	2024 Rm
18.1 Benefit obligation			
Present value of obligation (actuarially determined)		114	111
Fair value of plan assets		(95)	(83)
Net benefit obligation		19	28
Weighted average duration of the defined benefit obligation	(years)	10	11
An actuarial valuation of the Group's post-retirement medical benefit obligation is performed annually.			
Changes in the present value of the obligation are as follows:			
Balance at the beginning of the reporting period		111	109
Interest cost		14	15
Current service cost		1	1
Benefits paid		(8)	(7)
Actuarial gains on obligation from changes in experience		(4)	(4)
Actuarial gains on obligation from changes in financial assumptions		-	(3)
Balance at the reporting date		114	111
Changes in the fair value of plan assets are as follows:			
Balance at the beginning of the reporting period		(83)	(82)
Interest on plan assets		(10)	(11)
Benefits paid		8	7
Actuarial (gains)/losses on plan assets		(3)	6
Group contributions	33.1	(7)	(3)
Balance at the reporting date		(95)	(83)

The actual return earned on the Group's post-retirement medical benefit plan assets amounted to R13 million (2024: R5 million). The difference between the actual and the expected returns on plan assets is reflected as an actuarial gain or loss, recognised in other comprehensive income.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	2025 Rm	2024 Rm
18 POST-RETIREMENT MEDICAL BENEFIT OBLIGATION (continued)		
18.1 Benefit obligation (continued)		
Net actuarial gains		
Actuarial gains on obligation from changes in experience	(4)	(4)
Actuarial gains on obligation from changes in financial assumptions	-	(3)
Actuarial (gains)/losses on plan assets	(3)	6
Net actuarial gains recognised in other comprehensive income	(7)	(1)
The major categories of plan assets as a percentage of the fair value of total plan assets are as follows:		
	%	%
Collective investment scheme units, at fair value	50	51
South African: multi asset, high equity funds	35	33
South African: multi asset, low equity funds	15	18
Level annuities, at net present value	50	49
Total	100	100

Plan assets comprise collective investment scheme units and level annuities underwritten by an insurer. The collective investment scheme units are valued at fair value based on quoted market prices. The level annuities are valued at net present value using a discounted cash flow model based on assumptions consistent with those applied in the valuation of the plan obligation.

Present value of benefits obligation

The Group values its liability in respect of its post-retirement medical benefit obligation at the reporting date. The following assumptions were made for purposes of such valuation:

	2025	2024
Discount rate (%)	11.1	13.4
Expected medical cost inflation (%)	7.4	9.6
Interest on plan assets (%)	11.1	13.4
Normal retirement age (years)	60	60

Contributions to the plan

The Group contributes to the plan by way of premium payments on a periodic basis based on the recommendations of the Management Committee in consultation with the Group's actuaries and the insurer.

The Group is expected to contribute between R3 million and R8 million to the plan in the next reporting period, but given the uncertainty relating to the number of employees likely to retire in the next reporting period and the level of the actuarial gains in the plan, the Group cannot currently make a reliable estimate of likely funding contributions to the plan in the next reporting period.

	Note	2025 Rm	2024 Rm
18.2 Net benefit expense recognised in profit or loss			
Interest cost on benefit obligation		14	15
Current service cost		1	1
Interest on plan assets		(10)	(11)
Net benefit expense	27.3, 33.1	5	5

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

18 POST-RETIREMENT MEDICAL BENEFIT OBLIGATION (continued)

18.3 Sensitivity analysis

The effect of a 50 basis point fluctuation in the discount rate on the present value of the obligation would be as follows:

2025

		50 basis points Increase	Decrease
Percentage (decrease)/increase in obligation	(%)	(4.4)	4.8
Present value of the obligation	(Rm)	108.9	119.5

2024

Percentage decrease in obligation	(%)	(4.4)	(4.8)
Present value of the obligation	(Rm)	105.7	115.9

100 basis points
Increase Decrease

The effect of a 100 basis point fluctuation in medical cost inflation on the present value of the obligation would be as follows:

2025

Percentage increase/(decrease) in obligation	(%)	10.3	(8.9)
Present value of the obligation	(Rm)	125.7	103.8

2024

Percentage increase/(decrease) in obligation	(%)	10.3	(8.9)
Present value of the obligation	(Rm)	122.0	100.8

The effect of a 100 basis point fluctuation in medical cost inflation on the aggregate of the current service cost and interest cost components would be as follows:

2025

Percentage increase/(decrease) in aggregate current service and interest costs	(%)	11.1	(9.6)
Aggregate current service and interest costs	(Rm)	14.9	12.1

2024

Percentage increase/(decrease) in aggregate current service and interest costs	(%)	11.1	(9.5)
Aggregate current service and interest costs	(Rm)	17.3	14.1

1 year
Increase Decrease

The effect of a one-year increase or decrease in the retirement age on the present value of the obligation would be as follows:

2025

Percentage (decrease)/increase in obligation	(%)	(2.6)	2.6
Present value of the obligation	(Rm)	111.1	116.9

2024

Percentage (decrease)/increase in obligation	(%)	(2.7)	2.7
Present value of the obligation	(Rm)	107.6	113.6

There has been no change to the methods applied in the preparation of the sensitivity analysis since the prior reporting period.

	2025 Rm	2024 Rm	2023 Rm	2022 Rm	2021 Rm
18.4 Amounts for the current and prior four periods are as follows:					
Present value of obligation	114	111	109	110	113
Fair value of plan assets	(95)	(83)	(82)	(74)	(73)
Funding deficit	19	28	27	36	40
Experience adjustment included in actuarial gains on plan liabilities	4	4	2	11	5
Experience adjustment included in actuarial gains on plan assets	3	(6)	3	(6)	4

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
19 LEAVE PAY OBLIGATION			
Balance at the beginning of the reporting period		104	105
Current leave pay accrual included in trade and other payables		82	87
Non-current leave pay obligation included in non-current liabilities		22	18
Movement for the period		-	-
Movement in exchange rates through other comprehensive income		-	(1)
Balance at the reporting date		104	104
Current leave pay accrual included in trade and other payables	21	86	82
Non-current leave pay obligation included in non-current liabilities		18	22

20 LEASES

20.1 Group as a lessee

Lease liabilities

Lease liabilities relate mainly to retail store leases, representing the financial obligation of the Group to make lease payments to landlords to use the underlying leased premises over the lease term.

Truworths Africa has lease contracts for its trading premises, certain of its office and storage spaces, one small warehouse and three small distribution centres, whereas other operating assets, including the head office building, the head office annex, three distribution centres, one vacant industrial plot for future distribution development, an apartment and a number of parkade parking bays are owned or part-owned in the case of the new distribution centre. Lease terms on trading premises are typically contracted for periods of five years, with renewal options for a further five years. Some of these leases provide for minimum annual rental payments together with additional amounts determined on the basis of sale of merchandise (turnover).

Office UK leases its trading premises, its head office and its warehouse/distribution centre. Lease terms on trading premises are typically contracted for a 10 year period with a tenant-only break option after 5 years allowing Office to exit such leases should it become necessary. Some of these leases provide for minimum rental payments together with additional amounts determined on the basis of sale of merchandise (turnover).

The majority of the Group's lease contracts include extension and termination options. These options are negotiated by management to provide flexibility in managing the retail store portfolio and align with the Group's business needs. Management exercises significant judgement in determining whether these extension and termination options are reasonably certain to be exercised.

The value of future cash outflows for leases committed to but that have not yet commenced amounts to R70 million (2024: R114 million).

Refer to note 27.4 for further information relating to lease expenses.

	Note	2025 Rm	2024 Rm
Balance at the beginning of the reporting period		3,917	3,846
Additions for new or renewed leases		374	617
Lease modifications, re-measurement and terminations		503	598
Finance charges	27.7	306	288
Lease payments		(1,411)	(1,388)
Movement in exchange rates through profit and loss		-	3
Movement in exchange rates through other comprehensive income		53	(47)
Balance at the reporting date		3,742	3,917
Current lease liabilities		1,045	990
Non-current lease liabilities		2,697	2,927
		3,742	3,917

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

20 LEASES (continued)

20.1 Lessee under operating leases (continued)

		2025 Rm	2024 Rm
Cash outflows related to leases			
Fixed rent		1,411	1,390
Variable lease payments		107	82
		1,518	1,472

	Note	2025 Rm	2024 Rm
21 TRADE AND OTHER PAYABLES			
Trade payables	25.5	1,104	862
Other payables and accrued expenses*		614	516
Value-added tax		122	124
Current leave pay accrual	19	86	82
Unredeemed gift vouchers contract liability		49	46
Unclaimed dividends owing to shareholders	33.4	4	4
Withholding tax		2	2
Balance at the reporting date	25.1	1,981	1,636

* Consist mainly of expense and capital expenditure accruals of R488 million (2024: R445 million), salary deductions of R78 million (2024: R30 million) and employees' tax of R48 million (2024: R39 million).

The directors consider the carrying amounts of all trade and other payables to approximate their fair values.

Terms and conditions of financial and other liabilities:

- Trade payables are generally non-interest-bearing and are normally settled between 30 and 60 days.
- Other payables, accrued expenses, value-added tax and withholding tax are non-interest-bearing provided they are settled within their respective credit terms.
- The unredeemed gift vouchers contract liability is non-interest bearing and is settled on redemption of the vouchers.
- Leave pay due to employees is payable on termination of employment.
- Unclaimed dividends due to shareholders are non-interest-bearing and are payable on demand.

Refer to note 25.5 for further information relating to liquidity risk management.

	Note	2025 Rm	2024 Rm
22 PROVISIONS			
Employment costs	22.1	143	135
Sales returns contract liability	22.2	69	63
Occupancy commitments	22.3	232	193
Balance at the reporting date		444	391
Non-current provisions		234	186
Current provisions		210	205
		444	391

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
22.1 Employment costs			
Balance at the beginning of the reporting period		135	131
Movement in exchange rates through other comprehensive income		4	(1)
Movement for the period		4	5
Provision raised and released		94	124
Provision utilised		(90)	(119)
Balance at the reporting date		143	135

The provision relates to accumulated payments in terms of employment contracts, incentive-based bonuses and long-term incentives. The estimated incentive-based bonuses, which ordinarily will be no greater than the provision raised, are calculated as a present obligation with reference to different incentive arrangements for different levels of employees. Dependent on the level of employee, the calculation could either refer to the employment contract, or employee performance and the Group or subsidiary company's results.

The incentives are expected to be paid over the period between September 2025 and November 2025 to Group employees and as such the present obligation includes amounts earned to date based on the assumption of continued employment until the payment date. The Office UK long-term incentives are calculated as a present obligation with reference to different incentive arrangements for different levels of employees and are payable over a period of 5 years.

The uncertainty relating to the amount of the obligation is attributable to the fact that qualifying employees are required to be in the Group's employ at the time of payment, and the fact that payment of the larger portion of the incentives is conditional upon the outcome of Group/subsidiary company and individual performance assessments and Remuneration Committee approval, all of which take place after the reporting date.

Of the R94 million (2024: R127 million) provision raised in the current reporting period, R1 million (2024: R4 million) relates to accumulated payments due to Truworths Africa and Office UK employees in terms of employment contracts and R93 million (2024: R106 million) relates to Group incentive bonuses. These provisions are determined in accordance with IAS 19: Employee Benefits.

		2025 Rm	2024 Rm
22.2 Sales returns contract liability			
Balance at the beginning of the reporting period		63	79
Movement in exchange rates through other comprehensive income		2	(2)
Movement for the period		4	(14)
Provision raised		67	63
Provision utilised		(63)	(77)
Balance at the reporting date		69	63

It is the Group's policy to accept merchandise returns up to 30 days after the sale has occurred or, in the case of defective goods, up to six months after sale, provided that the customer has retained proof of purchase. The amount of the provision was calculated with reference to prior period sales returns trends.

		2025 Rm	2024 Rm
22.3 Provision for occupancy commitments			
Balance at the beginning of the reporting period		193	223
Unwinding of discount		10	8
Movement in exchange rates through other comprehensive income		13	(8)
Movement for the period		16	(30)
Provision raised and released		25	(20)
Provision utilised		(9)	(10)
Balance at the reporting date		232	193

The provision relates to dismantling/dilapidation costs in respect of the restoration of leased stores to their original condition in terms of rental agreements, which amounts are calculated based on actual quotes or estimates of the future costs.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	2025 Rm	2024 Rm
23 CAPITAL COMMITMENTS		
Capital commitments refer to all capital expenditure projects specifically approved by the board.		
<i>Authorised but not contracted</i>		
Store renovation and development	387	410
Computer software and infrastructure	76	42
Distribution facilities	6	11
Motor vehicles	3	3
Head office refurbishment	11	1
Capital expenditure authorised but not contracted	483	467
<i>Authorised and contracted</i>		
Distribution facilities	3	289
Computer software and infrastructure	62	57
Head office refurbishments	-	7
Capital expenditure authorised and contracted	65	353
Total capital commitments	548	820

The capital commitments will be financed through cash generated from operations, available cash resources and borrowings.

24 CONTINGENT LIABILITIES

The Group had no material contingent liabilities at the reporting date (2024: Rnil).

Litigation

There is no current or pending litigation which is considered likely to have a material adverse effect on the Group.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT

25.1 Classifications

The Group's financial assets and liabilities, per class and measurement category of financial instrument, are summarised below. Non-financial assets and liabilities, where applicable, are disclosed in order to reconcile to the statements of financial position.

	Note	Assets at amortised cost Rm	Assets held at fair value through profit or loss Rm	Assets held at fair value through other comprehensive income Rm	Non- financial assets Rm	Total Rm
Assets						
2025						
Net trade receivables	11	5,252	-	-	-	5,252
Other receivables	11	149	-	-	37	186
Assets held at fair value*	7	-	2,559	18	-	2,577
Loans and receivables	8	28	-	-	-	28
Cash and cash equivalents	12	964	-	-	-	964
		6,393	2,559	18	37	9,007
2024						
Net trade receivables	11	5,233	-	-	-	5,233
Other receivables	11	186	-	-	-	186
Assets held at fair value*	7	-	1,769	14	-	1,783
Loans and receivables	8	28	-	-	-	28
Cash and cash equivalents	12	801	-	-	-	801
		6,248	1,769	14	-	8,031
	Note	At amortised cost Rm	At fair value through profit or loss Rm	Other financial liabilities Rm	Non- financial liabilities Rm	Total Rm
Liabilities						
2025						
Interest-bearing borrowings	16	1,479	-	-	-	1,479
Trade and other payables	21	1,664	-	-	317	1,981
Bank overdraft	12	975	-	-	-	975
Put option liability	17	-	-	33	-	33
Derivative financial liabilities	6	-	25	-	-	25
Lease liabilities*	20	3,742	-	-	-	3,742
		7,860	25	33	317	8,235
2024						
Interest-bearing borrowings	16	1,476	-	-	-	1,476
Trade and other payables	21	1,374	-	-	262	1,636
Bank overdraft	12	1,099	-	-	-	1,099
Put option liability	17	-	-	55	-	55
Derivative financial liabilities	6	-	27	-	-	27
Lease liabilities*	20	3,917	-	-	-	3,917
		7,866	27	55	262	8,210

* We have updated the presentation of lease liabilities from other financial liabilities to liabilities at amortised cost. In addition, we have restated assets which were incorrectly presented at fair value through other comprehensive income to assets held at fair value through profit or loss in the current financial period and have also applied this change in the prior period comparatives. The update in disclosure did not have any material impact on the financial position and financial performance of the Group.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.2 Financial risk management

In the ordinary course of business operations the Group is exposed to a variety of financial risks arising from the use of financial instruments. These risks include:

- market risk (comprising currency risk, interest rate risk and other price risk);
- credit risk; and
- liquidity risk.

The Truworths International board is responsible for risk governance, including in relation to financial risks, and is assisted by the directors of Truworths Ltd. The Risk Committee, a committee of the Truworths International board, oversees the management of financial risks relating to the Group's operations. The Truworths International board has adopted King IV's risk governance and management principles and has established a policy framework which guides the Group's risk management processes. These policies and guidelines are periodically examined by senior executives and adjusted, if necessary, to ensure that changes in the business and economic environment have been taken into account.

Treasury risk management objectives and policies

The Truworths Ltd and Office Holdings Ltd boards, acting on the recommendations of the Truworths Investment Committee, oversee the management of the Group's treasury function. Comprehensive treasury policies and processes have been developed and issued for the Truworths Africa and Office UK segments to control the risks arising from the respective treasury functions. The Investment Committee, which consists of senior executives, meets regularly to update treasury risk policies and objectives, as well as to re-evaluate risk management strategies against revised economic forecasts. Policy amendments have to be submitted to the board for approval. Compliance with the treasury policies is reviewed periodically by the internal audit department.

25.3 Market risk management

The Group's exposure to market risk relates to currency risk, interest rate risk and other price risk. Market risk is managed by identifying and quantifying risks on the basis of current and future expectations and by ensuring that all treasury trading occurs within defined parameters. This involves the review and implementation of methodologies to reduce risk exposure. The reporting on the state of the risk and risk practices to executive management is part of this process. The processes set up to measure, monitor and mitigate these market risks are described below. There has been no change to the Group's exposure to market risk and the manner in which the Group manages and measures the risk since the prior reporting period.

25.3.1 Currency risk

The following exchange rates relative to the South African Rand (ZAR) applied during the period:

	Average spot rate for the reporting period	Spot rate at the reporting date
2025		
US Dollar	18.18	17.84
Pound Sterling	23.51	24.48
2024		
US Dollar	18.72	18.21
Pound Sterling	23.58	23.04

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.3 Market risk management (continued)

25.3.1 Currency risk (continued)

The Group's exposure to currency risk results mainly from US Dollar-based imports into South Africa, Euro and US Dollar-based imports into the United Kingdom (UK) from foreign suppliers, the Group's US Dollar and Euro denominated investments and the translation of the results of operations in the UK, Republic of Ireland, Botswana and Zambia. Consequently, exchange rate fluctuations may have an impact on Group results as well as future cash flows. Forward exchange contracts are used to reduce currency exposures arising from imports into South Africa. Foreign currency exposures in the Office UK segment are not contractually hedged however the Office UK segment has sufficient US Dollar reserves and Euro denominated earnings that serve as a hedge against currency movements.

Translation of the results of foreign operations into South African Rand (ZAR)

Sensitivity analysis

If the ZAR weakens or strengthens against the Pound Sterling (GBP) by 5% (2024: 5%), assuming all other variables remain constant, profit before tax would increase or decrease by the amount set out in the table below due to the change in the ZAR equivalent of the results of the Group. A 5% (2024: 5%) fluctuation is considered to be appropriate based on the volatility of the ZAR exchange rate during the period as well as current market indicators.

	2025 Rm	2024 Rm
Effect on profit before tax	69	121
Effect on equity	52	91

Forward exchange contracts (FECs)

It is the Group's policy to cover all committed imports into South Africa, whilst imports into the United Kingdom are hedged by foreign currency balances and earnings. The Group had no uncovered foreign currency liabilities in respect of imports into South Africa at 29 June 2025 (30 June 2024: nil). All foreign exchange trading positions are valued at fair value determined using market traded foreign exchange rates with similar maturity profiles at the reporting date. Resultant profits or losses are recognised in profit or loss. The mark-to-market forward exchange contract liability at the reporting date was R25 million (2024: R27 million). Refer to note 6.1 for further information.

At the reporting date the Group had the following open forward exchange contracts which will mature within 12 months to cover specific import orders of goods.

	Average contract rate R	Foreign currency '000	Contract equivalent R'000
2025			
US Dollar	18.75	29,309	549,544
Pound Sterling	23.66	34	804
Euro	19.62	130	2,551
			552,899
2024			
US Dollar	19.17	31,770	609,031
Pound Sterling	24.27	62	1,505
Euro	20.70	269	5,568
			616,104

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.3 Market risk management (continued)

25.3.1 Currency risk (continued)

Currency risk sensitivity analysis (forward exchange contracts)

The effect on the Group's profit before tax has been calculated assuming that there were no changes in the merchandise retail selling prices and the gross margin as a result of the currency fluctuations. The sensitivity analysis includes all open FECs at the reporting date and adjusts the mark-to-market translation.

If the ZAR weakens or strengthens against the currencies stated below by 5% (2024: 5%), assuming all other variables remain constant, profit before tax would have increased or decreased by the amounts set out in the table below due to the change in the fair value of the FECs. A 5% (2024: 5%) fluctuation is considered to be appropriate based on the volatility of the ZAR exchange rate during the period as well as current market indicators.

	2025 R'000	2024 R'000
Effect on profit before tax*		
US Dollar	27,474	30,452
Pound Sterling	41	75
Euro	127	279
	27,642	30,806

* Effect on equity R20 million (2024: R22 million)

Put option liability

The liability arising from the put options granted by the Group to holders of non-controlling interests in Office is GBP denominated. Any changes in the value of the put option liability (including those arising from foreign exchange rate movements) are recognised directly in equity, are considered immaterial and will have no impact on the earnings of the Group. Refer to note 17 for further information.

Mutual fund investments: Retirement benefits and investment in money market funds

Mutual fund investments and investments in money market funds include amounts denominated in foreign currencies. Any changes in exchange rates will therefore impact the value of these investments of the Group. Refer to note 7 for further information.

Sensitivity analysis

If the ZAR weakens or strengthens against the GBP, USD and EUR by 5% (2024: 5%), assuming all other variables remain constant, earnings and equity would increase or decrease by the amount set out in the table below due to the change in the ZAR equivalent investment value of the Group. A 5% (2024: 5%) fluctuation is considered to be appropriate based on the volatility of the ZAR exchange rate during the period as well as current market indicators.

	2025 Rm	2024 Rm
^ Effect on profit before tax*		
US Dollar	48	32
Pound Sterling	39	39
Euro	22	-
	109	71

* Effect on equity R82 million (2024: R53 million)

^ In the prior period the currency risk sensitivity analysis for mutual fund investments and investment in money market funds was not presented. In the current period the currency risk sensitivity analysis has been presented along with prior period comparatives. The update in disclosure did not have any impact on the financial position or performance of the Group.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.3 Market risk management (continued)

25.3.2 Interest rate risk

The Group is exposed to interest rate risk on its interest-bearing borrowings (refer to note 16), floating rate cash and cash equivalents and the interest-bearing portion of trade receivables. The Group does not hold any fixed rate interest instruments. Where applicable a weighted average has been applied in determining the figures below.

Interest rate analysis

The interest rates of interest-bearing instruments at the reporting date are summarised below:

	2025 %	2024 %
Floating rate		
Interest earned on balances with banks in Africa	4.1	4.6
Interest earned on balances with banks in United Kingdom	3.4	3.2
Interest earned on money market funds in Africa	8.0	9.0
Interest earned on money market funds in United Kingdom	3.8	5.2
Interest earned on interest-bearing portion of trade receivables*	26**	28.2**
Interest paid on bank overdraft in South Africa	8.5	9.8
Interest paid on green loan in South Africa	8.9	9.7
Interest paid on unsecured variable-rate revolving credit banking facility in South Africa	8.6	9.6

* At the reporting date, 78% (2024: 79%) of trade receivables were interest-bearing.

** Being the maximum interest rate charged on interest-bearing plans at the reporting date.

Interest rate sensitivity analysis

The interest rate sensitivity analysis is based on a fluctuation of 100 basis points in Africa and 50 basis points in the United Kingdom and assumes that all other variables, in particular foreign exchange rates, remain constant. A fluctuation of 100 basis points in Africa and 50 basis points in the United Kingdom are considered appropriate based on recent forecasts and economic indicators.

The cash flow interest rate sensitivity of floating rate interest instruments is based on their respective balances at the reporting date. The sensitivity analysis was performed by increasing or decreasing the interest rates achieved at the reporting date, which would result in an increase or decrease in profit before tax respectively.

	2025 Rm	2024 Rm
Effect on profit before tax* increase/(decrease)		
Cash and cash equivalents	5	4
Investment in money market funds	11	8
Interest-bearing portion of trade receivables	41	41
Bank overdraft	(10)	(11)
Interest-bearing borrowings	(15)	(15)
	32	27

* Effect on equity R24 million (2024: R20 million)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.3 Market risk management (continued)

25.3.3 Other price risk

The Group's exposure to other price risk relates to call options over shares held by non-controlling interests, put options held by non-controlling interests, the Group's insurance cell captive, mutual fund investments, money market fund units, the unlisted investment in Business Partners Ltd and the personal lines insurance business arrangement.

Insurance cell captive, unlisted investment and personal lines insurance business arrangement

These assets are classified as assets held at fair value. Subsequent to initial measurement, the insurance cell captive is measured at FVTPL and the unlisted investment and personal lines insurance business arrangement are measured at FVOCI.

A movement in the fair value of these assets will not have a material impact on earnings or other comprehensive income. Refer to note 7 for further information.

Mutual fund investments and money market fund units

These assets are classified at fair value. Subsequent to initial measurement, the mutual and money market fund units are measured at FVTPL.

Changes in market interest rates and credit defaults would cause movement in the fair value of these assets which could have a material impact on the earnings or other comprehensive income, however, the risk of capital loss is considered low given the credit quality of these investments.

Other price risk sensitivity analysis

The price risk sensitivity analysis is based on a fluctuation of 5% on the fair values of money market fund units and assumes that all other variables remain constant. A 5% fluctuation is considered to be appropriate based on the volatility of market values.

The sensitivity analysis is based on their fair values at the reporting date. The sensitivity analysis was performed by increasing or decreasing the fair values at the reporting date which would result in an increase or decrease in profit before tax, and equity.

	2025 Rm	2024 Rm
^Effect on profit before tax*		
Investment in money market funds	111	73

*Effect on equity: R83 million (2024: R55 million)

^In the prior period the other price risk sensitivity analysis was not presented. In the current period the other price risk sensitivity analysis has been presented along with prior period comparatives. The update in disclosure did not have any impact on the financial position or performance of the Group.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.4 Credit risk

The Group's exposure to credit risk relates to assets held at fair value, loans and receivables, trade and other receivables, cash and cash equivalents and money market fund units, which are disclosed in notes 7, 8, 11 and 12 respectively. Refer to the Account Management Report in the 2025 Integrated Annual Report for further information.

The Group's maximum exposure to credit risk at the reporting date, split per class and category of financial asset, is shown in note 25.1. There is no exposure to credit risk relating to items not recognised in the statement of financial position.

25.4.1 Trade and other receivables

The Group offers account sales to customers in South Africa, Namibia, Eswatini and Botswana only. Group entities perform on-going credit evaluations of the financial condition of their customers. Before accepting any new account customer or offering additional credit to existing account holders, the Group uses statistically derived credit risk models and scoring systems, external credit bureaux data and affordability assessments to determine the customer's credit quality. These methods used to grant credit to customers comply with the requirements of the South African National Credit Act (NCA) and relevant legislation (where applicable) in the other countries in which accounts are offered. The assumptions of the Group's risk models are reviewed and updated on a regular basis.

Account customers that are overdue in excess of 30 days or more can no longer purchase until they have made at least a qualifying payment to bring their accounts up to date. The Group continued to apply the high qualifying payment percentage of 90% necessary for customers to avoid delinquency and at the reporting date 78% (2024: 79%) of accounts in the active trade receivables portfolio were able to purchase on account because they continued to meet the Group's stringent and consistently applied criteria for on-going purchases. Management is satisfied with the quality of the active trade receivables portfolio.

The Group follows a strict policy of contractual delinquency and either charges off (for credit risk management purposes) or writes off (derecognises for accounting purposes) non-performing accounts. Accounts that show a likelihood of recovery in the future are charged off, as opposed to being written off, and reside in a separate charged-off trade receivables portfolio where bespoke collections strategies are applied with rehabilitation as the key outcome. Whilst in the charged off portfolio account holders cannot shop until their accounts have been rehabilitated and they have been reassessed for credit in accordance with the Group's standard credit risk criteria and the requirements of the NCA. Accounts that show no reasonable expectation of recovery are written off and derecognised and moved to the written-off (off-balance sheet) portfolio where collection efforts continue through specialist external collections agencies. Movements of accounts to either the charged off or written off portfolios are assessed monthly.

The Group assesses its ECL allowances separately for the active and charged-off trade receivables portfolios at each reporting date.

The measurement of expected credit losses in respect of the active trade receivables portfolio considers the probability and the expected timing of charge-off and the Group's anticipated exposure at the time of charge-off, as well as the likelihood that the asset is:

- simultaneously charged-off and written-off (derecognised); or
- transferred to the charged-off portfolio, in which regard it further considers the expected timing and estimated cash-flows (net of direct external collection costs) up to the point of write-off.

The measurement of expected credit losses in respect of the charged-off trade receivables portfolio considers the Group's expected exposure at the time of write-off after considering the expected timing and estimated cash-flows (net of direct external collection costs) up to the point of write-off. There are no material individually impaired trade receivables included in the ECL allowance. Amounts owing on account by deceased customers and customers who have been sequestered or placed under administration are written off immediately.

IFRS 9 requires forward-looking information to be considered in the determination of the ECL. To accomplish this, Truworths models the relationship between the variation in credit loss behaviour and key macroeconomic indicators. Linear regression models were developed to analyse the impact of relevant historic macroeconomic indicators on the performance of the expected credit risk loss models, which is used to incorporate the impact of forward-looking macroeconomic indicators in the model output. The models are reviewed and validated on a bi-annual basis by an independent analytics consultancy to determine whether the models remain appropriate.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.4 Credit risk (continued)

25.4.1 Trade and other receivables (continued)

The following forward-looking macroeconomic indicators, being those with the strongest statistical significance, were incorporated into the macroeconomic regression models:

- Debt service cost to income (published by the South African Reserve Bank);
- Change in retail sales (published by Statistics South Africa);
- Change in gross domestic product (published by Statistics South Africa); and
- Change in the labour force/unemployment rate (published by Statistics South Africa)

Forecasts for the macroeconomic inputs are sourced from a reputable economics consultancy to create the base forward-looking scenario. These forecasts are then adjusted to create appropriate upside and downside scenarios. The base, upside and downside scenarios are probability-weighted by the Truworths Ltd Credit Loss Provision Committee to determine the forward-looking impact on the ECL. This process of incorporating forward-looking information into the ECL calculation requires significant judgment and estimation.

There is no concentration of risk in the Group's trade receivables as there is a large, widespread customer base. The directors believe that no further allowance in excess of the ECL allowance is required.

The table below represents an age analysis of impaired trade and other receivables. Trade and other receivables are considered past due should a qualifying payment not be received within 30 days.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.4.1 Trade and other receivables (continued)

	Note	Trade receivables Rm	Allowance Rm	Net trade and other receivables Rm	Allowance as a percentage of trade receivables %
2025					
Active trade receivables	11.1	6,448	(1,339)	5,109	20.8
Stage 1		4,714	(353)	4,361	7.5
Stage 2		600	(218)	382	36.3
Stage 3		1,134	(768)	366	67.7
Charged-off trade receivables	11.2	543	(400)	143	73.7
Stage 3		543	(400)	143	73.7
Total trade receivables		6,991	(1,739)	5,252	24.9
Other receivables				149	
Trade and other receivables				5,401	

2024

Active trade receivables	11.1	6,425	(1,302)	5,123	20.3
Stage 1		4,664	(344)	4,320	7.4
Stage 2		607	(216)	391	35.6
Stage 3		1,154	(742)	412	64.3
Charged-off trade receivables	11.2	511	(401)	110	78.5
Stage 3		511	(401)	110	78.5
Total trade receivables		6,936	(1,703)	5,233	24.6
Other receivables	11			186	
Total trade and other receivables	11			5,419	

	Note	Stage 1 Rm	Stage 2 Rm	Stage 3 Rm	Total Rm
2025					
ECL allowance – Active portfolio					
ECL allowance at the beginning of the reporting period		345	216	741	1,302
Movement in balances		154	(68)	(50)	36
Changes in risk classification and ECL assumptions		(146)	72	1,190	1,116
Balances written off		–*	(1)	(688)	(689)
Balances transferred to charged-off trade receivables ECL allowance		–	–	(427)	(427)
Other		–*	–*	1	1
ECL allowance as at the reporting date	11.1.1	353	219	767	1,339
ECL allowance – Charged-off portfolio					
ECL allowance at the beginning of the reporting period		–	–	401	401
Balances transferred from active trade receivables ECL allowance		–	–	427	427
Movement in balances		–	–	(48)	(48)
Changes in risk classification and ECL assumptions		–	–	(45)	(45)
Balances written off		–	–	(335)	(335)
ECL allowance as at the reporting date	11.2.1	–	–	400	400

* Zero due to rounding

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.4 Credit risk (continued)

25.4.1 Trade and other receivables (continued)

	Note	Stage 1 Rm	Stage 2 Rm	Stage 3 Rm	Total Rm
2024					
ECL allowance – Active portfolio					
ECL allowance at the beginning of the reporting period		397	237	716	1,350
Movement in balances		184	(79)	(42)	63
Changes in risk classification and ECL assumptions		(228)	67	1,371	1,210
Balances written off		-	(3)	(835)	(838)
Balances transferred to charged-off trade receivables ECL allowance		-	-	(449)	(449)
Other		(8)	(6)	(20)	(34)
ECL allowance as at the reporting date	11.1.1	345	216	741	1,302
ECL allowance – Charged-off portfolio					
ECL allowance at the beginning of the reporting period		-	-	-	-
Balances transferred from active trade receivables ECL allowance		-	-	449	449
Changes in risk classification and ECL assumptions		-	-	8	8
Balances written off		-	-	(56)	(56)
ECL allowance as at the reporting date	11.2.1	-	-	401	401

25.4.2 Assets held at fair value through other comprehensive income

Mutual fund investments, including those held by the Group's charitable trusts, comprise units in various local and offshore mutual funds administered by reputable asset managers with long-term proven past performance. Accordingly the Group is not exposed to significant credit risk arising from its mutual fund investments. Refer to note 7 for further information.

25.4.3 Cash and cash equivalents

The Group holds cash with A1+ (ZA), A1 (ZA)/A1, F1 (Fitch), Prime1 (Moody's) or A-1+ (S&P) approved rated financial institutions. The amount of exposure to any counterparty is subject to the limits imposed by the Group's treasury policy in order to achieve a spread of risk and opportunity. Refer to note 12 for further information.

25.4.4 Money market fund units

The Group invests cash with A1+ (ZA) and AAA rated money market unit trust funds. These funds are highly liquid, low-volatility net asset value money market funds. Refer to note 7.3 for further information.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.5 Liquidity risk

The Group's exposure to liquidity risk relates to derivative financial liabilities, interest-bearing borrowings, lease liabilities and trade and other payables, which are disclosed in notes 6, 16, 20 and 21 and respectively.

The Group has minimal risk of illiquidity as reflected by its net cash position (including money market fund investments) and unutilised gearing capacity. The Group utilises cash reserves and borrowings to fund working capital and capital investment requirements. The Group also has committed and uncommitted unutilised banking facilities available as set out in note 16. Management has obtained a letter of funding support issued by the Group's principal bankers which shows that the Group qualifies for significant funding in addition to the unutilised banking facilities, based on its solid financial track record in past years.

The expected maturity profile of the Group's financial liabilities at the reporting date, based on contractual undiscounted payments, including contractual interest payable (where applicable), is as follows:

Financial liabilities maturity profile

	Note	Settled on demand Rm	Settled in <60 days Rm	Settled between 60-89 days Rm	Settled between 90-365 days Rm	Settled after 365 days	Total Rm
2025							
Interest-bearing borrowings*		-	-	1,226	274	-	1,500
Put option liability	17	-	-	-	33	-	33
Bank overdraft	12	975	-	-	-	-	975
Trade and other payables	21	102	1,520	37	5	-	1,664
Forward exchange contracts	6	-	7	4	14	-	25
		1,077	1,527	1,267	326	-	4,197
2024							
Interest-bearing borrowings*	16	-	-	1,208	-	268	1,476
Put option liability	17	-	-	-	29	26	55
Bank overdraft	12	1,099	-	-	-	-	1,099
Trade payables	21	127	709	11	15	-	862
Unclaimed dividends owing to shareholders	21	4	-	-	-	-	4
Other payables and accrued expenses		34	462	1	15	-	512
Forward exchange contracts	6	-	-	-	27	-	27
		1,264	1,171	1,220	86	294	4,035

* The RCF portion of interest-bearing borrowings is settled quarterly, unless the facility utilisation is rolled-over.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.5 Liquidity risk (continued)

	2025 Rm	2024 Rm
Lease liabilities maturity profile (undiscounted)		
Within one year	1,315	1,259
Between one year and two years	1,169	1,210
Between two years and five years	1,698	1,897
More than five years*	337	388
	4,519	4,754

* This amount largely relates to the lease for the new Truworths Africa Distribution Centre, TDC Airport. Please refer to note 34.

25.6 Items of income, expense, gains or losses

		Interest received on impaired receivables Rm	Interest received/ (paid) Rm	Impairment reversal/ (losses) recognised Rm	Fair value (losses)/ gains Rm	Other costs Rm	Total net gains/ (losses) Rm
2025							
Financial assets							
At amortised cost		430	788	(989)	-	(271)	(42)
At fair value through profit or loss		-	133	-	(2)	-	131
At fair value through other comprehensive income		-	-	-	4	-	4
Financial liabilities							
Bank overdraft		-	(71)	-	-	-	(71)
Interest-bearing borrowings	16	-	(135)	-	-	-	(135)
Lease liabilities	27.7	-	(306)	-	-	-	(306)
Derivative financial liabilities	6	-	-	-	(25)	-	(25)
2024							
Financial assets							
At amortised cost		463	844	(1,022)	-	(281)	4
At fair value through profit or loss		-	82	-	8	-	90
At fair value through other comprehensive income		-	-	-	2	-	2
Financial liabilities							
Interest-bearing borrowings	16	-	(128)	-	-	-	(128)
Lease liabilities	27.7	-	(288)	-	-	-	(288)
Derivative financial liabilities	6	-	-	-	(27)	-	(27)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.7 Fair value of financial instruments

25.7.1 Fair value measurement

The following methods and assumptions are used by the Group in establishing fair values:

Financial assets and liabilities (other than those separately disclosed below)

Carrying amounts of financial instruments reported in the statements of financial position at amortised cost approximate fair values. The fair value of the financial instruments at the reporting date has been determined using available market information and appropriate valuation methodologies.

Assets held at fair value

The fair value of the Group's mutual fund units and unlisted investment is determined annually with reference to the quoted unit prices at the close of business on the reporting date and the most recently traded share price respectively. The fair value of the Group's short-term insurance cell captive and personal lines insurance business arrangement is determined with reference to the net asset value of these interests per management accounts prepared by third parties. The fair value of the Group's money market fund investments is determined with reference to the net asset value of the investment fund units at the reporting date as published by the fund managers. Refer to note 7 for further information.

Forward exchange contracts

The fair value of forward exchange contracts entered into by the Group is determined with reference to market traded forward exchange contracts with similar maturity profiles at the reporting date.

25.7.2 Fair value hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

At the reporting date, the Group held the following financial instruments measured at fair value:

	Note	Fair value hierarchy			
		Total Rm	Level 1 Rm	Level 2 Rm	Level 3 Rm
2025					
Assets measured at fair value					
Assets held at fair value	7	2,577	2,534	1	42
Liabilities measured at fair value					
Derivative financial liabilities	6	25	-	25	-
Put options over shares held by non-controlling interests	17	33	-	-	33
2024					
Assets measured at fair value					
Assets held at fair value	7	1,783	1,745	1	37
Liabilities measured at fair value					
Derivative financial liabilities	6	27	-	27	-
Put options over shares held by non-controlling interests	17	55	-	-	55

There were no transfers between level 1 and level 2, or into and out of level 3 fair value categories during the reporting period.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

25 FINANCIAL RISK MANAGEMENT (continued)

25.8 Capital management

The Group manages its capital to ensure that the entities in the Group will be able to continue as going concerns while enhancing the return to its shareholders. The Group's overall strategy has remained unchanged from 2024.

The capital structure of the Group consists of debt and equity (fully attributable to owners of the parent), comprising of interest-bearing borrowings, issued ordinary share capital, non-distributable reserves and retained earnings, less treasury shares. Refer to notes 13 to 16 for further information.

The primary objectives of the Group's capital management are:

- to ensure that the Group maintains healthy capital ratios in order to support its business;
- to enhance the return to shareholders after benchmarking anticipated returns against the Group's financial targets;
- to ensure that entities within the Group will be able to continue as going concerns and have sufficient capital for their operations;
- to provide flexibility so as to be able to take advantage of opportunities that could improve shareholder value; and
- to use excess cash to buy back shares in order to enhance both earnings per share and return on equity.

The management of capital is reviewed by the Truworths International board on a quarterly basis. The Group will manage the overall capital structure through, but not limited to, dividend payments, share buy-backs and borrowings. The Group manages its capital structure and makes adjustments thereto in light of changes in economic conditions and the needs of the Group. The Group monitors capital using the return on equity, return on capital and dividend cover ratios. The Group's policy is to keep these ratios in line with annual financial targets.

The Group is subject to externally imposed covenant requirements on its borrowings. It also needs to adhere to the capital requirements in terms of the Companies Act (71 of 2008, as amended). The Group must ensure that following any share repurchases or payments to shareholders, on a fair value basis, the consolidated assets of the Group must exceed its consolidated liabilities, the capital of the Group must be adequate for the purposes of the Group's business and the Group must be able to pay its debts when they fall due. Consequently, when such transactions are in contemplation, management considers their impact on the Group's solvency, liquidity and equity.

		2025	2024
Profit before finance costs and tax for the period	(Rm)	4,274	5,631
Profit for the period, attributable to equity holders of the parent	(Rm)	2,790	3,887
Total equity	(Rm)	10,731	9,506
Net asset value per share	(cents)	2,859	2,553
Ratios			
Return on equity	(%)	28	45
Return on capital	(%)	42	65
Return on assets	(%)	21	30
Asset turnover	(times)	1.1	1.1
Inventory turn	(times)	4.2	4.3
Net cash/(debt) to equity*	(%)	6.7	(3.2)
Net cash/(debt) to EBITDA*	(times)	0.1	-
Dividend cover	(times)	1.5	1.5

* Net cash/(debt) comprises interest-bearing borrowings and bank overdraft, less cash and cash equivalents (excluding cash and cash equivalents held by the charitable trusts) and money market fund investments held at fair value.

The ratios disclosed above are defined in Annexure Four.

Refer to the Group's financial targets in the Chief Financial Officer's Report in the 2025 Integrated Annual Report.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
26 REVENUE			
Sale of merchandise		21,323	20,664
Retail sales		21,962	21,378
Variable consideration adjustments*		(732)	(804)
Delivery fee income		90	86
Wholesale sales		3	4
Interest income	33.1	1,351	1,388
Trade receivables interest		1,219	1,278
Investment and other interest		132	110
Other income		405	562
Commission		157	178
Financial services income		148	130
Display fees		48	48
Reversal of previously recognised right-of-use asset impairment losses [#]	3	18	134
Reversal of previously recognised property, plant and equipment impairment losses [#]	2	-	7
Insurance recoveries [#]		-	20
Gain on right-of-use asset re-measurements and modifications [#]	33.1	7	17
Lease rental income [#]		5	8
Variable lease rental income [#]		9	9
Fair value adjustment of insurance cell captive [#]	33.1	-	8
Other		13	3
Dividend income	33.1	31	25
Total, comprising:		23,110	22,639
Revenue		23,071	22,436
[#] Non-revenue items		39	203

* Variable consideration adjustments made in terms of IFRS Accounting Standards and generally accepted accounting practice relate to promotional vouchers, staff discounts on merchandise purchased, cellular retail sales on an agency basis, notional interest on non-interest-bearing trade receivables and the sales returns provision. Notional interest represents a significant financing component in accordance with IFRS 15. The Group recognised notional interest of R152 million in variable consideration adjustments (2024: R151 million) through a reduction to retail sales.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
27 PROFIT BEFORE TAX			
Profit before tax is stated after taking account of the following items:			
27.1 Cost of sales*			
Purchases		10,143	9,635
Movement in allowance for inventories carried at net realisable value below cost		(51)	(17)
Shrinkage and write-offs	10	87	43
Movement in opening and closing stock		(166)	(151)
Trading expenses related to inventory distribution:		376	349
Depreciation		26	10
Employment costs		153	129
Occupancy costs		50	57
Transport and distribution costs		145	146
Other operating costs		2	7
		10,389	9,859

*The nature of cost of sales is disclosed above, and the trading expenses in notes 27.2 to 27.4 and 27.6 are disclosed net of the re-allocation of portions of these expenses to cost of sales.

	2025 Rm	2024 Rm
27.2 Depreciation and amortisation*		
Right-of-use assets	1,128	1,091
Property, plant and equipment & intangible assets	372	384
	1,500	1,475

27.3 Employment costs*

The Group employed 9 181 (2024: 9 146) full-time equivalent employees at the reporting date. The aggregate remuneration and associated costs for the period relating to the employment of permanent and flexi-time employees, including executive directors, were:

	Note	2025 Rm	2024 Rm
Salaries, bonuses, wages and other benefits		2,611	2,546
Contributions to defined contribution plans		23	23
Post-retirement medical benefit expense	18.2	5	5
Medical scheme contributions		5	5
Share-based payments	28.5.1	127	139
		2,771	2,718

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
27.4 Occupancy costs (not accounted for IFRS 16)			
Turnover-based lease expenses		82	49
Short-term lease expenses		239	217
Total lease expenses		321	266
Utilities		319	304
Rates and municipal expenses		272	252
Security expenses		134	133
Other occupancy costs		99	117
		1,145	1,072

	Note	2025 Rm	2024 Rm
27.5 Trade receivable costs			
Net bad debt and expected credit loss allowances raised*		1,164	1,168
Other trade receivable costs		96	142
		1,260	1,310

* Inclusive of R251 million (2024: R263 million) of bad debt recoveries and debt sold, and amounts written-off of R355 million (2024: R183 million) in respect of balances arising in the current period.

	Note	2025 Rm	2024 Rm
27.6 Other operating costs			
Sales promotion, advertising and communication costs		545	561
Administration costs		610	469
Transport and distribution costs		330	316
Management, technical, consulting and secretarial fees paid		131	136
Loss on write-off or disposal of plant, equipment and intangible assets	33.1	16	7
Audit fees - current period [^]		19	19
Audit fees - prior period		2	-
Non-audit services*		2	-
Fair value adjustment of insurance cell captive	33.1	2	-
Impairment of right-of-use assets and property, plant and equipment	2, 3	38	12
Foreign exchange losses		76	73
		1,771	1,593

[^] Other assurance services in the current period amounted to R106 000. The prior period audit fee amount includes R172 000 in respect of non-audit services.

* These services relate to agreed-upon procedures.

	Note	2025 Rm	2024 Rm
27.7 Finance costs			
Lease liabilities	20.1, 25.6	306	288
Interest-bearing borrowings	16, 25.6	135	119
Bank overdraft		71	61
Other		13	8
		525	476

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

28 DIRECTORS AND EMPLOYEES

28.1 Directors' remuneration

	Months paid	Short-term benefits				Long-term interest benefit on loans [#] R'000	Total remuneration R'000	Fair value of equity-based awards granted** R'000
		Directors' fees R'000	Salaries R'000	Performance bonus* R'000	Allowances R'000			
2025								
Executive directors								
Michael Mark	12	-	11,733	7,101	81	-	18,915	19,859
Emanuel Cristaudo	12	-	6,088	3,425	-	-	9,513	6,342
Sarah Proudfoot	12	-	6,088	3,425	55	-	9,568	8,076
		-	23,909	13,951	136	-	37,996	34,277
Non-executive directors								
Hilton Saven	12	2,142	-	-	-	-	2,142	-
Hans Hawinkels	12	1,055	-	-	-	-	1,055	-
Brendan Deegan	9	568	-	-	-	-	568	-
Rob Dow	12	684	-	-	-	-	684	-
Dawn Earp	12	808	-	-	-	-	808	-
Tshidi Mokgabudi	12	673	-	-	-	-	673	-
Thabo Mosololi	12	648	-	-	-	-	648	-
Daphne Motsepe	12	475	-	-	-	-	475	-
Wayne Muller	12	684	-	-	-	-	684	-
Roddy Sparks	12	800	-	-	-	-	800	-
Tony Taylor	12	684	-	-	-	-	684	-
		9,221	-	-	-	-	9,221	-
2024								
Executive directors								
Michael Mark	12	-	11,321	7,758	62	1,073	20,214	17,742
Emanuel Cristaudo	12	-	5,758	3,552	5	-	9,315	4,379
Sarah Proudfoot	12	-	5,758	3,552	20	159	9,489	6,468
		-	22,837	14,862	87	1,232	39,018	28,589
Non-executive directors								
Hilton Saven	12	2,009	-	-	-	-	2,009	-
Hans Hawinkels	12	870	-	-	-	-	870	-
Rob Dow	12	647	-	-	-	-	647	-
Dawn Earp	12	755	-	-	-	-	755	-
Maya Makanjee	6	204	-	-	-	-	204	-
Tshidi Mokgabudi	12	628	-	-	-	-	628	-
Thabo Mosololi	12	605	-	-	-	-	605	-
Daphne Motsepe	12	448	-	-	-	-	448	-
Wayne Muller	12	598	-	-	-	-	598	-
Roddy Sparks	12	948	-	-	-	-	948	-
Tony Taylor	12	647	-	-	-	-	647	-
		8,359	-	-	-	-	8,359	-

* Determined on performance for the reporting period.

** The fair value of equity-based awards granted is the annual expense as determined in accordance with IFRS 2: Share-based Payments, and is presented for information purposes only, as it is not regarded as constituting remuneration, given that the value was neither received by nor accrued to the directors during the period.

[#] The loans granted to directors pursuant to the share option scheme were repaid during the prior period.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

28 DIRECTORS AND EMPLOYEES (continued)

28.1 Directors' remuneration (continued)

Executive directors

All amounts received by the executives, while being directors of the company, were in respect of services rendered to, and in connection with the carrying on of the affairs of the Group's subsidiaries. These amounts were paid by Group subsidiaries.

The service contract of Mr Michael Mark, the Chief Executive Officer is subject to a six-month notice period. In terms of this contract, he is entitled to a guaranteed remuneration package and to participate in the Group's various cash and share-based incentive schemes. Both parties have the right to terminate the contract on a six-month notice period. The contract requires such six-month notice period to be provided except in the case of permanent disability/incapacitation.

The other executive directors have employment contracts with a Group subsidiary that entitle them to guaranteed remuneration packages and to participate in the Group's various cash and share-based incentive schemes. These contracts provide for notice periods of either six or nine months in respect of resignation.

Non-executive directors

All amounts received by the non-executive directors were for services rendered as directors of the company. These amounts, which were approved by the shareholders at the company's annual general meeting held on 7 November 2024, were paid by the company. None of the non-executive directors has a service contract with the company.

Consultancy fees

There were no consultancy fees paid to executive and non-executive directors during the period (2024: Rnil).

28.2 Defined contribution retirement funds

Alexander Forbes Retirement Fund: Defined contribution plan

The Alexander Forbes Retirement Fund is a defined contribution arrangement for the Group's qualifying South African employees with flexibility in contribution rates giving the various employee categories options to choose their desired contribution rate. The contribution rates in respect of the specialised full-timers vary from 4% of pensionable salary plus risk and administration costs to 27.5% of pensionable salary inclusive of risk and administration costs. Core full-timers are non-contributory but the Group pays 4% of pensionable salary towards retirement benefits, death and disability benefits, funeral benefits and administration costs. Flexi-timers, who generally work over peak trading periods, are non-contributory but the Group pays 5% of their earnings into the Fund for retirement and funeral benefits, in addition to providing a Health4Me day-to-day healthcare benefit (refer note 28.3). These benefits apply to core full-timers and flexi-timers with more than two completed years of service. The Fund's normal retirement age is 60. Core full-timers and flexi-timers can structure additional voluntary members' contributions towards retirement savings.

The member's pension entitlement at retirement age is determined by his/her Fund credit. On retirement, the member is entitled to elect up to one-third of the Fund credit as a cash lump sum pay-out and receive the balance in the form of a monthly pension. The plan is registered under the Pension Funds Act (1956, as amended) of South Africa.

The People's Pension Retirement Fund: Defined contribution plan

The People's Pension Retirement Fund is a defined contribution arrangement for the Group's UK employees. The Fund is provided by Building & Civil Engineering Holiday Scheme Management Limited (B&CE), a long-standing not-for-profit organisation which operates for the benefit of its members.

B&CE has been operating a form of automatic enrolment to assist employers in complying with their automatic enrolment duties. This is a legislative requirement in the UK whereby both employers and employees are required to contribute into a pension scheme arranged by the employer.

The minimum pension contribution is 8% of pensionable salary with at least 3% of pensionable salary coming from the employer. Office currently contributes 3% of pensionable salary for those enrolled. The Fund is a multi-employer pension scheme with an independent trustee and the 'Balanced Lifestyle Profile' is the default investment fund. This fund offers an investment strategy at the start of the pension plan that ensures a member benefits from potentially higher returns during the earlier years and lesser risk in the final 15 years. The default retirement age is 65 for both men and women and on retirement the member can elect to take a lump sum cash payment and/or receive the balance in the form of a monthly pension.

SACCAWU National Provident Fund: Defined contribution plan

The SACCAWU National Provident Fund is a defined contribution arrangement for the Group's South African employees who have so elected and is administered by Old Mutual. Specialised full-time employees in South Africa who have elected membership of the Fund pay 17.5% of their pensionable salary, from their total guaranteed package (TGP) towards retirement benefits, risk benefits and administration costs. The member's entitlement at retirement age is determined by his/her fund credit. The plan is registered under the Pension Funds Act (1956, as amended) of South Africa.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

28 DIRECTORS AND EMPLOYEES (continued)

28.2 Defined contribution retirement funds (continued)

Other retirement fund arrangements

In addition to the aforementioned defined contribution funds, the Group also participates in the following retirement fund arrangements:

- Alexander Forbes Namibia Retirement Fund (formerly The Namflex Pension Fund): Defined contribution plan
- National Pension Scheme Authority (Zambia)
- Eswatini (Swaziland) National Provident Fund: Defined contribution plan
- Eswatini (Swaziland) Retirement Fund: Defined contribution plan

	Number of members	
	2025	2024
Summary per fund		
Alexander Forbes Retirement Fund	6,709	6,755
The People's Pension Retirement Fund	669	656
SACCAWU National Provident Fund	145	159
Alexander Forbes Namibia Retirement Fund	38	39
National Pension Scheme Authority (Zambia)	12	12
Eswatini (Swaziland) National Provident Fund/Swaziland Retirement Fund	19	16
	7,592	7,637

During the reporting period, the Group contributed R26 million (2024: R25 million) to the above-mentioned funds. Approximately R28 million is expected to be contributed to the above-mentioned funds in the 2026 reporting period.

28.3 Defined benefit healthcare funds

Wooltru Healthcare Fund, Momentum Health and Namibia Medical Care

Participation in the Wooltru Healthcare Fund (WHF) and Namibia Medical Care (NMC) is a compulsory condition of employment for all employees in the specialised full-time category. A small group of employees, who previously elected to join the Momentum Health Fund, formerly Ingwe Healthcare Plan (MHF) continue to enjoy benefits under the MHF. The MHF is no longer open to new employees. Healthcare benefits under the WHF and NMC are defined as per the rules of the respective funds.

The specialised full-timer employees pay the full contribution for their benefits under these funds.

Most employees in the core full-timer category are beneficiaries of the Health4Me insurance product (see below). However, there is a small group in this category who are members of either the WHF or the MHF and who continue to have their healthcare contributions to these funds subsidised.

Employees who participate in these funds and who joined the Group prior to 30 June 2000, will continue to enjoy Group subsidised contributions after their retirement. Refer to note 18 for further information related to the Group's post-retirement medical benefit obligation.

The audited annual financial statements of the WHF at 31 December 2024 reveal that it continues to maintain a sound financial position with a solvency ratio of 40.41% (2023: 44.59%) at its reporting date.

During the reporting period, the Group contributed R5.1 million (2024: R5.2 million) to the above funds (excluding Health4Me). Approximately R5.1 million is expected to be contributed to the above funds in respect of the short-term healthcare benefits in the 2026 reporting period.

Health4Me

Health4Me is an insurance product that offers premium, private, day-to-day healthcare through private medical practitioners of the CareCross Health Group which is a national network of GP's, specialists, radiologists, pathologists, dentists and optometrists, who collectively embrace the concept of affordable healthcare for both employees and their dependents. Most employees in the core full-timer category are beneficiaries of the Health4Me insurance product. The Group pays a premium of R313 (2024: R289) per month for each participating employee and the employee in turn receives unlimited day-to-day doctors' visits, limited specialist visits, and chronic medication for prescribed minimum benefit conditions. Health4Me permits employees to pay for their dependents and additional benefits like accidental cover and hospital cash benefit plan. The Group extended this benefit to all qualifying flexi-timers with effect from 1 January 2020 and pays an amount of R264 per month per participating employee. The flexi-time employees have access to GP consultations, acute formulary medication, x-rays, blood tests, maternity benefits and basic dentistry through various networks.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

28 DIRECTORS AND EMPLOYEES (continued)

28.3 Defined benefit healthcare funds (continued)

During the reporting period, the Group contributed R12.9 million (2024: R11.1 million) to Health4Me. Approximately R13.5 million is expected to be contributed to Health4Me in respect of the short-term healthcare benefits in the 2026 reporting period.

28.4 Other

Group employees and pensioners may be entitled to a discount on purchases made at Group stores. In the calculation of sale of merchandise, these discounts are accounted for as a deduction from retail sales. During the reporting period R16 million (2024: R13 million) was incurred in respect of staff discounts.

28.5 Share-based payment plans

The Group operates the following share-based payment plans:

1998 Share Option scheme

Options were granted over the company's shares at a purchase price equal to the volume weighted average trading price of the shares on the JSE over the five-day share trading period immediately preceding the date of the grant. No consideration is payable on acceptance of the options and the purchase price of the shares becomes payable on exercise of the options unless participants qualify for interest-free loans secured by a pledge over the shares. Shares and options have either a five- or six-year vesting period. Shares and options not vested are forfeited upon termination of employment, other than on retirement or death and options granted before 7 November 2012 lapse after 10 years, unless such period is extended by the Remuneration Committee, while those granted subsequently lapse after eight years, unless otherwise determined by the Remuneration Committee. There are no awards outstanding under this scheme.

2012 Share Plan

The 2012 Share Plan includes four sub-plans:

- Restricted share plan (with no Group performance targets on vesting)
- Performance share plan (with Group performance targets on vesting)
- Share appreciation rights plan (with no Group performance targets on vesting)
- Performance appreciation rights plan (with Group performance targets on vesting)

The 2012 Share Plan's shares and appreciation rights are granted over the company's shares at a purchase price equal to the weighted average trading price of the shares on the JSE over the five-day share trading period immediately preceding the date of the grant. Shares generally have a three, four, five, or six-year vesting period while appreciation rights generally have a four, five, or six-year vesting period. Shares and appreciation rights not vested are forfeited upon termination of employment, other than on retirement or death, and lapse after eight years.

Office Performance Equity Plan

Zero-cost options were granted to certain employees of the Group over the shares of Truworths UK Holdco 2 Ltd, an intermediary holding company in the Office UK group. No consideration is payable on acceptance of the options. The options are subject to performance targets on vesting. There are no awards outstanding in terms of this plan.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

28 DIRECTORS AND EMPLOYEES (continued)

28.5 Share-based payment plans (continued)

The following table illustrates the number of share options, restricted shares, performance shares, share appreciation rights and performance appreciation rights held by eligible participants, including executive directors, in the equity-settled compensation schemes:

	Note	2025 Number of equity- settled awards 000's	2024 Number of equity- settled awards 000's
Shares and options held in terms of the 1998 share option scheme	28.5.1.1	-	279
Restricted and performance shares held by participants	28.5.1.2+3	7,627	9,145
Total utilisation at the reporting date		7,627	9,424
Maximum equity-settled compensation schemes allocation		46,181	46,181
Utilisation	(%)	16.5	20.4
Shares available for utilisation		38,554	36,757
Percentage available for utilisation	(%)	83.5	79.6

	Note	2025 Rm	2024 Rm
28.5.1 Equity-settled compensation schemes			
Expense recognised for employee services rendered during the period:			
Restricted share plan		58	62
Performance share plan		69	77
Total expense recognised in employment costs for employee services rendered during the period	15.1, 27.3, 33.1	127	139
Weighted average strike price of equity-based awards*			
Granted during the period	(R)	81.12	74.01
Exercised during the period	(R)	43.27	38.27
Forfeited during the period	(R)	52.64	70.48
Held by participants at the reporting date	(R)	64.69	52.00
Exercisable at the reporting date	(R)	-	62.45
Details of options exercised during the period*			
Simple average exercise price per share	(R)	89.37	77.97
Weighted average market price per share	(R)	83.66	61.35
Summarised exercise conditions applicable to share option awards*			
Latest date by which options become exercisable		31 May 2025	31 May 2025
Latest date by which options will lapse if not exercised**		31 May 2025	31 May 2025
Lowest price	(R)	N/A	44.78
Highest price	(R)	N/A	103.60

* Excludes the Office Performance Equity Plan Options, which are disclosed separately in note 28.5.1.6.

**Unless alternative arrangements are agreed to by the trustees of the scheme.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

28 DIRECTORS AND EMPLOYEES (continued)

28.5 Share-based payments (continued)

28.5.1 Equity-settled compensation schemes (continued)

28.5.1.1 1998 Share Option Scheme

There were no new awards during the current or the prior periods. The following table illustrates the number of shares and options for the 1998 share option scheme held by eligible participants, including executive directors:

	2025 Number of shares/ options 000's	2024 Number of shares/ options 000's
Options held by participants	-	220
Inclusion (in terms of trust deed) of shares sold by participants, who are still employees	-	59
Total utilisation at the reporting date	-	279
Options held by participants		
The following table illustrates the number of, and movements in, share options during the reporting period:		
Options held by participants at the beginning of the reporting period	220	748
Options exercised during the period	(165)	(527)
Options forfeited during the period	(55)	(1)
Options held by participants at the reporting date	-	220

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

		2025 Number of equity- settled awards	2024 Number of equity- settled awards
28 DIRECTORS AND EMPLOYEES (continued)			
28.5 Share-based payment plans (continued)			
28.5.1 Equity-settled compensation schemes (continued)			
28.5.1.2 Restricted share plan shares (RSPs)			
The fair value of the RSPs is determined on grant date.			
Number of RSPs			
RSPs held in a nominee account on behalf of the participants at the beginning of the reporting period	(000's)	4,600	4,841
RSPs granted during the period	(000's)	905	910
RSPs vested during the period	(000's)	(942)	(1,008)
RSPs forfeited during the period due to resignations	(000's)	(363)	(143)
RSPs held in a nominee account on behalf of the participants at the reporting date	(000's)	4,200	4,600
Weighted average fair value of RSPs			
Granted during the period	(R)	94.05	74.10
Vested during the period	(R)	46.35	49.17
Forfeited during the period due to resignations	(R)	56.39	54.11
Held by participants at the reporting date	(R)	66.18	55.86
Summarised exercise conditions applicable to RSPs			
Earliest date by which RSPs become exercisable		30 Sep 2025	30 Sep 2024
Latest date by which RSPs become exercisable		31 Mar 2030	31 Mar 2029
28.5.1.3 Performance share plan shares (PSPs)			
The fair value of the PSPs is determined on grant date.			
Number of PSPs			
PSPs held in a nominee account on behalf of the participants at the beginning of the reporting period	(000's)	4,545	4,887
PSPs granted during the period	(000's)	1,117	1,091
PSPs vested during the period	(000's)	(1,938)	(1,404)
PSPs forfeited during the period due to resignations	(000's)	(297)	(29)
PSPs held in a nominee account on behalf of the participants at the reporting date	(000's)	3,427	4,545
Weighted average fair value of PSPs			
Awarded during the period	(R)	70.64	61.14
Vested during the period	(R)	40.52	38.07
Forfeited during the period due to resignations	(R)	43.75	47.07
Held by participants at the reporting date	(R)	62.86	46.25
Summarised exercise conditions applicable to PSPs			
Earliest date by which PSPs become exercisable		30 Sep 2025	30 Sep 2024
Latest date by which PSPs become exercisable		30 Sep 2029	30 Sep 2028
Total RSPs and PSPs	(000's)	7,627	9,145

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

		2025	2024
28 DIRECTORS AND EMPLOYEES (continued)			
28.5 Share-based payment plans (continued)			
28.5.1 Equity-settled compensation schemes (continued)			
28.5.1.4 Share appreciation rights (SARs)			
The inputs into the binomial actuarial option pricing valuation model are as follows:			
Expected life of SARs	(years)	-	1 - 6
Expected share price volatility	(%)	-	27.5 - 32.7
Expected dividend yield	(%)	-	3.2 - 5.3
Risk-free interest rate	(%)	-	6.71 - 8.17
Number of SARs held by participants			
SARs held by participants at the beginning of the reporting period	(000's)	-	609
SARs exercised during the period	(000's)	-	(363)
SARs lapsed during the period	(000's)	-	(246)
SARs held by participants at the reporting date	(000's)	-	-
Weighted average grant price of SARs			
Exercised during the period	(R)	-	69.56
Lapsed during the period	(R)	-	77.61
Summarised exercise conditions applicable to SARs			
Lowest price	(R)	-	66.97
Highest price	(R)	-	102.70
28.5.1.5 Performance appreciation rights (PARs)			
The inputs into the binomial actuarial option pricing valuation model are as follows:			
Expected life of PARs	(years)	-	1 - 7
Expected share price volatility	(%)	-	28.0 - 32.7
Expected dividend yield	(%)	-	3.2 - 5.3
Risk-free interest rate	(%)	-	6.93 - 8.17
Number of PARs held by participants			
PARs held by participants at the beginning of the reporting period	(000's)	-	484
PARs exercised during the period	(000's)	-	(277)
PARs lapsed during the period	(000's)	-	(207)
		-	-
Weighted average grant price of PARs			
Exercised during the period	(R)	-	69.56
Lapsed during the period	(R)	-	78.28
Lowest price	(R)	-	67.77
Highest price	(R)	-	83.42
		-	-
28.5.1.6 Office Performance Equity Plan: Options			
Options were issued at a nil strike price and participants receive dividends over the vesting period, therefore the fair value of these at grant date equates to the company value that was determined by management using a discounted cash flow model divided by the number of shares in issue at grant date.			
		2025	2024
Number of Options			
Options held by participants at the beginning of the period	(000's)	-	21
Options exercised during the period	(000's)	-	(21)
		-	-

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
29 TAX EXPENSE			
29.1 Current period tax charge			
Truworths Africa segment current tax	33.3	573	687
Current period		613	720
Prior period over provision		(40)	(33)
Truworths Africa segment deferred tax	9.1	52	7
Origination and reversal of temporary differences in current period		12	(34)
Movement as a result of prior period under provision		40	41
Office UK segment current tax	33.3	299	244
Current period		314	287
Prior period over provision		(15)	(43)
Office UK segment deferred tax	9.3	29	317
Origination and reversal of temporary differences in current period		35	317
Movement as a result of prior year over provision		(6)	-
		953	1,255

Tax returns and payments

All Group companies have lodged their income tax returns for the 2024 tax year. Income tax payments for tax-paying Group companies have been made in respect of the second period of the 2025 tax year. The prevalence of self-assessment and electronic filing platforms for the submission of income tax returns has resulted in all of the returns in respect of the 2024 tax years having been assessed. The Truworths Limited operating subsidiary received revised assessments in relation to its 2019 period on 22 September 2023 and 23 May 2024.

Update on Global Minimum Tax

The Group is monitoring the global implementation of the OECD's Pillar 2 Global Minimum Tax framework. As at the reporting date, legislation has been enacted in South Africa, Ireland, the Isle of Man, and the United Kingdom, with effective dates commencing in 2024.

In line with the May 2023 amendments to IAS 12, the Group has applied the temporary exemption from recognising and disclosing deferred tax assets and liabilities related to top-up taxes.

Based on preliminary modelling, no material exposure to top-up taxes is anticipated. The Group will continue to monitor developments across all applicable jurisdictions and will update its assessment as further legislation is enacted.

	2025 %	2024 %
29.2 Reconciliation of effective Group tax rate		
South African current tax rate	27.0	27.0
Decrease due to adjustment items	(0.9)	(2.0)
Disallowable expenditure*	0.4	0.3
Impact of unrecognised tax losses	-	0.1
Impact of adjustments relating to prior periods	(0.6)	(0.9)
Impact of consolidating Group charitable trusts	-	(0.6)
Differences in corporate tax rates^^	(0.7)	(0.9)
Non-taxable income^	(0.7)	(0.7)
Effective Group tax rate	25.4	24.3

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

29 TAX EXPENSE (continued)

* Disallowed expenditure largely consists of tax allowances in respect of non-qualifying assets, fair value adjustments not eligible for tax relief, and interest incurred in respect of tax disputes.

^^ The impact of tax rate differentials reduced the effective rate because profits earned in the United Kingdom are subject to the lower corporate tax rate of 25%.

^ Non-taxable income arose mainly from South African learnership allowances, external dividend income (exempt in South Africa), benefits from the Employment Tax Incentive (ETI), and the remission of penalties previously imposed by the South African Revenue Service (SARS).

No material uncertain tax positions have been identified that could significantly affect the Group's effective tax rate.

The Group has the following ZAR equivalent tax losses of which the availability for offsetting against future taxable income and expiry periods (if applicable) is summarised as follow at year-end:

Loss prescription period

	5 years Zambia [#]	Indefinite South Africa
	Rm	Rm
Allocation of loss		
2025		
Expires in year 1 (2026)	-	-
Expires in year 2 (2027)	0.35	-
Does not expire	-	43.54
	0.35	43.54
2024		
Expires in year 1 (2025)	0.8	0.3
Expires in year 3 (2027)	0.5	-
Does not expire	-	37.7
	1.3	38.0

In South Africa, assessed tax losses do not expire. However, in terms of section 20 of the Income Tax Act and the amendments effective from years of assessment commencing on or after 1 April 2023, the utilisation of assessed losses is limited to 80% of taxable income in any given year. The remaining 20% of the loss must be carried forward to future years of assessment.

[#] Effective 1 January 2025, the Zambia Revenue Authority implemented a loss utilisation limitation rule whereby assessed losses may only be deducted up to 50% of taxable income in any given year of assessment. Any unutilised portion may be carried forward, subject to the same 50% limitation in subsequent years. Losses not utilised within the prescribed carry-forward period will expire.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
30 DIVIDENDS			
Interim dividend - 2025			
Cash dividend of 317 cents per share declared on 27 February 2025 and paid on 24 March 2025		1,295	-
Final dividend - 2024			
Cash dividend of 197 cents per share declared on 11 September 2024 and paid on 7 October 2024		804	-
Interim dividend - 2024			
Cash dividend of 332 cents per share declared on 29 February 2024 and paid on 25 March 2024		-	1,356
Final dividend - 2023			
Cash dividend of 245 cents per share declared on 31 August 2023 and paid on 26 September 2023		-	1,001
Less: dividends received on treasury shares held by subsidiaries		(127)	(153)
Total dividends declared, excluding treasury shares	33.4	1,972	2,204
		2025 Cents	2024 Cents
Dividends per share			
Final cash dividend - payable/paid September		170	197
Interim cash dividend - paid March		317	332
		487	529

The final dividend for the period ended 29 June 2025 of 170 cents per share, before deduction of dividends tax (where applicable), was declared on 28 August 2025 to shareholders registered on the record date of 19 September 2025. The cash dividend is payable on 22 September 2025. No liability regarding this final cash dividend has been recognised.

The directors have performed the required solvency and liquidity tests required by the Companies Act and are satisfied that the company has met the requirements of these tests prior to and, where applicable, immediately after the declaration of the aforesaid dividend.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

31 EARNINGS AND CASH FLOW PER SHARE

Basic earnings per share are derived by dividing profit for the period attributable to equity holders of the company by the weighted average number of shares (WANOS). Appropriate adjustments are made to the WANOS when calculating diluted basic earnings per share.

Headline earnings per share are derived by dividing headline earnings by the WANOS. Appropriate adjustments are made to the WANOS used in calculating diluted headline earnings per share. Headline earnings are determined as follows:

	Note	2025 Rm	2024 Rm
Profit for the period, attributable to equity holders of the company		2,790	3,887
Adjusted for:			
Net impairment/(impairment reversal) of right-of-use assets	3	17	(121)
Tax in relation to net (impairment)/impairment reversal of right-of-use assets		(5)	30
Loss on write-off of intangible assets	5	15	7
Tax on loss on write-off of intangible assets		(4)	(2)
Impairment/(impairment reversal) of property, plant and equipment	2, 26	3	(7)
Tax in relation to (impairment)/impairment reversal of property, plant and equipment		(1)	2
Loss on write-off or disposal of plant and equipment	2	1	-
Tax on loss on write-off or disposal of plant and equipment*		-	-
Impairment reversal of trademarks		-	(1,012)
Tax in relation to impairment reversal of trademarks		-	253
Headline earnings		2,816	3,037

* Zero due to rounding.

The weighted average number of ordinary shares, adjusted for treasury shares held by subsidiaries (including shares held for participants in the Group's equity-settled compensation scheme in respect of RSPs and PSPs), and referred to hereafter as 'weighted average number of shares', is used in calculating all the basic earnings, headline earnings and cash flow per share amounts below:

		2025 Number of shares	2024 Number of shares
Issued shares (net of treasury shares) at the beginning of the reporting period	(millions)	372.3	369.3
Weighted average number of treasury shares utilised during the reporting period	(millions)	2.1	2.0
Weighted average number of shares for the reporting period	(millions)	374.4	371.3

		2025	2024
31.1 Basic and headline earnings basis			
Basic earnings per share	(cents)	745.2	1,046.9
Headline earnings per share	(cents)	752.1	817.9

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

		2025 Number of shares	2024 Number of shares
31.2 Diluted basic and headline earnings basis			
Weighted average number of shares for the reporting period	(millions)	374.4	371.3
Add: Dilutive effect of share options, restricted shares and share appreciation rights	(millions)	4.4	5.6
Diluted weighted average number of shares for the reporting period	(millions)	378.8	376.9

The dilution arises from unvested equity based awards in respect of the equity-settled share schemes. The amount of the dilution is calculated with reference to the difference between the fair value and the award price of the company's shares, the award price being adjusted for the cost of share-based payments, being the fair value of services to be received. Fair value is determined using the weighted average market price of the shares during the period.

		2025	2024
Diluted basic earnings per share	(cents)	736.5	1,031.3
Percentage dilution in basic earnings per share	(%)	(1.2)	(1.5)
Diluted headline earnings per share	(cents)	743.4	805.8
Percentage dilution in headline earnings per share	(%)	(1.2)	(1.5)
31.3 Cash flow basis			
This basis focuses on the cash inflow actually achieved during the reporting period. Cash flow per share is calculated by dividing cash inflow from operations by the weighted average number of shares.			
Cash inflow from operations	(Rm)	4,737	4,604
Cash flow per share	(cents)	1,265.2	1,240.0

		2025	2024
31.4 Cash equivalent earnings basis			
This basis recognises the potential of the earnings stream to generate cash. It is therefore an indicator of the underlying quality of earnings. Cash equivalent earnings per share is calculated by dividing the cash equivalent earnings by the weighted average number of shares as calculated below.			
Profit for the period	(Rm)	2,796	3,900
Adjusted for:			
Non-cash items (refer to note 33.1)	(Rm)	1,791	437
Deferred tax (refer to note 9)	(Rm)	81	324
Cash equivalent earnings	(Rm)	4,668	4,661
Cash equivalent earnings per share	(cents)	1,246.8	1255.3
31.5 Cash realisation rate			
This represents the potential cash earnings realised and is derived by dividing cash flow per share by cash equivalent earnings per share.			
	(%)	101	99

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

32 RELATED PARTY DISCLOSURES

Post-retirement benefit plans

The Group is a participating employer in various defined contribution retirement plans as well as defined benefit healthcare plans. Refer to notes 28.2 and 28.3 for further information.

Key management personnel

Details relating to executive and non-executive directors' remuneration and shareholdings (including equity-based awards) in the company are disclosed in note 28.1 and Annexure Two respectively. Directors of the company and of the subsidiaries, Truworhts Ltd and Office Holdings Ltd, have been classified as key management personnel. Below is a summary of the total compensation incurred in relation to the 22 (2024: 22) employees constituting key management personnel for the period.

	2025 Rm	2024 Rm
Category		
Short-term benefits	90	89
Equity-and-cash-settled compensation benefits	51	44
Total remuneration	141	133

Interest of directors in contracts

No directors have a material direct or indirect interest in any transaction with the company or any of its subsidiaries.

Other related parties

During the prior period the Group consolidated its charitable and enterprise development trusts for the first time. These trusts are the Truworhts Chairman's Foundation, the Truworhts Community Foundation, the Truworhts Social Involvement Trust and the Truworhts Enterprise Development Trust. The total net assets at the reporting period end and total comprehensive income for the reporting period of the four entities were R231 million and R9 million respectively. The consolidation of these trusts resulted in the recognition of net assets of R222 million (comprising mainly of mutual fund investments), with a total corresponding credit in other operating costs (R123 million, representing the original value of donations made by Group companies to the trusts together with their cumulative retained earnings) and other comprehensive income (R99 million, representing the unrealised fair value gains on the mutual fund investments, net of deferred tax).

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
33 NOTES TO THE STATEMENTS OF CASH FLOWS			
33.1 Cash flow from profit before tax			
Profit before tax		3,749	5,155
Add: Non-cash items		1,791	437
Depreciation and amortisation		1,526	1,484
Restoration cost provision movement		10	8
Fair value adjustment of loan		-	(8)
Movement in leave pay obligation		26	25
Net interest accrual reversed		(6)	(2)
Expected credit loss allowances on supplier development loans		-	2
Impairment/(Reversal of impairment) of property, plant and equipment	2	3	(7)
Unrealised foreign exchange losses		(2)	47
Post-retirement medical benefit expense	18.2	5	5
Reversal of impairment of intangible assets	5	-	(1,019)
Net impairment/(reversal of impairment) of right-of-use assets		17	(122)
Gain on right-of-use re-measurements and modifications	26	(7)	(17)
Loss on write-off or disposal of plant, equipment and intangible assets	27.6	16	7
Fair value adjustment of insurance cell captive	7.1, 27.6, 26	2	(8)
Consolidation of charitable and enterprise development trusts		-	(97)
Finance charges		3	-
Unrealised foreign exchange loss on revaluation of money market accounts		71	-
Share-based payments: equity-settled	28.5.1	127	139
Interest received		(1,345)	(1,327)
Interest income	26	(1,351)	(1,388)
Interest received on money market funds		-	59
Accrued interest income		6	2
Interest received on money market funds		-	(59)
Dividends received	26	(31)	(25)
Finance costs paid		512	468
Interest expense	27.7	525	476
Accrued interest expense		(13)	(8)
Lease incentives received		6	12
Contribution to post-retirement medical benefit plan asset	18.1	(7)	(3)
Cash inflow from profit before tax		4,675	4,658
33.2 Working capital movements			
Increase in inventories		(102)	(99)
(Increase)/decrease in trade and other receivables and prepayments		(55)	155
Increase/(decrease) in trade and other payables and provisions		323	(18)
Cash inflow		166	38

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 Rm	2024 Rm
33 NOTES TO THE STATEMENTS OF CASH FLOWS (continued)			
33.3 Tax paid			
Amounts owing at the beginning of the reporting period		(158)	(202)
Current tax charged to profit or loss		(872)	(931)
Truworths Africa segment current tax	29.1	(573)	(687)
Office UK segment current tax	29.1	(299)	(244)
Foreign exchange movements charged to equity		(1)	8
Amounts owing at the reporting date		63	158
Cash outflow		(968)	(967)
33.4 Dividends paid			
Unclaimed dividends due to shareholders at the beginning of the reporting period		(4)	(4)
Amounts charged to equity	30	(1,972)	(2,204)
Unclaimed dividends due to shareholders at the reporting date	21	4	4
Cash outflow		(1,972)	(2,204)
33.5 Acquisition of property, plant and equipment to expand operations			
Equipment, furniture and fittings		(416)	(451)
Computer equipment		(11)	(36)
Buildings		-	(99)
Motor vehicles		(1)	-
Cash outflow		(428)	(586)
33.6 Acquisition of plant and equipment to maintain operations			
Equipment, furniture and fittings		(163)	(123)
Computer equipment		(22)	(40)
Buildings		(2)	(1)
Motor vehicles		-	(2)
Cash outflow		(187)	(166)
33.7 Leases paid			
Payment of principal portion of lease liabilities		(1,105)	(1,101)
Cash outflow		(1,105)	(1,101)

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

34 DISTRIBUTION CENTRE

On 2 August 2022 the Group concluded a suite of agreements with the Atterbury group to establish a 50/50 joint operation to acquire a 99-year leasehold title to industrial land, and develop thereon a distribution centre (DC) for the Truworths Africa segment. Construction of the DC was completed by the end of November 2023 in accordance with 'green' building standards and the building was awarded EDGE Advanced certification in July 2024 shortly after the prior period end.

The Group's 50% share in the DC is held in a newly formed wholly-owned subsidiary, K2022434602 (South Africa) (Pty) Ltd trading as Truworths Real Estate Investment Company (TREIC). Upon completion of construction, the DC was leased by the joint operators TREIC and King Air Industria (Pty) Ltd (KAI) (a subsidiary of the Atterbury group) to the Group's main operating subsidiary, Truworths Ltd. The lease commenced on 1 December 2023 and is for an initial period of 15 years. Truworths Ltd is responsible for the procurement and installation of the materials handling equipment, which installation was completed in the 2025 financial period.

Around mid-December 2022 TREIC took transfer of 50% of the leasehold rights in the land at a cost of R77 million. The leasehold rights constitute a lease in terms of IFRS 16 and accordingly a right-of-use asset was recognised in December 2022. As the full purchase consideration for the land was paid on transfer, no corresponding lease liability was recognised. The right-of-use asset in respect of the leasehold rights is depreciated over the 99-year lease term. Refer to note 3 for further information.

At the reporting date TREIC had incurred and capitalised construction and related costs in the amount of R171 million. No depreciation has been recognised as the residual value of the building exceeds the cost thereof.

TREIC's share of the land and development costs of the DC is funded through a term loan facility concluded in December 2022. The term loan is classified as a 'green loan'. Refer to note 16 for further information.

Truworths Ltd has entered into a separate agreement with another service provider to supply and install the materials handling equipment. At the reporting date R722 million had been incurred and capitalised to plant and equipment. Refer to note 2 for further information.

The Group has the right to acquire the joint operator's 50% share in the leasehold rights in respect of the land and the DC building thereon on the 5th or 8th anniversary of the commencement of the lease between the joint operators and Truworths Ltd. Furthermore, the Group also has the option to acquire the adjacent stand within 2 years from the commencement of the lease between the joint operators and Truworths Ltd. The Group has not made a decision on either of these options. These options represent the right to acquire property and accordingly fall outside the scope of IFRS 9 and are therefore not recognised in the financial statements.

35 SEGMENT REPORTING

IFRS 8 requires operating segments to be identified on the basis of internal reporting about components of the Group that are regularly reviewed by the chief operating decision-makers (CODM) for the purpose of making decisions about resources to be allocated and for assessing performance. The Group's reportable segments have been identified as the Truworths Africa and Office UK business units. The Truworths Africa business unit comprises all of the retailing activities, including e-commerce, conducted by the Group in Africa through which the Group retails fashion apparel comprising clothing, footwear and other fashion products as well as homeware. Included in the Truworths Africa business unit is the YDE business unit which comprises the agency activities through which the Group retails clothing, footwear and related products on behalf of emerging South African designers. The Office UK business unit comprises the footwear retail activities conducted by the Group through stores, concession outlets, wholesale partnerships and an e-commerce channel in the United Kingdom and Republic of Ireland.

Segment performance is reported in terms of IFRS Accounting Standards and evaluated based on revenue, EBITDA and profit before tax.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	Truworths Africa Rm	Office UK Rm	Consoli- dation entries Rm	Group Rm
35 SEGMENT REPORTING (continued)					
35.1 Reportable segment information					
2025					
Total third party revenue	26	15,415	7,656	-	23,071
Sale of merchandise	26	13,770	7,553	-	21,323
Cost of sales	27.1	(6,394)	(3,999)	4	(10,389)
Gross profit		7,376	3,554	4	10,934
Other income	26	439	27	(61)	405
Intangible asset impairment reversal	5	-	-	-	-
Trading expenses		(6,286)	(2,218)	57	(8,447)
Depreciation and amortisation	27.2	(1,167)	(333)	-	(1,500)
Employment costs	27.3	(2,018)	(753)	-	(2,771)
Occupancy costs	27.4	(726)	(419)	-	(1,145)
Trade receivable costs	27.5	(1,260)	-	-	(1,260)
Net bad debt and expected credit loss allowances raised		(1,164)	-	-	(1,164)
Other trade receivable costs		(96)	-	-	(96)
Other operating costs	27.6	(1,115)	(713)	57	(1,771)
Trading profit		1,529	1,363	-	2,892
Interest income	26	1,250	101	-	1,351
Dividend income	26	31	-	-	31
Profit before finance costs and tax		2,810	1,464	-	4,274
Finance costs	27.7	(471)	(54)	-	(525)
Profit before tax		2,339	1,410	-	3,749
Tax expense		(625)	(328)	-	(953)
Profit for the period		1,714	1,082	-	2,796
EBITDA		3,977	1,797	-	5,774
Segment assets		27,027	6,541	(13,664)*	19,904
Segment liabilities		6,998	2,200	(25)*	9,173
Capital expenditure		467	165	-	632
Key ratios					
Gross margin (%)		53.6	47.1	-	51.3
Trading margin (%)		11.1	18.0	-	13.6
Operating margin (%)		20.4	19.4	-	20.0
Inventory turn (times)		4.1	4.4	-	4.2
Account: cash sales mix (%)		70:30	0:100	-	46:54

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	Note	Truworths Africa Rm	Office UK Rm	Consoli- dation entries Rm	Group Rm
35 SEGMENT REPORTING (continued)					
35.1 Reportable segment information					
2024					
Total third party revenue	26	15,428	7,008	-	22,436
Sale of merchandise	26	13,723	6,941	-	20,664
Cost of sales	27.1	(6,187)	(3,676)	4	(9,859)
Gross profit		7,536	3,265	4	10,805
Other income	26	459	169	(66)	562
Intangible asset impairment reversal	5	-	1,019	-	1,019
Trading expenses		(6,175)	(2,055)	62	(8,168)
Depreciation and amortisation	27.2	(1,170)	(305)	-	(1,475)
Employment costs	27.3	(2,019)	(699)	-	(2,718)
Occupancy costs	27.4	(668)	(404)	-	(1,072)
Trade receivable costs	27.5	(1,310)	-	-	(1,310)
Net bad debt and expected credit loss allowances raised		(1,168)	-	-	(1,168)
Other trade receivable costs		(142)	-	-	(142)
Other operating costs	27.6	(1,008)	(647)	62	(1,593)
Trading profit		1,820	2,398	-	4,218
Interest income	26	1,319	69	-	1,388
Dividend income	26	25	-	-	25
Profit before finance costs and tax		3,164	2,467	-	5,631
Finance costs	27.7	(425)	(51)	-	(476)
Profit before tax		2,739	2,416	-	5,155
Tax expense		(694)	(561)	-	(1,255)
Profit for the period		2,045	1,855	-	3,900
EBITDA		4,334	2,772	-	7,106
Segment assets		24,489	5,081	(10,918)*	18,652
Segment liabilities		7,131	2,050	(35)*	9,146
Capital expenditure		632	181	-	813
Key ratios					
Gross margin (%)		54.9	47.0	-	52.3
Trading margin (%)		13.3	34.6	-	20.4
Operating margin (%)		23.1	35.5	-	27.3
Inventory turn (times)		4.0	4.8	-	4.3
Account: cash sales mix (%)		70:30	0:100	-	48:52

* Elimination of investment in Office as well as inter-segment assets and liabilities.

In the 2024 period, the Group did not disclose all the line items that were reflected on the face of the Group's Statement of Comprehensive Income in the segmental information. The Group has updated the prior period presentation to include all line items. This update in disclosure did not have any impact on the financial position or financial performance of the Group.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

		2025		2024	
		Contribution to revenue		Contribution to revenue	
		Rm	%	Rm	%
35	SEGMENT REPORTING (continued)				
35.2	Third party revenue				
	South Africa	14,850	64.4	14,898	66.5
	United Kingdom	7,286	31.6	6,650	29.6
	Republic of Ireland	362	1.6	343	1.5
	Namibia	199	0.9	183	0.8
	Botswana	195	0.8	177	0.8
	Eswatini	123	0.5	119	0.6
	Lesotho	30	0.1	29	0.1
	Zambia	18	0.1	22	0.1
	Rest of Europe [#]	5	- *	8	- *
	United States [#]	1	- *	5	- *
	Middle East, Asia and Australia [#]	1	- *	1	- *
	Germany [#]	1	- *	1	- *
	Total third party revenue (refer to note 26)	23,071	100	22,436	100

* Zero due to rounding.

[#] Ecommerce revenue.

		2025		2024	
		Contribution to sale of merchandise		Contribution to sale of merchandise	
		Rm	%	Rm	%
	Note				
35.3	Components of sale of merchandise				
	Truworthe ladieswear	3,762	17.6	3,752	18.2
	Truworthe designer emporium*	1,380	6.5	1,388	6.7
	Truworthe ladieswear	5,142	24.1	5,140	24.9
	Office UK	7,491	35.1	6,848	33.1
	Truworthe menswear**	3,666	17.2	3,619	17.5
	Identity	2,226	10.4	2,289	11.1
	Truworthe kids emporium@	1,417	6.6	1,430	6.9
	Other [#]	2,020	9.6	2,052	10.0
	Group retail sales	21,962	103.0	21,378	103.5
	Wholesale sales	3	0.0	4	0.0
	Delivery fee income	90	0.4	86	0.4
	Variable consideration adjustments [^]	(732)	(3.4)	(804)	(3.9)
	Sale of merchandise	21,323	100	20,664	100
	YDE agency sales	206		216	

* Daniel Hechter Ladies, Ginger Mary, Glamour, LTD Ladies and Earthaddict.

** Truworthe Man, Uzzi, Daniel Hechter Mens, LTD Mens and Fuel.

@ LTD Kids, Earthchild and Naartjie.

[#] Cosmetics, cellular, Truworthe Jewellery, Office London (South Africa), Loads of Living and Sync.

[^] Refer to note 26 for further information.

NOTES TO THE GROUP ANNUAL FINANCIAL STATEMENTS (continued)

	2025 Rm	2024 Rm
35 SEGMENT REPORTING (continued)		
35.4 Non-current assets		
South Africa	2,900	2,760
United Kingdom	1,738	1,562
Republic of Ireland	27	13
Botswana	15	17
Namibia	6	7
Eswatini	1	2
	4,687	4,361

Non-current assets represent property, plant and equipment, goodwill and intangible assets.

	Note	2025 Rm	2024 Rm
35.5 Right-of-use assets			
South Africa		2,465	2,722
United Kingdom		694	595
Republic of Ireland		120	131
Botswana		21	38
Namibia		18	28
Eswatini		15	19
Zambia		5	7
Lesotho		3	4
Germany		-	1
	3	3,341	3,545

36 EVENTS AFTER THE REPORTING DATE

No event which is material to the understanding of this report has occurred between the reporting date and the date of this report.

COMPANY ANNUAL FINANCIAL STATEMENTS

Company information

Truworths International Ltd

Registered office	No. 1 Mostert Street Cape Town South Africa 8001	P O Box 600 Cape Town South Africa 8000
Company registration number	1944/017491/06	
Country of incorporation	Republic of South Africa	

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COMPANY STATEMENTS OF FINANCIAL POSITION

	Note	at 29 June 2025 R'000	at 30 June 2024 R'000
ASSETS			
Non-current assets			
Assets held at fair value	2	33,544,365	39,353,804
Current assets			
Loans and other receivables		10,577	10,198
Tax receivable	13.3	73	127
Cash and cash equivalents	3	91	64
		10,413	10,007
Total assets		33,554,942	39,364,002
EQUITY AND LIABILITIES			
Total equity		33,542,962	37,767,866
Share capital	4	61	61
Retained earnings		8,336,323	6,750,383
Non-distributable reserves	5	25,206,578	31,017,422
Current and total liabilities			
Loans and other payables	6	11,980	1,596,136
Total equity and liabilities		33,554,942	39,364,002

COMPANY STATEMENTS OF COMPREHENSIVE INCOME

	Note	52 weeks to 29 June 2025 R'000	52 weeks to 30 June 2024 R'000
Revenue	9	3,701,811	2,378,683
Other income	9	13,959	20,750
Expenses		(16,811)	(18,044)
Board and committee fees	10.1	(10,293)	(9,603)
Other operating costs	10.2	(6,518)	(8,441)
(Loss)/Profit before dividend and interest income		(2,852)	2,706
Dividend income	9	3,687,684	2,357,038
Interest income	9	807	895
Profit before tax		3,685,639	2,360,639
Tax	11.1	(14)	-
Profit for the period		3,685,625	2,360,639
Other comprehensive (loss)/income not to be reclassified to profit or loss in subsequent periods			
Revaluation of subsidiaries	5.2	(5,814,813)	10,542,977
Fair value adjustment on assets held at fair value	5.2	3,969	1,625
Other comprehensive (loss)/income for the period, net of tax		(5,810,844)	10,544,602
Total comprehensive (loss)/income for the period		(2,125,219)	12,905,241

COMPANY STATEMENTS OF CHANGES IN EQUITY

	Note	Share capital R'000	Treasury shares R'000	Retained earnings R'000	Non-distributable reserves R'000	Total equity R'000
2025						
Balance at the beginning of the reporting period		61	-	6,750,383	31,017,422	37,767,866
Total comprehensive income/(loss) for the period		-	-	3,685,625	(5,810,844)	(2,125,219)
Profit for the period		-	-	3,685,625	-	3,685,625
Other comprehensive loss for the period	5.2	-	-	-	(5,810,844)	(5,810,844)
Dividends declared	12	-	-	(2,099,685)	-	(2,099,685)
Balance as at 29 June 2025		61	-	8,336,323	25,206,578	33,542,962
2024						
Balance at the beginning of the reporting period		61	-	6,746,782	20,472,820	27,219,663
Total comprehensive income for the period		-	-	2,360,639	10,544,602	12,905,241
Profit for the period		-	-	2,360,639	-	2,360,639
Other comprehensive income for the period	5.2	-	-	-	10,544,602	10,544,602
Dividends declared	12	-	-	(2,357,038)	-	(2,357,038)
Balance as at 30 June 2024		61	-	6,750,383	31,017,422	37,767,866

COMPANY STATEMENTS OF CASH FLOWS

	Note	52 weeks to 29 June 2025 R'000	52 weeks to 30 June 2024 R'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash outflow from profit before tax	13.1	(537)	(5,610)
Dividends received		2,100,709	2,357,038
Working capital movements	13.2	(1,072)	2,658
Cash generated from operations		2,099,100	2,354,086
Interest received	13.1	807	895
Tax paid	13.3	(41)	14
Cash inflow from operations		2,099,866	2,354,995
Dividends paid	13.4	(2,099,460)	(2,356,268)
Net cash inflow/(outflow) from operating activities		406	(1,273)
CASH FLOWS FROM FINANCING ACTIVITIES			
Loans received from subsidiary company	13.6	-	2,723
Net cash generated from financing activities		-	2,723
Net increase in cash and cash equivalents		406	1,450
Cash and cash equivalents at the beginning of the period		10,007	8,557
CASH AND CASH EQUIVALENTS AT THE REPORTING DATE	3	10,413	10,007

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS

	Note	2025 R'000	2024 R'000
2 ASSETS HELD AT FAIR VALUE			
Shares in Truworths Ltd*	8.6.2	19,075,335	26,795,961
Shares in Truworths UK Holdco 1 Ltd*	8.6.2	13,639,819	10,883,124
Shares in Young Designers Emporium (Pty) Ltd*	8.6.2	158,851	377,559
Shares in Truworths Trading (Pty) Ltd*	8.6.2	623,186	1,260,018
K2022434602 (SOUTH AFRICA) (Pty) Ltd*	8.6.2	4,658	-
Insurance cell captive**	8.6.2	25,860	24,455
Personal lines insurance business arrangement*	8.6.2	16,656	12,687
Balance at the reporting date		33,544,365	39,353,804

A detailed listing of all subsidiaries is contained in Annexure One.

* Held at fair value through other comprehensive income

** Held at fair value through profit or loss

	2025 R'000	2024 R'000
3 CASH AND CASH EQUIVALENTS		
Balance at the reporting date	10,413	10,007

Cash and cash equivalents comprise balances with banks, which earn interest based on floating daily bank deposit rates. Refer to notes 8.2.1 and 8.3.1 for further information relating to interest rate risk and credit risk management respectively.

	2025 R'000	2024 R'000
4 SHARE CAPITAL		
Ordinary share capital		
Authorised		
650 000 000 (2024: 650 000 000) ordinary par value shares of 0.015 cent each	98	98
Issued and fully paid		
408 498 899 (2024: 408 498 899) ordinary par value shares of 0.015 cent each	61	61

The company has one class of ordinary shares which carry no rights to fixed income.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the company's shareholders.

	2025 Number of shares 000's	2024 Number of shares 000's
Reconciliation of movement in issued shares		
Balance at the beginning and end of the reporting period	408,499	408,499

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

		2025 R'000	2024 R'000
5 NON-DISTRIBUTABLE RESERVES			
Equity-settled compensation reserve	5.1	137,790	137,790
Revaluation reserve	5.2	25,123,212	30,934,056
Cash flow hedging reserve	5.3	(54,424)	(54,424)
Balance at the reporting date		25,206,578	31,017,422
5.1 Reconciliation of equity-settled compensation reserve			
Balance at the beginning and end of the period		137,790	137,790
5.2 Reconciliation of revaluation reserve			
Balance at the beginning of the period		30,934,056	20,389,454
Fair value adjustment	8.6.2	(5,810,844)	10,544,602
Balance at the reporting date		25,123,212	30,934,056
5.3 Cash flow hedging reserve			
Balance at the beginning and end of the period		(54,424)	(54,424)
	Note	2025 R'000	2024 R'000
6 LOANS AND OTHER PAYABLES			
Amount owing to Truworths Ltd	13.6, 8.4	4,643	1,587,898
Value-added tax		377	5
Other payables and accrued expenses		2,336	3,834
Unclaimed dividends owing to shareholders	13.4, 8.4	4,624	4,399
Balance at the reporting date		11,980	1,596,136

The directors consider the carrying amounts of all loans and other payables to approximate their fair values.

Terms and conditions of financial liabilities:

- The amount owing to Truworths Ltd is interest-free and repayable on demand. During the period, the amount owing to Truworths Ltd was reduced due to dividends declared by Truworths Ltd being set-off against the amount owing to Truworths Ltd.
- Other payables and accrued expenses and value-added tax are non-interest-bearing provided they are settled within their respective credit terms.
- Unclaimed dividends owing to shareholders are non-interest-bearing and are repayable on demand.

Refer to note 8.4 for further information relating to liquidity risk management.

7 FINANCIAL GUARANTEES

The company is a guarantor for the external borrowings of Truworths Ltd and K2022434602 (SOUTH AFRICA) (Pty) Ltd (t/a Truworths Real Estate Investment Company).

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

8 FINANCIAL RISK MANAGEMENT

8.1 In the ordinary course of business operations, the company is exposed to a variety of financial risks arising from the use of financial instruments. These risks include:

- market risk (comprising interest rate risk and other price risk);
- credit risk; and
- liquidity risk.

The board of the company is responsible for risk governance, including in relation to financial risks, and is assisted by the directors of Truworths Ltd. The Risk Committee, a committee of the company's board, oversees the management of financial risks relating to the company's operations. The board has adopted King IV's risk governance and management principles and has established a policy framework which guides the company's risk management processes. These policies and guidelines are periodically examined by senior executives and adjusted, if necessary, to ensure that changes in the business and economic environment have been taken into account.

8.1.1 Treasury risk management objectives and policies

The board, acting on the recommendations of the Truworths Ltd Investment Committee, oversees the management of the company's treasury function. It has developed and issued a comprehensive treasury policy and process to monitor and control the risks arising from the treasury function. The Investment Committee, which consists of senior executives, meets regularly to update treasury risk policies and objectives, as well as to re-evaluate risk management strategies against revised economic forecasts. Policy amendments have to be submitted to the board for approval. Compliance with the treasury policy is reviewed periodically by internal audit.

8.2 Market risk management

The company's exposure to market risk relates to interest rate risk and other price risk. Market risk is managed by identifying and quantifying risks on the basis of current and future expectations and by ensuring that all treasury trading occurs within defined parameters. This involves the review and implementation of methodologies to reduce risk exposure. The reporting on the state of the risk and risk practices to executive management is part of this process. The processes set up to measure, monitor and mitigate these market risks are described below. There has been no change in the company's exposure to market risk or the manner in which it manages and measures the risk since the prior reporting period.

8.2.1 Interest rate risk

The company is exposed to cash flow interest rate risk on its floating rate cash and cash equivalents. The company does not hold any fixed rate interest instruments.

The company is not geared and is therefore not subject to interest rate risk on borrowings.

Interest rate analysis

No interest-bearing instruments have a maturity profile exceeding one year. The interest rates of interest-bearing instruments at the reporting date are summarised below:

	2025 % pa	2024 % pa
Floating rate at the reporting date for balances with banks	5.1	8.3

Interest rate sensitivity analysis

The interest rate sensitivity analysis is based on a fluctuation of 100 basis points in the prime interest rate and assumes that all other variables remain constant. A fluctuation of 100 basis points in the prime interest rate is considered appropriate based on recent forecasts and economic indicators.

A change of 100 basis points in interest rates would not have a material impact on the profits of the company. The analysis was performed on the same basis for 2024.

8.2.2 Other price risk

The company is exposed to fluctuations in the fair value of investments in subsidiaries that are classified as equity instruments measured at fair value through other comprehensive income. Refer to note 8.6 for further information relating to the relevant valuation techniques used in determining the fair value of investments in subsidiaries.

The fair value of the investment in subsidiaries (excluding Truworths Trading (Pty) Ltd and Young Designers Emporium (Pty) Ltd), is sensitive to changes in the EV/EBITDA valuation multiple applied in the calculation, the subsidiaries' EBITDA and the applicable control premium.

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

8 FINANCIAL RISK MANAGEMENT (continued)

8.2.2 Other price risk (continued)

A 0.1 times increase or decrease in the EV/EBITDA multiple increases or decreases the combined enterprise value of these assets investments by approximately R659 million, while a 1 percentage point increase or decrease in the control premium increases or decreases their equity value by approximately R268 million.

8.3 Credit risk

The company's exposure to credit risk relates to cash and cash equivalents. Refer to note 3 for cash and cash equivalents.

The company's maximum exposure to credit risk amounted to R10 million (2024: R10 million) at the reporting date. Loans and other receivables are neither past due nor impaired and do not expose the company to any material credit risk.

8.3.1 Cash and cash equivalents

The company invests surplus cash only with A1+ (ZA) and approved A1 (ZA) rated financial institutions. The amount of exposure to any one counterparty is subject to the limits imposed by the Group's treasury policy in order to achieve a spread of risk and opportunity.

8.4 Liquidity risk

The company's exposure to liquidity risk relates to loans and other payables.

The expected maturity profile of the company's financial liabilities at the reporting date, based on contractual undiscounted payments, including contractual interest payable (where applicable), is as follows:

	Note	Settled on demand R'000	Settled before 30 days R'000	Settled between 30-59 days R'000	Total R'000
2025					
Amount owing to Truworths Ltd	6	4,643	-	-	4,643
Other payables and accrued expenses	6	-	88	2,248	2,336
Unclaimed dividends due to shareholders	6	4,624	-	-	4,624
		9,267	88	2,248	11,603
2024					
Amount owing to Truworths Ltd	6	1,587,898	-	-	1,587,898
Other payables and accrued expenses		-	5	3,755	3,760
Unclaimed dividends due to shareholders	6	4,399	-	-	4,399
		1,592,297	5	3,755	1,596,057

The amount owing to Truworths Ltd in the prior period related mainly to financial assistance provided by Truworths Ltd to the company for the purpose of share buy-backs in prior periods, and was settled in the current period through off-set against a dividend declared by Truworths Ltd on inter-company loan account. While the current amount is repayable on demand, the company is able to control the timing of repayment of the amount through its control over Truworths Ltd. Accordingly the amount owing to Truworths Ltd does not expose the company to liquidity risk

8.5 Items of income, expense, gains or losses

	Fair value (losses)/gains R'000	Dividends received R'000	Interest received R'000	Net gains R'000
2025				
Financial assets and liabilities				
At fair value through profit or loss	(2,315)	3,687,684	-	3,685,369
At fair value through other comprehensive income	(5,810,844)	-	-	(5,810,844)
Loans and receivables	-	-	807	807
2024				
Financial assets and liabilities				
Assets held at fair value	10,552,918	2,357,038	-	12,909,956
Loans and receivables	-	-	895	895

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

8.6 Fair value of financial instruments

8.6.1 Fair value measurement

All financial instruments have been recognised in the statements of financial position and there is no material difference between their fair values and carrying amounts. The following methods and assumptions were used by the company in establishing fair values:

Financial assets and liabilities (other than assets held at fair value)

Carrying amounts reported in the statements of financial position at amortised cost approximate fair values. The fair value of the financial instruments at the reporting date has been determined using available market information and appropriate valuation methodologies.

Assets held at fair value through other comprehensive income

Shares in subsidiaries are classified as equity instruments and are measured at fair value through other comprehensive income. Direct subsidiaries of Truworthis International Ltd include Truworthis Ltd (the Group's main trading subsidiary in South Africa and holding company of the Group's trading subsidiaries in the rest of Africa), Truworthis UK Holdco 1 Ltd (the Group's UK investment holding company of the Group's trading subsidiary in the UK), Young Designers Emporium (Pty) Ltd (the YDE trading subsidiary), Truworthis Trading (Pty) Ltd (the Group's treasury share investment holding company) and K2022434602 (South Africa) (Pty) Ltd (the real estate investment company holding the Group's 50% share in the new Truworthis Africa distribution centre).

The Group determines the fair value of the company's investments in Truworthis Ltd and, Truworthis UK Holdco 1 Ltd with reference to consensus income valuation multiples applicable to the Group and Office UK, specifically enterprise value (EV)/EBITDA multiples, adjusted for control, marketability and other relevant factors. This methodology ensures a consistent valuation approach across the Group's main trading subsidiaries and reflects current market valuations. The EV/EBITDA multiples are compared to peer group multiples in South Africa and the UK for reasonability. This methodology combines the principles of the income and market approach. These multiples are reflected in the Valuation assumptions table below.

The Group performed a discounted cash flow (DCF) valuation in the current period to determine the fair value of its investment in Young Designers Emporium (Pty) Ltd (YDE). In the prior period the fair value of the investment in YDE was determined with reference to consensus income valuation multiples. The change in valuation method is because a DCF valuation is more appropriate taking into account the business model of and risk specific to YDE. The DCF model estimates future cash flows expected to be generated by YDE, which are then discounted to their present value using an appropriate discount rate that reflects current market assumptions of the time value of money and risks specific to the asset. These rates are reflected in the Valuation assumptions table below.

The fair value of the Group's treasury share holding company, Truworthis Trading (Pty) Ltd, is determined with reference to that company's net asset value which approximates its fair value given the nature of the underlying assets and liabilities in that entity. The fair value of the Group's real estate investment company, K2022434602 (South Africa) (Pty) Ltd is determined with reference to the buy-out multiple per the agreement between that company and the joint operator, which reflects a market related real estate rental return rate, plus other assets and less other liabilities.

The fair values of the Group's short-term insurance cell captive and personal lines insurance business arrangement are determined with reference to the net asset value of these interests per management accounts prepared by third parties.

		2025 R'000	2024 R'000
Valuation assumptions			
Truworthis International Limited Group EV/EBITDA multiple	(times)	5.2	6
South African peer group EV/EBITDA multiple range	(times)	4.8 - 8.0	4.9 - 7.2
Truworthis UK Holdco 1 Ltd EV/EBITDA multiple	(times)	5.7	-
UK peer group EV/EBITDA multiple range	(times)	4.5 - 7.5	-
Control premium	(%)	22	22
YDE discount rate (WACC)	(%)	17.6	-
YDE terminal growth rate	(%)	3.0	-

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

8 FINANCIAL RISK MANAGEMENT (continued)

8.6 Fair value of financial instruments (continued)

8.6.2 Fair value hierarchy

The company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

At the reporting date, the company's assets held at fair value were the only financial assets measured at fair value through other comprehensive income or fair value through profit and loss. The fair value measurement of these assets is classified as level 3.

A reconciliation of the movements in each of the assets held at fair value is set out below:

	Note	2025 R'000	2024 R'000
Shares in Truworths Ltd			
Balance at the beginning of the period		26,795,961	22,392,584
Revaluation recognised in other comprehensive income*		(7,720,626)	4,403,377
Balance at the reporting date	2	19,075,335	26,795,961
Shares in Truworths UK Holdco 1 Ltd			
Balance at the beginning of the period		10,883,124	5,835,902
Revaluation recognised in other comprehensive income*		2,756,695	5,047,222
Balance at the reporting date	2	13,639,819	10,883,124
Shares in Young Designers Emporium (Pty) Ltd			
Balance at the beginning of the period		377,559	302,766
Revaluation recognised in other comprehensive income*		(218,708)	74,793
Balance at the reporting date	2	158,851	377,559
Shares in Truworths Trading (Pty) Ltd			
Balance at the beginning of the period		1,260,018	242,433
Revaluation recognised in other comprehensive income*		(636,832)	1,017,585
Balance at the reporting date	2	623,186	1,260,018
K2022434602 (SOUTH AFRICA) (Pty) Ltd			
Balance at the beginning of the period		-	-
Revaluation recognised in other comprehensive income*		4,658	-
Balance at the reporting date	2	4,658	-
Insurance cell captive			
Balance at the beginning of the period		24,455	12,709
Premiums received during the period		5,015	8,091
Claims paid during the period		(1,295)	(4,661)
Fair value adjustment recognised in other income/(other operating costs)	9, 10.2	(2,315)	8,316
Balance at the reporting date	2	25,860	24,455
Personal lines insurance business arrangement			
Balance at the beginning of the period		12,687	11,062
Revaluation recognised in other comprehensive income*		3,969	1,625
Balance at the reporting date	2	16,656	12,687
*Total fair value adjustment recognised in revaluation reserve	5.2	(5,810,844)	10,544,602

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

8 FINANCIAL RISK MANAGEMENT (continued)

8.7 Capital management

The company manages its capital to ensure that it will be able to continue as a going concern while enhancing the return to its stakeholders. The company's overall strategy has remained unchanged from 2024.

The capital structure of the company consist of equity, comprising issued ordinary share capital, non-distributable reserves and retained earnings. Refer to notes 4 to 5 for further information.

The primary objectives of the company's capital management are:

- to ensure that the company maintains healthy capital ratios to support its business;
- to enhance the return to shareholders after benchmarking anticipated returns against the company's financial targets;
- to ensure that the company will be able to continue as a going concern and have sufficient capital for its operations; and
- to provide flexibility so as to be able to take advantage of opportunities that could improve shareholder value.

The management of capital is reviewed by the board on a quarterly basis. The company will manage the overall capital structure through, but not limited to, dividend payments and share buy-backs, either directly or through subsidiaries. The company manages its capital structure and makes adjustments to it in light of changes in economic conditions and the needs of the company.

The company is not subject to any externally imposed minimum capital requirements, save that in terms of the Companies Act (71 of 2008, as amended) it must ensure that following any share repurchases or payments to shareholders, on a fair value basis, its assets must exceed its liabilities, its capital must be adequate for the purposes of its business and it must be able to pay its debts when they fall due. Consequently, when such transactions are in contemplation, management considers their impact on the company's solvency, liquidity and equity.

	Note	2025 R'000	2024 R'000
Profit for the period		3,685,625	2,360,639
Equity of the company		33,542,962	37,767,866

		2025 R'000	2024 R'000
9 REVENUE			
Dividend income		3,687,684	2,357,038
Other income		13,959	20,750
Management fees received		13,320	12,420
Other income*		639	14
Fair value adjustment in respect of insurance cell captive*	8.6.2, 13.1	-	8,316
Interest income		807	895
		3,702,450	2,378,683
Revenue		3,701,811	2,370,353
*Items not included in revenue		639	8,330
		3,702,450	2,378,683

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 R'000	2024 R'000
10 PROFIT BEFORE TAX			
Profit before tax is stated after taking account of the following items:			
10.1 Board and committee fees			
Directors fees		7,119	6,729
Board committee fees		3,174	2,874
		10,293	9,603
The detail of fees by director is included in note 28.1 in the Group annual financial statements. The difference in the amount disclosed in that note compared to this note relates to value-added tax (which the company is unable to claim) and skills development levies.			
10.2 Other operating costs			
Management, administrative and secretarial fees incurred include:			
Financial reporting fees		1,724	1,656
JSE and STRATE fees		1,729	1,601
Consulting fees		321	705
Transfer secretaries' fees		160	160
Fair value adjustment in respect of insurance cell captive	8.6.2, 13.1	2,315	-
Other*		269	4,319
		6,518	8,441

*Other costs comprises mainly of travel and communication costs, foreign exchange losses and audit fees (audit fees in the current period amounted to R67 329 and in the prior period amounted to R121 900).

		2025 R'000	2024 R'000
11 TAX EXPENSE			
11.1 Current period tax charge			
South African normal tax			
Current period		14	-
	13.3	14	-

Tax returns and payments

The company has lodged its income tax return for the 2024 tax year. The most recent tax assessment issued by the South African Revenue Service to the company was in respect of the 2024 tax year. The required income tax payments for the 2025 year of assessment have been made.

	2025 %	2024 %
11.2 Reconciliation of effective tax rate		
South African normal tax rate	27.0	27.0
Decrease in rate of tax due to	(27.0)	(27.0)
Non-taxable income [^]	(27.0)	(27.0)
Disallowed expenditure*	-	-
Effective tax rate	-	-

[^] The company has non-taxable income, which substantively comprises dividend income which is tax exempt, of R3.69 billion (2024: R2.36 billion).

* The company has expenses disallowed as deductions for tax purposes, as they are considered of a capital nature, of R2.8 million (2024: R1.4 million).

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

	2025 R'000	2024 R'000
12 DIVIDENDS		
Interim dividend - 2025		
Cash dividend of 317 cents per share declared on 27 February 2025 and paid on 24 March 2025	1,294,942	
Final dividend - 2024		
Cash dividend of 197 cents per share declared on 11 September 2024 and paid on 7 October 2024	804,743	
Interim dividend - 2024		
Cash dividend of 332 cents per share declared on 29 February 2024 and paid on 25 March 2024		1,356,216
Final dividend - 2023		
Cash dividend of 245 cents per share declared on 31 August 2023 and paid on 26 September 2023		1,000,822
Total dividends declared	2,099,685	2,357,038

The final dividend for the period ended 29 June 2025 of 170 cents per share, before deduction of dividends tax (where applicable), was declared on 28 August 2025 to shareholders registered on the record date of 19 September 2025. The cash dividend is payable on 22 September 2025. No liability regarding this final cash dividend has been recognised.

The directors have performed the required solvency and liquidity tests required by the Companies Act and are satisfied that the company has met the requirements of these tests prior to and, where applicable, immediately after the declaration of the aforesaid dividend.

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

	Note	2025 R'000	2024 R'000
13 NOTES TO THE STATEMENTS OF CASH FLOWS			
13.1 Cash flow from profit before tax			
Profit before tax		3,685,639	2,360,639
Add/(Deduct): Non-cash items		(1,584,660)	(8,316)
Dividend income	9	(1,586,975)	(8,316)
Fair value adjustment of insurance cell captive	10.2	2,315	-
Dividends received	9	(2,100,709)	(2,357,038)
Interest received	9	(807)	(895)
Cash outflow		(537)	(5,610)
13.2 Working capital movements			
(Decrease)/increase in other payables and accrued expense		(1,126)	1,931
Decrease in other receivables		54	727
Cash (outflow)/inflow		(1,072)	2,658
13.3 Tax paid			
Amounts receivable at the beginning of the period		64	78
Amounts charged to profit and loss: South African normal tax	11.1	(14)	-
Amounts receivable at the reporting date		(91)	(64)
Cash (outflow)/inflow		(41)	14
13.4 Dividends paid			
Unclaimed dividends owing to shareholders at the beginning of the period	6	(4,399)	(3,629)
Amounts charged to equity	12	(2,099,685)	(2,357,038)
Unclaimed dividends owing to shareholders at the reporting date	6	4,624	4,399
Cash outflow		(2,099,460)	(2,356,268)

13.6 Reconciliation of movements in assets and liabilities arising from financing activities

		Balance at the beginning of the period R'000	Cash movements R'000	Non-cash movements R'000	Balance at the reporting date R'000
2025					
Truworths Ltd	6	(1,587,898)	-	1,583,255	(4,643)
2024					
Truworths Ltd	6	(1,581,745)	(2,723)	(3,430)	(1,587,898)

NOTES TO THE COMPANY ANNUAL FINANCIAL STATEMENTS (continued)

14 RELATED PARTY DISCLOSURES

During the period the company and its subsidiaries entered into various transactions with one another, in the ordinary course of business. Details of interests in and loan balances with subsidiaries are disclosed in notes 2, 6 and Annexure One.

Related party transactions during the period were as follows:

	Income received from R'000	Dividends received from R'000	Dividends paid to R'000	Amount due to related parties R'000
2025				
Truworths Ltd	13,320	3,432,829	-	(4,643)
Young Designers Emporium (Pty) Ltd	-	100,000	-	-
Truworths Trading (Pty) Ltd	-	126,347	(126,347)	-
2024				
Truworths Ltd	12,420	2,181,287	-	(1,587,897)
Truworths Trading (Pty) Ltd	-	-	(152,968)	-
Truworths International Limited Share Trust	-	-	(231)	-

Shareholders

The company's shares are widely held principally by public holders. The major shareholders of the company are detailed in the Shareholder Information section on pages 143 to 146.

Key management personnel

Details of the executive and non-executive directors' emoluments and shareholdings (including options) in the company are disclosed in notes 28.1 and 28.6 of the Group annual financial statements and Annexure Two.

Interests of directors in contracts

Refer to note 32 of the Group annual financial statements for further information relating to directors' interest in contracts with the company and its subsidiaries.

Other related parties

Refer to note 32 of the Group annual financial statements for further information relating to other related party transactions.

ANNEXURE ONE DETAILS OF SUBSIDIARIES

		Ordinary share capital and premium		Percentage held (effective interest)		Book value of shares	
Name	Main business	2025	2024	2025 %	2024 %	2025 Rm	2024 Rm
Direct subsidiaries							
All (Pty) Ltd companies unless otherwise stated							
Incorporated in South Africa							
Truworhts Ltd	R	R23,883,152	R23,883,152	100	100	19,075	26,796
Young Designers Emporium	C	R200	R200	100	100	159	378
Truworhts Trading	I	R60	R60	100	100	624	1,260
Truworhts International Limited							
Share Trust	E	N/A	N/A	100	100	N/A	N/A
K2022434602 (South Africa)	RE	R1	R1	100	100	-	-
The Apparel Manufacturers Employees Trust [#]	SD	N/A	N/A	-	-	N/A	N/A
Incorporated in the Isle of Man							
Truworhts Intellectual Property Ltd	IP	US\$3	US\$3	100	100	-	-
Incorporated in the United Kingdom							
Truworhts UK Holdco 1 Ltd	I	£161 415 625	£161 415 625	100	100	13,640	10,883

C = Commission agent, E = Employee share scheme, I = Investment holding, R = Retailing, IP = Intellectual property holding, RE = Real estate Investment, SD = Supplier Development Trust

[#]Truworhts International Limited is not the ultimate beneficiary of the trust, it has however been determined that the company controls the trust, in accordance with IFRS 10.

Dormant companies are excluded.

ANNEXURE ONE DETAILS OF SUBSIDIARIES (continued)

		Ordinary share capital and premium		Percentage held (effective interest)	
Name	Main business	2025	2024	2025 %	2024 %
Indirect subsidiaries					
All (Pty) Ltd companies unless otherwise stated					
Incorporated in South Africa					
Identity Retailing	C	R2	R2	100	100
Truworths Mostert Street Properties Share Block	S	R5,920,950	R5,920,950	100	100
K2020211444 (South Africa)	A	R1	R1	100	100
K2022461035 (South Africa) [#]	M	N/A	N/A	-	-
Truworths Chairman's Foundation	CA	N/A	N/A	100	100
Truworths Community Foundation	CA	N/A	N/A	100	100
Truworths Social Involvement Trust	CA	N/A	N/A	100	100
Truworths Enterprise Development Trust	ED	N/A	N/A	100	100
Incorporated in Namibia					
Truworths (Namibia) Ltd	R	N\$14	N\$14	100	100
Incorporated in eSwatini					
Truworths (Swaziland) Ltd	R	E40 000	E40 000	100	100
Incorporated in Lesotho					
Truworths (Lesotho)	R	M2	M2	100	100
Incorporated in Botswana					
Truworths Botswana	R	P100	P100	100	100
Incorporated in Zambia					
Truworths (Zambia) Ltd	R	ZK20 004 500	ZK20 004 500	100	100
Incorporated in the United Kingdom					
Shoo 635 Ltd	IP	£1	£1	100	100
Truworths UK Holdco 2 Ltd	I	£181 595 892	£181 595 892	99.7	99.4
Truworths UK Holdco 3 Ltd	I	£161 415 625	£161 415 625	99.7	99.4
Office Retail Group Ltd*	I	-	£1 700 000	-	99.4
Office Retail Midco 1 Ltd*	I	-	£2 000 000	-	99.4
Office Retail Ltd*	I	-	£2 000 000	-	99.4
Office Holdings Ltd	R	£220 731	£220 731	99.7	99.4

C = Commission agent, I = Investment holding, IP = Intellectual property holding, R = Retailing, M = Manufacturing, S = Share block scheme, A = Administrative support services, CA = Charitable activities, ED = Enterprise development

[#]This company is not owned by the Group, but it is consolidated as a result of the Group controlling the company in accordance with IFRS 10.

*Dissolved in February 2025.

Dormant companies are excluded.

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS

1 DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS

	RSPs 000's	PSPs 000's	Shares 000's	Options 000's	Total 000's
2025					
In aggregate					
Balance at the beginning of the period	19	1,737	1,417	13	3,186
Awarded during the period	-	334	-	-	334
Gained during the period due to corporate performance targets (CPT's) being met	-	120	-	-	120
Forfeited during the period	-	-	-	(7)	(7)
Awards vested, exercised and retained	(10)	(387)	398	(1)	-
Awards vested, exercised and sold	(9)	(437)	-	(5)	(451)
Shares purchased during the period	-	-	1	-	1
Balance at the reporting date	-	1,367	1,816	-	3,183
By director					
The direct and indirect interest of each of the directors in the company's shares, which are held either beneficially or pursuant to the equity-settled share scheme, are as follows:					
Executive directors	-	1,367	1,726	-	3,093
Michael Mark	-	643	1,507	-	2,150
Sarah Proudfoot	-	449	161	-	610
Emanuel Cristaudo	-	275	58	-	333
Non-executive directors	-	-	90	-	90
Hilton Saven	-	-	83	-	83
Tony Taylor	-	-	4	-	4
Wayne Muller	-	-	3	-	3
Balance at the reporting date	-	1,367	1,816	-	3,183
Comprising:					
Direct interest	-	1,367	1,631	-	2,998
Indirect interest	-	-	185	-	185
Total	-	1,367	1,816	-	3,183

	Direct interest 000's	Indirect interest 000's
Michael Mark	2,050	100
Sarah Proudfoot	610	-
Emanuel Cristaudo*	332	1
Hilton Saven	-	83
Tony Taylor	4	-
Wayne Muller	2	1
	2,998	185

* Indirect interest zero due to rounding

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

1 DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

	RSPs 000's	PSPs 000's	SARs 000's	PARs 000's	Shares 000's	Options 000's	Total 000's
2024							
In aggregate							
Balance at the beginning of the period	28	1,516	15	12	2,142	463	4,176
Awarded during the period	-	365	-	-	-	-	365
Exercised during the period	-	-	(15)	(12)	-	(450)	(477)
Gained during the period due to corporate performance targets (CPT's) being met	-	221	-	-	-	-	221
Vested during the period	(9)	(147)	-	-	-	-	(156)
Awards vested, exercised and retained	-	-	-	-	251	-	251
Shares sold during the period	-	(218)	-	-	(1,078)	-	(1,296)
Indirect holdings included	-	-	-	-	102	-	102
Balance at the reporting date	19	1,737	-	-	1,417	13	3,186

By director

The direct and indirect interest of each of the directors in the company's shares, which are held either beneficially or pursuant to the equity-settled share scheme, are as follows:

Executive directors	19	1,737	-	-	1,328	13	3,097
Michael Mark	-	1,041	-	-	1,161	-	2,202
Sarah Proudfoot	-	457	-	-	146	13	616
Emanuel Cristaudo	19	239	-	-	21	-	279
Non-executive directors	-	-	-	-	89	-	89
Hilton Saven	-	-	-	-	83	-	83
Tony Taylor	-	-	-	-	3	-	3
Wayne Muller	-	-	-	-	3	-	3
Balance at the reporting date	19	1,737	-	-	1,417	13	3,186
Comprising:							
Direct interest	19	1,737	-	-	1,232	13	3,001
Indirect interest*	-	-	-	-	185	-	185
Total	19	1,737	-	-	1,417	13	3,186

	Direct interest 000's	Indirect interest 000's
Michael Mark	2,102	100
Sarah Proudfoot	616	-
Emanuel Cristaudo	279	-
Hilton Saven	-	83
Tony Taylor	3	-
Wayne Muller	1	2
	3,001	185

There have been no changes to these interests between the reporting date and the date of the Directors' Report.

It is the Group's policy that all directors and officers, as well as those employees who have access to price-sensitive information, should not deal in company shares, or receive or exercise share options or share appreciation rights of the company during the closed period. The closed periods commence two weeks before the end of the interim (December) and annual (June) reporting periods and end twenty-four hours after announcement of the Group's financial results on the JSE news service.

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

2 DETAILS OF DIRECTORS' EQUITY-SETTLED AWARDS IN THE AGGREGATE

		Number of options/awards	
Exercise price/grant date fair value*		2025	2024
R		000's	000's
2.1 1998 Share Options Scheme			
The options become releasable between the following dates and at the following exercise prices:			
Balance at the beginning of the reporting period		13	463
Between 19 February 2011 and 19 February 2016	44.78	6	456
Between 1 December 2010 and 1 December 2016	73.80	7	7
Options exercised during the period		(6)	(450)
Between 16 October 2023 and 31 October 2023	44.78	-	(450)
Between 19 March 2025 and 28 May 2025	44.78	(6)	-
Options forfeited during the period		(7)	-
On 31 May 2025	73.80	(7)	-
Balance at the reporting date		-	13
Between 19 February 2011 and 19 February 2016	44.78	-	6
Between 1 December 2010 and 1 December 2016	73.80	-	7
2.2 Restricted share plan (RSPs)			
The RSPs vest between the following dates and had the following grant date fair values:			
Balance at the beginning of the reporting period		19	28
Between 30 September 2022 and 30 September 2024	54.49	19	28
RSPs vested during the period		(19)	(9)
On 30 September 2023	54.49	-	(9)
On 30 September 2024	54.49	(19)	-
Balance at the reporting date		-	19
Between 30 September 2022 and 30 September 2024	54.49	-	19

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

2 DETAILS OF DIRECTORS' EQUITY-SETTLED AWARDS IN THE AGGREGATE (continued)

	Exercise price/grant date fair value* R	Number of awards	
		2025 000's	2024 000's
2.3 Performance share plan (PSPs)			
The PSPs vest between the following dates and had the following grant date fair values:			
Balance at the beginning of the reporting period		1,736	1,516
Between 18 September 2021 and 18 September 2023	80.60	-	7
Between 6 September 2022 and 6 September 2023	53.23	-	53
Between 3 March 2023 and 3 March 2024	47.05	8	12
Between 29 September 2023 and 29 September 2025	30.70	471	550
Between 25 March 2024 and 25 March 2026	47.71	40	42
Between 17 September 2024 and 17 September 2027	54.49	382	382
Between 8 September 2025 and 8 September 2027	58.09	470	470
Between 14 September 2026 and 14 September 2028	73.91	365	-
PSPs awarded during the period		334	365
On 14 September 2023	73.91	-	365
On 18 September 2024	94.80	334	-
PSPs vested and retained during the period		(387)	(148)
On 30 September 2023	80.60	-	(4)
On 30 September 2023	53.23	-	(8)
On 30 September 2023	30.70	-	(136)
On 30 September 2024	30.70	(185)	-
On 30 September 2024	54.49	(189)	-
On 30 September 2024	47.71	(9)	-
On 30 September 2024	47.05	(4)	-
PSPs gained due to CPTs met during the period		120	221
On 29 September 2023	30.70	-	205
On 25 March 2021	47.71	-	16
On 30 September 2024	54.49	120	-
PSPs vested and sold during the period		(436)	(218)
On 18 September 2023	80.60	-	(3)
On 6 September 2023	53.23	-	(45)
On 3 March 2024	47.05	-	(4)
On 25 March 2024	47.71	-	(18)
On 29 September 2023	30.70	-	(148)
On 30 September 2024	30.70	(214)	-
On 30 September 2024	54.49	(210)	-
On 30 September 2024	47.05	(4)	-
On 30 September 2024	47.71	(8)	-
Balance at the reporting date		1,367	1,736
Between 3 March 2023 and 3 March 2024	47.05	-	8
Between 29 September 2023 and 29 September 2025	30.70	72	471
Between 25 March 2024 and 25 March 2026	47.71	23	40
Between 17 September 2024 and 17 September 2027	54.49	103	382
Between 8 September 2025 and 8 September 2027	58.09	470	470
Between 14 September 2026 and 14 September 2028	73.91	365	365
Between 30 September 2027 and 30 September 2028	94.80	334	-

* The grant date fair value is the price which is used to determine the number of shares that are awarded to the participants under the restricted and performance share plans. The grant date fair value has no impact in determining the gains arising on the vesting of shares in respect of the above share plans, as such gains are determined with reference to the market price of the shares on the vesting date.

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED AWARDS PER DIRECTOR 2025

The gains in respect of the restricted and performance share plans are calculated by multiplying the market price at the date ownership passes by the number of shares vested on that date.

2025

Executive directors

MICHAEL MARK

Vesting dates on, or between, the following date(s)

PSPs

Balance at the beginning of the reporting period

30 September 2023 and 30 September 2024

On 30 September 2024

On 30 September 2025

On 30 September 2026

Awarded during the period

On 30 September 2027

Gained during the period due to CPT's being achieved

On 30 September 2024

Vested and sold during the period

On 30 September 2024

On 30 September 2024

Vested and retained during the period

On 30 September 2024

On 30 September 2024

Balance at the reporting date

On 30 September 2025

On 30 September 2026

On 30 September 2027

	Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
			1,040
	30.70		346
	54.49		228
	58.09		263
	73.91		203
			177
	94.80		177
			72
	54.49		72
			(301)
	30.70	107.31	(161)
	54.49	107.31	(140)
			(345)
	30.70	110.50	(185)
	54.49	110.50	(160)
			643
	58.09		263
	73.91		203
	94.80		177

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED SHARE AWARDS PER DIRECTOR 2025 (continued)

Executive directors EMANUEL CRISTAUDO	Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
Vesting dates on, or between, the following date(s)			
RSPs			
Balance at the beginning of the reporting period			19
30 September 2022 and 30 September 2024	54.49		19
Vested and sold during the period			(9)
On 30 September 2024	54.49	107.31	(9)
Vested and retained during the period			(10)
On 30 September 2024	54.49	111.27	(10)
Balance at the reporting date			-
PSPs			
Balance at the beginning of the reporting period			239
30 September 2024 and 30 September 2025	54.49		55
30 September 2025 and 30 September 2026	58.09		103
30 September 2026 and 30 September 2027	73.91		81
Awarded during the period			79
30 September 2027 and 30 September 2028	94.80		79
Gained during the period due to CPT's being achieved			17
On 30 September 2024	54.49		17
Vested and sold during the period			(32)
On 30 September 2024	54.49	107.31	(32)
Vested and retained during the period			(28)
On 30 September 2024	54.49	111.27	(28)
Balance at the reporting date			275
30 September 2024 and 30 September 2025	54.49		12
30 September 2025 and 30 September 2026	58.09		103
30 September 2026 and 30 September 2027	73.91		81
30 September 2027 and 30 September 2028	94.80		79

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED SHARE AWARDS PER DIRECTOR 2025 (continued)

Executive directors SARAH PROUDFOOT	Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
Vesting dates on, or between, the following date(s)			
1998 Share Options Scheme			
Balance at the beginning of the reporting period			13
19 February 2010 and 19 February 2015	44.78		6
1 December 2010 and 1 December 2016	73.80		7
Exercised and sold during the period			(5)
Between 19 March 2025 and 28 May 2025	44.78	72.81	(5)
Exercised and retained during the period			(1)
Between 19 March 2025 and 28 May 2025	44.78	74.93	(1)
Forfeited during the period			(7)
Between 19 March 2025 and 28 May 2025	73.80		(7)
Balance at the end of the reporting period			-
PSPs			
Balance at the beginning of the reporting period			456
31 March 2023 and 31 March 2025	47.05		7
30 September 2023 and 30 September 2025	30.70		125
31 March 2024 and 31 March 2026	47.71		40
30 September 2024 and 30 September 2026	54.49		99
30 September 2025 and 30 September 2027	58.09		104
30 September 2026 and 30 September 2028	73.91		81
Awarded during the period			78
30 September 2027 and 30 September 2028	94.80		78
Gained during the period due to CPT's being achieved			31
On 30 September 2024	54.49		31
Vested and sold during the period			(104)
30 September 2024	30.70	107.31	(54)
30 September 2024	54.49	107.31	(39)
31 March 2025	47.05	72.15	(3)
31 March 2025	47.71	72.15	(8)
Vested and retained during the period			(13)
31 March 2025	47.05	74.49	(4)
31 March 2025	47.71	74.49	(9)
Balance at the reporting date			449
30 September 2023 and 30 September 2025	30.70		72
31 March 2024 and 31 March 2026	47.71		23
30 September 2024 and 30 September 2026	54.49		91
30 September 2025 and 30 September 2027	58.09		104
30 September 2026 and 30 September 2028	73.91		81
30 September 2027 and 30 September 2028	94.80		78

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED AWARDS PER DIRECTOR 2024

Executive directors
MICHAEL MARK

Vesting dates on, or between, the following date(s)

1998 Share Options Scheme

Balance at the beginning of the reporting period

19 February 2011 and 19 February 2016

Options exercised and sold

16 October 2023 and 31 October 2023

16 October 2023 and 31 October 2023

Options exercised and retained

16 October 2023 and 31 October 2023

16 October 2023 and 31 October 2023

Balance at the reporting date

PSPs

Balance at the beginning of the reporting period

30 September 2023 and 30 September 2024

On 30 September 2024

On 30 September 2025

Awarded during the period

On 30 September 2026

Gained during the period due to

CPT's being achieved

On 30 September 2023

Vested and sold during the period

On 30 September 2023

Vested and retained during the period

On 30 September 2023

Balance at the reporting date

30 September 2023 and 30 September 2024

On 30 September 2024

On 30 September 2025

On 30 September 2026

Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
		450
44.78		450
		(360)
44.78	72.29	(135)
44.78	73.15	(225)
		(90)
44.78	74.62	(35)
44.78	71.50	(55)
		-
		911
30.70		420
54.49		228
58.09		263
		-
73.91		203
		157
30.70		157
		(107)
30.70	76.74	(107)
		(124)
30.70	75.81	(124)
		1,040
30.70		346
54.49		228
58.09		263
73.91		203

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED SHARE AWARDS PER DIRECTOR 2024 (continued)

Executive directors EMANUEL CRISTAUDO	Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
Vesting dates on, or between, the following date(s)			
RSPs			
Balance at the beginning of the reporting period			28
30 September 2022 and 30 September 2024	54.49		28
Vested and retained during the period			(9)
On 30 September 2023	54.49	76.42	(9)
Balance at the reporting date			19
30 September 2022 and 30 September 2024	54.49		19
PSPs			
Balance at the beginning of the reporting period			158
30 September 2024 and 30 September 2025	54.49		55
30 September 2025 and 30 September 2026	58.09		103
Awarded during the period			81
30 September 2026 and 30 September 2027	73.91		81
Balance at the reporting date			239
30 September 2024 and 30 September 2025	54.49		55
30 September 2025 and 30 September 2026	58.09		103
30 September 2026 and 30 September 2027	73.91		81

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED SHARE AWARDS PER DIRECTOR 2024 (continued)

Executive directors SARAH PROUDFOOT	Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
Vesting dates on, or between, the following date(s)			
1998 Share Options Scheme			
Balance at the beginning and the end of the reporting period			13
19 February 2010 and 19 February 2015	44.78		6
1 December 2010 and 1 December 2016	73.80		7
PSPs			
Balance at the beginning of the reporting period			447
18 September 2021 and 18 September 2023	80.60		7
6 September 2022 and 6 September 2023	53.23		53
3 March 2023 and 3 March 2025	47.05		12
29 September 2023 and 29 September 2025	30.70		130
25 March 2024 and 25 March 2026	47.71		42
17 September 2024 and 17 September 2026	54.49		99
8 September 2025 and 8 September 2027	58.09		104
Awarded during the period			81
30 September 2026 and 30 September 2028	73.91		81
Gained during the period due to CPT's being achieved			64
On 30 September 2023	30.70		49
On 31 March 2024	47.71		15
Vested and sold during the period			(112)
On 18 September 2023	80.60	76.74	(3)
On 6 September 2023	53.23	76.74	(25)
On 6 September 2023	53.23	74.43	(20)
On 3 March 2024	47.05	75.19	(5)
On 29 September 2023	30.70	76.74	(25)
On 29 September 2023	30.70	76.20	(17)
On 25 March 2024	47.71	75.19	(17)
Vested and retained during the period			(24)
On 30 September 2023	80.60	75.81	(4)
On 30 September 2023	53.23	75.81	(8)
On 30 September 2023	30.70	75.81	(12)
Balance at the reporting date			456
3 March 2023 and 3 March 2025	47.05		7
29 September 2023 and 29 September 2025	30.70		125
25 March 2024 and 25 March 2026	47.71		40
17 September 2024 and 17 September 2026	54.49		99
8 September 2025 and 8 September 2027	58.09		104
30 September 2026 and 30 September 2028	73.91		81

ANNEXURE TWO DETAILS OF DIRECTORS' HOLDINGS OF SHARES AND EQUITY-BASED AWARDS (continued)

3 DETAILS OF DIRECTORS' EQUITY-SETTLED SHARE AWARDS PER DIRECTOR 2024 (continued)

Executive directors SARAH PROUDFOOT (continued)	Exercise price/ grant date fair value* R	Market price on date ownership passed R	Number of awards 000's
Vesting dates on, or between, the following date(s)			
SARs			
Balance at the beginning of the reporting period			15
14 March 2017 and 14 March 2020	69.56		15
SARs exercised during the period			(15)
Between September 2023 and March 2024	69.56	77.72	(15)
Balance at the reporting date			-
PARs			
Balance at the beginning of the reporting period			12
14 March 2017 and 14 March 2020	69.56		12
PARs exercised during the period			(12)
Between September 2023 and March 2024	69.56	77.72	(12)
Balance at the reporting date			-

* The grant date fair value is the price which is used to determine the number of shares that are awarded to the participants under the restricted and performance share plans. The grant date fair value has no impact in determining the gains arising on vesting of shares in respect of the above share plans, as such gains are determined with reference to the market price of the shares on the vesting date.

ANNEXURE THREE DETAILS OF PARTICIPANTS' HOLDINGS OF EQUITY-BASED AWARDS

1 DETAILS OF PARTICIPANTS' EQUITY-SETTLED AWARDS IN THE AGGREGATE

The summary below reflects the period between the offer date and the last vesting date as well as the exercise price of equity-settled awards held by all scheme participants (including directors) at the reporting period end:

	Exercise price R	2025 Number 000's	2024 Number 000's
1.1 1998 Share Options Scheme			
Between 19 February 2010 and 19 February 2016	44.78	-	90
Between 23 August 2010 and 23 August 2016	55.32	-	4
Between 4 October 2010 and 4 October 2016	67.64	-	2
Between 5 November 2010 and 5 November 2016	71.12	-	2
Between 1 December 2010 and 1 December 2016	73.80	-	53
Between 8 December 2010 and 8 December 2016	73.80	-	29
Between 23 February 2011 and 23 February 2016	64.57	-	2
Between 4 May 2011 and 4 May 2017	75.02	-	2
Between 19 August 2011 and 19 August 2017	71.91	-	5
Between 4 October 2011 and 4 October 2017	70.66	-	3
Between 2 November 2011 and 2 November 2017	79.74	-	3
Between 2 December 2011 and 2 December 2017	77.89	-	1
Between 24 February 2012 and 24 February 2018	79.84	-	15
Between 2 March 2012 and 2 March 2018	79.90	-	4
Between 3 May 2012 and 3 May 2018	82.33	-	1
Between 25 May 2012 and 25 May 2018	81.46	-	1
Between 17 August 2012 and 17 August 2018	103.60	-	3
		-	220

ANNEXURE THREE DETAILS OF PARTICIPANTS' HOLDINGS OF EQUITY-BASED AWARDS (continued)

1 DETAILS OF PARTICIPANTS' EQUITY-SETTLED AWARDS IN THE AGGREGATE (continued)

	Award price R	2025 Number 000's	2024 Number 000's
1.2 RSPs			
Between 18 September 2018 and 18 September 2023	80.60	-	2
Between 6 March 2019 and 6 March 2024	74.22	-	5
Between 6 September 2019 and 6 September 2024	53.23	-	168
Between 3 March 2020 and 3 March 2025	47.05	-	74
Between 29 September 2020 and 29 September 2024	30.70	-	49
Between 29 September 2020 and 29 September 2025	30.70	305	595
Between 25 March 2021 and 3 March 2025	47.71	-	11
Between 25 March 2021 and 3 March 2026	47.71	56	115
On 17 September 2024	54.49	-	14
Between 17 September 2024 and 17 September 2024	54.49	-	18
Between 17 September 2024 and 17 September 2025	54.49	32	68
Between 17 September 2024 and 17 September 2026	54.49	738	1,131
Between 7 March 2023 and 3 March 2026	60.67	12	19
Between 7 March 2023 and 3 March 2027	60.67	41	62
On 8 September 2025	58.09	22	24
Between 8 September 2025 and 8 September 2026	58.09	35	53
Between 8 September 2025 and 8 September 2027	58.09	1,123	1,188
Between 4 October 2024 and 4 October 2026	51.37	1	2
Between 3 November 2024 and 3 November 2026	51.71	4	6
Between 10 March 2025 and 10 March 2027	59.09	14	19
Between 10 March 2025 and 10 March 2028	59.09	73	79
On 14 September 2026	73.91	9	14
Between 14 September 2026 and 14 September 2028	73.91	84	93
Between 14 September 2026 and 14 September 2028	73.91	633	655
Between 14 September 2026 and 14 September 2027	73.91	22	22
Between 14 September 2025 and 14 September 2027	73.91	4	4
Between 14 September 2024 and 14 September 2026	73.91	2	2
Between 12 March 2027 and 12 March 2029	75.48	52	54
Between 12 March 2027 and 12 March 2029	75.48	54	54
Between 30 September 2027 and 30 September 2028	94.80	58	-
Between 30 September 2027 and 30 September 2029	94.80	741	-
Between 30 September 2026 and 30 September 2028	94.80	8	-
On 30 September 2027	94.80	35	-
On 30 September 2027	108.39	2	-
Between 31 March 2028 and 31 March 2030	77.84	40	-
		4,200	4,600

ANNEXURE THREE DETAILS OF PARTICIPANTS' HOLDINGS OF EQUITY-BASED AWARDS (continued)

1 DETAILS OF PARTICIPANTS' EQUITY-SETTLED AWARDS IN THE AGGREGATE (continued)

	Award price R	2025 Number 000's	2024 Number 000's
1.3 PSPs			
Between 18 September 2018 and 18 September 2023	80.60	-	3
Between 6 March 2019 and 6 March 2024	74.22	-	5
Between 6 September 2019 and 9 September 2024	53.23	-	61
Between 3 March 2020 and 3 March 2025	47.05	-	30
Between 29 September 2020 and 9 September 2024	30.70	-	416
Between 29 September 2020 and 9 September 2025	30.70	553	1,073
Between 25 March 2021 and 25 March 2025	47.71	-	49
Between 25 March 2021 and 25 March 2026	47.71	96	175
On 17 September 2024	54.49	-	242
Between 17 September 2024 and 17 September 2025	54.49	114	227
Between 17 September 2024 and 17 September 2026	54.49	322	514
On 8 September 2025	58.09	345	348
Between 8 September 2025 and 8 September 2026	58.09	200	210
Between 8 September 2025 and 8 September 2027	58.09	457	472
On 4 October 2025	51.37	10	10
On 14 September 2026	73.91	208	213
Between 14 September 2026 and 14 September 2028	73.91	339	339
Between 14 September 2026 and 14 September 2027	73.91	158	158
Between 30 September 2027 and 30 September 2028	94.80	157	-
On 30 September 2027	94.80	177	-
Between 30 September 2027 and 30 September 2028	94.80	65	-
Between 30 September 2027 and 30 September 2029	94.80	224	-
On 30 September 2027	108.39	2	-
		3,427	4,545

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS

GLOSSARY OF FINANCIAL REPORTING TERMS

This glossary of financial reporting terms is provided to ensure clarity of meaning, as certain terms may not always have the same meaning or interpretation as in other countries.

GROUP STRUCTURES

Company

Truworths International Ltd.

Group

Truworths International Ltd and its consolidated subsidiaries.

Entity

The company or any one of its subsidiaries or, where the context requires, an entity outside of the Group.

Subsidiary

Any entity, whether a company or a trust, over which the Group has the power to exercise control.

Associate

An entity over which the Group has significant influence and that is neither a subsidiary nor a joint arrangement.

Joint arrangement

An arrangement in which two or more parties have joint control being the contractually agreed sharing of control.

Joint operation

A joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities relating to the arrangement.

Joint operator

A party to a joint operation that has joint control of that joint operation.

Joint venture

A joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

ACCOUNTING

Acquisition date

The date on which an acquiring entity (the acquirer) obtains control of the entity acquired (the acquiree or investee).

Acquisition method of accounting

The method of accounting for business combinations whereby the acquirer recognises, on the acquisition date, the identifiable assets acquired, the liabilities assumed, any non-controlling interest in the acquiree or investee and the related goodwill (or gain from a bargain purchase).

Allowance

An estimate of the reduction or diminution in the cost or subsequent carrying amount of current assets, such as inventories and trade receivables, attributable to factors such as markdowns, shrinkage and irrecoverability.

Business combination

A transaction or other event in which the acquirer obtains control of one or more businesses.

Borrowing costs

Borrowing costs are interest and other costs incurred in connection with the borrowing of funds.

Borrowing costs may include:

- interest expense calculated using the effective interest method as described in IFRS9;
- interest in respect of lease liabilities recognised in accordance with IFRS16; and
- exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs.

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

ACCOUNTING (continued)

Cash-generating unit

The smallest identifiable group of assets that generates cash inflows within the Group that are largely independent of the cash inflows from other assets or groups of assets.

Contingent liability

- a possible obligation that arises from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of an entity; or
- a present obligation that arises from past events but is not recognised because:
 - (i) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - (ii) the amount of the obligation cannot be measured with sufficient reliability.

Control

Control over an investee requires the Group to possess three essential elements:

- power over the investee;
- exposure or rights to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the Group's variable returns.

Defined benefit plan

An arrangement, for example a post-employment benefit plan, under which an entity pays fixed contributions to a separate entity (such as a fund or an insurer), and in respect of which that entity will have a legal or constructive obligation to pay further contributions if the separate entity does not hold sufficient assets to pay all employee benefits relating to the service of such employees during the current and prior periods.

Defined contribution plan

An arrangement under which an entity pays fixed contributions to a separate entity (such as a fund or an insurer), and in respect of which that entity will have no legal or constructive obligation to pay further contributions if the separate entity does not hold sufficient assets to pay all employee benefits relating to the service of such employees during the current and prior periods.

Discount rate

The pre-tax interest rate that reflects current market assessments of the time value of money and the risks specific to the asset for which future cash flow estimates have not been adjusted. It is the return that investors would require if they were to choose an investment that would generate cash flows of amounts, timing and risk profile equivalent to those that the entity expects to derive from the asset.

Fair value

The price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date.

Foreign currency

A currency other than the functional currency of the entity.

Functional currency

The currency of the primary economic environment in which the entity operates.

Key management personnel

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of an entity, directly or indirectly, including any director (executive and non-executive) of that entity.

Operating segment

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses (including revenue and expenses relating to transactions with other components of the Group), whose operating results are regularly reviewed by the entity's or the company's board to make decisions about resource allocation and assess segmental performance, and for which separate financial information is available.

Presentation currency

The currency in which the financial statements are presented.

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

ACCOUNTING (continued)

Projected unit credit method

An actuarial valuation method used to determine the present value of an entity's defined benefit obligations and the related current, and where applicable, past service cost. The method treats each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provision

A liability of uncertain timing or amount.

Qualifying asset

A qualifying asset is an asset that necessarily takes a substantial period of time to be made ready for its intended use or sale.

Qualifying payment

When an account holder pays at least 90% of the amount payable by the payment due date.

Recoverable amount

For an asset or a cash-generating unit, this is the higher of its fair value less costs to sell, and its value in use.

Related party

A related party is a person or an entity that is related to the entity that is preparing its financial statements (referred to as the 'reporting entity').

- A person or a close member of that person's family is related to a reporting entity if that person:
 - (i) has control or joint control over the reporting entity;
 - (ii) has significant influence over the reporting entity; or
 - (iii) is a member of the key management personnel of the reporting entity or of the parent of the reporting entity.
- An entity is related to a reporting entity if any of the following conditions apply:
 - (i) the entity and the reporting entity are members of the same group (which means that the parent, and each subsidiary and fellow subsidiary is related to the others);
 - (ii) one entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
 - (iii) both entities are joint ventures of the same third party;
 - (iv) one entity is a joint venture of a third entity and the other entity is an associate of the third entity;
 - (v) the entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity. If the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity;
 - (vi) the entity is controlled or jointly controlled by a person identified in (a);
 - (vii) a person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of the parent of the entity); or
 - (viii) the entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

Residual value

The estimated amount that an entity would currently obtain from disposal of an asset, after deducting the estimated costs of disposal, if the asset was already of the age and in the condition expected at the end of its useful life.

Separate vehicle

A separately identifiable financial structure, including separate legal entities or entities recognised by statute, regardless of whether those entities have a legal personality.

Significant

An asset, liability or other transaction is considered to be significant when, in the judgement of management, it is sufficiently relevant to the Group based on its nature and/or magnitude that to omit or misstate it could influence users of the financial statements.

Trading profit

The profit generated from trading activities before taking into account interest income, dividend income, finance costs and tax.

Value in use

The present value of the future cash flows expected to be derived from an asset or a cash-generating unit.

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

FINANCIAL INSTRUMENTS

Amortised cost

The amount at which a financial asset or financial liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation (using the effective interest method) of any difference between that initial amount and the maturity amount, minus any reduction (directly or through the use of an allowance account) for impairment.

Credit risk

The risk that a counter-party to a financial instrument will cause a financial loss for the Group by failing to discharge an obligation.

Charge-off

Removal of an account from the Group's active trade receivables portfolio where such account is assessed to have a low expectation of recovery based on the Group's behavioural credit risk models and policy rules. Charged-off accounts cannot shop, are moved to a separate portfolio and are not derecognised. Such accounts are reported to credit bureaux in accordance with the requirements of the National Credit Act of South Africa (NCA).

Currency risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Debt instrument

A debt instrument is a contractual obligation that enables an entity to raise funds by promising to repay a lender in accordance with the terms of a contract.

Derivative financial instrument

A financial instrument with all the following characteristics:

- its value changes in response to movements in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable; provided that, in the case of a non-financial variable, the variable is not specific to a party to the contract;
- it requires no initial net investment or the initial net investment is smaller than would be required for other types of contracts that would be expected to respond similarly to changes in market factors; and
- it is settled at a future date.

Effective interest rate

The interest rate that exactly discounts estimated future cash payments or receipts during the expected life of the financial instrument, or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

Equity instrument

A contract that evidences a residual interest in the assets of an entity after deducting all its liabilities.

Financial asset

Any asset of an entity that is:

- cash;
- an equity instrument of another entity;
- a contractual right to:
 - (i) receive cash or another financial asset from another entity; or
 - (ii) exchange financial instruments with another entity under conditions that are potentially favourable; or
- a contract that will or may be settled in an entity's own equity instruments and is:
 - (i) a non-derivative financial instrument for which the entity is or may be obliged to receive a variable number of its own equity instruments; or
 - (ii) a derivative financial instrument that will or may be settled by the entity, other than by the exchange of a fixed amount of cash or another financial asset, by the delivery by the entity of a fixed number of its own equity instruments. For this purpose the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

Financial asset measured at amortised cost

A debt instrument is measured at amortised cost if:

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- the contractual terms of this asset give rise on specified dates to cash flows that are solely payments of principal and interest.

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

FINANCIAL INSTRUMENTS (continued)

Financial asset measured at fair value through other comprehensive income (FVOCI)

An equity instrument that is designated as such or a debt instrument where the asset:

- is held and managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal amount outstanding.

Financial asset measured at fair value through profit or loss (FVTPL)

A financial asset:

- held within a business model where the objective is to sell and manage the asset on a fair value basis; or
- which does not meet the criteria for measuring the asset at amortised cost or at FVOCI; or
- where the use of this classification removes or significantly reduces an accounting mismatch.

Financial instrument

A contract giving rise to a financial asset in one entity and a financial liability or equity instrument in another entity.

Financial liability

Any liability of an entity that is:

- a contractual obligation:
 - (i) to deliver cash or another financial asset to another entity; or
 - (ii) to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or
- a contract that will or may be settled in an entity's own equity instruments and is:
 - (i) a non-derivative financial instrument for which the entity is or may be obliged to deliver a variable number of its own equity instruments; or a derivative financial instrument that will or may be settled by the entity, other than by the exchange of a fixed amount of cash or another financial asset, by the delivery of a fixed number of the entity's own equity instruments to the other entity. For this purpose the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments; or
 - (ii) a derivative financial instrument that will or may be settled by the entity, other than by the exchange of a fixed amount of cash or another financial asset, by the delivery of a fixed number of the entity's own equity instruments to the other entity. For this purpose the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

Financial liability measured at fair value through profit or loss (FVTPL)

A financial liability that:

- is classified as held-for-trading; or
- upon initial recognition, it is designated as such. An entity may use this designation only when permitted, or when doing so would result in more relevant information because either:
 - (i) it eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or from recognising the gains and losses on them on different bases; or
 - (ii) a group of financial liabilities is managed and its performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy, and information about such group is provided internally on that basis to the entity's key management personnel.

Interest rate risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market rates of interest.

Liquidity risk

The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities that are to be settled by delivering cash or other financial assets.

Market risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises currency risk, interest rate risk and other price risk.

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

FINANCIAL INSTRUMENTS (continued)

Monetary items

Units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

Other price risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate or currency risk), whether those changes are caused by factors specific to the instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

Regular way purchase or sale

A purchase or sale of a financial asset under a contract whose terms require delivery of the asset within the time frame established generally by regulation or convention in the marketplace concerned.

Write-off

Derecognition of an account from the statement of financial position where such account is assessed to have no reasonable expectation of recovery based on the Group's behavioural credit risk models and policy rules. Written-off accounts are reported to credit bureaux in accordance with the requirements of the NCA.

LEASES

Dismantling or dilapidation costs

Costs to dismantle stores, and return the premises to their original condition, at the end of the lease term as required by the terms and conditions of the lease.

Fixed lease payments

Payments made by a lessee to a lessor for the right to use an underlying asset during the lease term, excluding variable lease payments.

Incremental borrowing rate

The rate of interest that a lessee would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.

Initial direct costs of a lease

Incremental costs of obtaining a lease that would not have been incurred if the lease had not been obtained.

Lease

A contract or part of a contract that conveys the right to use an underlying asset for a period in exchange for a consideration.

Lease commencement date

The date on which the lessor makes an underlying asset available for use by the lessee.

Lease incentive

Payments made by a lessor to a lessee associated with a lease, or the reimbursement or assumption by a lessor of costs of a lessee.

Lease liability

Present value of future lease payments over the lease term, discounted using the lessee's relevant incremental borrowing rate.

Lease modification

A change in the scope of the lease, or the consideration for a lease that was not part of the original terms and conditions of the lease.

Lease term

The non-cancellable period of the lease, taking into account options to extend or terminate the lease period if such options are reasonably certain to be exercised.

Lessee

An entity that obtains the right to use an underlying asset for a period of time in exchange for consideration.

Lessor

An entity that provides the right to use an underlying asset for a period of time in exchange for consideration.

ANNEXURE FOUR GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

GLOSSARY OF FINANCIAL REPORTING TERMS (continued)

LEASES (continued)

Low value asset

An asset whose value for a new asset of the same kind is considered to be low and both of the following requirements are met: the lessee can benefit from the use of the asset on its own, or together with other resources, that are readily available to the lessee; and the underlying asset is not dependent on, or highly interrelated with, other assets.

Right-of-use asset

An asset that represents the lessee's right to use the underlying assets for the lease term.

Short-term lease

A lease that, at the commencement date, has a lease term of 12 months or less and does not include an option to purchase the underlying asset.

Underlying asset

An asset that is subject to a lease, for which the right-of-use asset has been provided by a lessor to a lessee.

Variable lease payment

The portion of payments made by a lessee to a lessor for the right to use an underlying asset during the lease term that varies because of the changes in facts and circumstances occurring after the commencement date, other than passage of time.

FINANCIAL RATIOS

Asset turnover

Sale of merchandise divided by total assets.

Dividend cover

Headline earnings per share divided by annual dividends declared per share.

Inventory turn

Cost of sales for the period divided by inventories on hand at the reporting date.

Net debt to EBITDA

Net debt divided by EBITDA.

Net debt to equity

Net debt divided by total equity at the reporting date.

Return on assets

Profit before finance costs and tax divided by total assets.

Return on capital

Profit before finance costs and tax attributable to equity holders of the company divided by the average of the current and prior periods' total net assets.

Return on equity

Profit for the period attributable to equity holders of the company divided by the average of the current and prior period-ends' equity.

ANNEXURE FIVE EMPLOYMENT EQUITY ACT SUMMARY (UNAUDITED)

In terms of Section 22 of the Employment Equity Act of South Africa, herewith is a summary of the Group's 2025 Employment Equity Report in respect of its operations in South Africa at 29 June 2025, required by Section 21 of the Act.

Occupational levels	Designated groups							Non-designated groups			Total 2025	Total 2024
	Male			Female				Male	Foreign			
	A	C	I	A	C	I	W	W	Male	Female		
Top management	-	-	-	-	1	1	1	6	-	-	9	10
Senior management	4	5	2	2	3	2	42	27	1	1	89	74
Professionally qualified [#]	27	45	11	37	71	18	197	81	6	9	502	562
Skilled technical ^{###}	193	80	30	692	308	54	149	30	6	6	1,548	1,462
Semi-skilled*	1,840	281	32	4,913	813	93	34	8	5	7	8,026	8,092
Total 2025	2,064	411	75	5,644	1,196	168	423	152	18	23	10,174	
Total 2024	2,047	403	82	5,716	1,169	170	420	150	19	24		10,200

A= African, C=Coloured, I=Indian, W=White

[#] Middle management

^{##} Junior management

^{*} Includes weekly flexi-time employees.

SHAREHOLDER INFORMATION

ANALYSIS OF HOLDINGS OF ORDINARY SHARES AT 29 JUNE 2025

	Number of share- holdings	%	Number of shares	%
Size of holding				
1 - 1000	5,109	68.5	1,041,682	0.3
1 001 - 10 000	1,358	18.2	4,487,997	1.1
10 001 - 100 000	618	8.3	21,533,304	5.3
100 001 - 1 000 000	295	4.0	85,539,944	20.9
Over 1 000 000	73	1.0	295,895,972	72.4
	7,453	100.0	408,498,899	100.0
Distribution of shareholders				
Unit trusts/Mutual funds			162,372,089	39.8
Pension funds			149,478,387	36.6
Other funds			85,410,788	20.9
Individuals			7,433,517	1.8
Insurance companies			3,804,118	0.9
			408,498,899	100.0
Geographical spread of holders of beneficial interests				
South Africa			284,881,645	69.7
North America			73,394,710	18.0
Europe			29,352,716	7.2
Rest of the world			15,851,382	3.9
United Kingdom			5,018,446	1.2
			408,498,899	100.0
Geographical spread of fund managers				
South Africa			301,439,769	73.8
North America			80,210,432	19.7
Europe			13,432,230	3.3
United Kingdom			9,160,043	2.2
Rest of the world			4,256,425	1.0
			408,498,899	100.0
Share type				
Dematerialised	7,090	95.1	408,108,379	99.9
Certificated	363	4.9	390,520	0.1
	7,453	100.0	408,498,899	100.0

SHAREHOLDER INFORMATION (continued)

ANALYSIS OF HOLDINGS OF ORDINARY SHARES AT 30 JUNE 2024

	Number of share- holdings	%	Number of shares	%
Size of holding				
1 - 1000	5,517	70.7	889,118	0.2
1 001 - 10 000	1,198	15.3	4,067,390	1.0
10 001 - 100 000	693	8.9	26,040,532	6.4
100 001 - 1 000 000	329	4.2	97,055,824	23.8
Over 1 000 000	68	0.9	280,446,035	68.6
	7,805	100.0	408,498,899	100.0
Distribution of shareholders				
Unit trusts/Mutual funds			171,871,281	42.1
Pension funds			149,559,712	36.6
Other funds			68,613,107	16.8
Individuals			6,207,254	1.5
Insurance companies			12,247,545	3.0
			408,498,899	100.0
Geographical spread of holders of beneficial interests				
South Africa			267,571,517	65.5
North America			85,483,579	20.9
Europe			25,780,714	6.3
Rest of the world			24,552,192	6.0
United Kingdom			5,110,897	1.3
			408,498,899	100.0
Geographical spread of fund managers				
South Africa			283,123,528	69.2
North America			93,421,922	22.9
Europe			13,430,627	3.3
United Kingdom			14,187,984	3.5
Rest of the world			4,334,838	1.1
			408,498,899	100.0
Share type				
Dematerialised	7,431	95.2	408,084,199	99.9
Certificated	374	4.8	414,700	0.1
	7,805	100.0	408,498,899	100.0

SHAREHOLDER INFORMATION (continued)

SHAREHOLDER SPREAD AT THE END OF THE PERIOD

Pursuant to the Listings Requirements of the JSE and to the best knowledge of the directors, after reasonable enquiry, the spread of shareholders at the end of the reporting period was as follows:

	Number of share- holdings	2025 Number of shares	% of issued share capital	Number of share- holdings	2024 Number of shares	% of issued share capital
NON-PUBLIC SHAREHOLDERS						
Treasury shares held by:						
Truworths Limited, held on behalf of participants in terms of the 2012 share plan:	1	8,556,550	2.1	1	9,814,374	2.4
Directors of the company and subsidiaries		2,473,325	0.6		3,393,320	0.8
Non-director participants		5,533,369	1.4		6,401,151	1.6
Other		549,856	- *		19,903	- *
Truworths Trading (Pty) Ltd	1	24,581,208	6.0	1	26,366,957	6.5
Privately owned shares held in accounts with brokers:						
Directors of the company	5	1,631,093	0.4	8	1,364,347	0.3
Associates of directors of the company	7	184,870	- *	1	82,833	- *
TOTAL NON-PUBLIC SHAREHOLDERS	14	34,953,721	8.5	11	37,628,511	9.2
PUBLIC SHAREHOLDERS	7,439	373,545,178	91.5	7,794	370,870,388	90.8
TOTAL	7,453	408,498,899	100.0	7,805	408,498,899	100.0

*Zero due to rounding.

SHAREHOLDER INFORMATION (continued)

HOLDERS OF MAJOR BENEFICIAL INTERESTS IN SHARES

According to the company's register of disclosures of beneficial interests made by registered shareholders acting in a nominee capacity, and the disclosures made by fund managers in terms of section 56 of the Companies Act (71 of 2008, as amended), the following juristic persons had beneficial interests in excess of 3% of the company's shares at the reporting date:

	Country	2025		2024	
		Number of shares	% of issued capital	Number of shares	% of issued capital
Government Employees Pension Fund	South Africa	87,993,401	21.5	83,921,561	20.5
Truworths International Limited	South Africa	24,581,208	6.0	26,366,957	6.5
Standard Bank [#]	South Africa	20,382,560	5.0	-	-
Westwood Global Investments LLC	United States of America	19,521,392	4.8	27,641,062	6.8
Norges Bank Investment Management [#]	Norway	18,599,555	4.6	-	-
Old Mutual	South Africa	16,473,368	4.0	28,029,240	6.9
The Vanguard Group Inc.	United States of America	14,653,967	3.6	14,024,285	3.4

* Not a juristic person with a beneficial interest greater than 3% in the company's shares at the reporting date.

[#] Not a juristic person with a beneficial interest greater than 3% in the company's shares at the prior reporting date

MAJOR FUND MANAGERS

According to the disclosures made by nominee and asset management companies in terms of section 56 of the Companies Act (71 of 2008, as amended), the following fund managers administered portfolios (including those of the holders of major beneficial interests above) in excess of 3% of the company's shares at the end of the reporting period:

	Country	2025		2024	
		Number of shares	% of issued capital	Number of shares	% of issued capital
Public Investment Corporation	South Africa	77,180,224	18.9	69,681,480	17.1
Westwood Global Investment LLC	United States of America	28,324,409	6.9	28,965,547	7.1
Fairtree Asset Management	South Africa	24,749,240	6.1	16,600,695	4.1
Old Mutual Investment Group	South Africa	18,825,755	4.6	33,932,208	8.3
SBG Securities [#]	South Africa	18,270,441	4.5	-	-
Sanlam Investments	South Africa	16,042,601	3.9	20,430,457	5.0
Vanguard Global Advisors	United States of America	14,653,967	3.6	14,024,285	3.4
Abax Investments [#]	South Africa	13,063,019	3.2	-	-
Ninety One*	South Africa	-	-	36,208,719	8.9
BlackRock*	United States of America	-	-	12,280,212	3.0

* Not a fund manager administering portfolios in excess of 3% of the company's shares at the reporting date.

[#] Not a fund manager administering portfolios in excess of 3% of the company's shares at the prior reporting date.

PRO FORMA INFORMATION

Basis of preparation

Non-IFRS financial information

The Group's prior period earnings were enhanced by the following once-off events/transactions, making the prior period reported figures less comparable to the current period (and hence the *pro forma* adjustments):

- a trademark impairment reversal in relation to the Office UK trademark (R1 019 million);
- a net right of use asset impairment reversal (R122 million), while in the current period the Group's earnings included a net right-of-use asset impairment of R17 million which was also adjusted for consistency and alignment between the two periods;
- insurance recoveries in Office UK (R20 million) in relation to prior period claims resulting from a burglary at the distribution centre; and
- a reduction in other operating costs (R123 million) resulting from the consolidation of the Group's charitable trusts for the first time.

The *pro forma* financial information:

- has been prepared for illustrative purposes only, and because of its nature, may not fairly represent the Group's financial position, changes in equity, results of operations or cash flows;
- is based on the audited financial information of the Group as at and for the 52-week period ended 29 June 2025; and
- is presented in accordance with the JSE Listings Requirements and the SAICA Guide on *Pro Forma* Financial Information, where applicable.

The directors of the company are responsible for the *pro forma* financial information included in these Annual Financial Statements.

Deloitte's independent auditor's assurance report on the compilation of pro forma financial information is included on page 152.

PRO FORMA INFORMATION (continued)

	Reported 52 weeks to 29 Jun 2025	Pro forma adjustments	Pro forma 52 weeks to 29 Jun 2025	Reported 52 weeks to 30 Jun 2024	Pro forma adjustments	Pro forma 52 weeks to 30 Jun 2024	Change on prior period 52 on 52 weeks Reported	Change on prior period 52 on 52 weeks Pro forma
	Audited Rm	Rm	Rm	Audited Rm	Rm	Rm	%	%
STATEMENTS OF COMPREHENSIVE INCOME								
Sale of merchandise	21,323	-	21,323	20,664	-	20,664	3	3
Cost of sales	(10,389)	-	(10,389)	(9,859)	-	(9,859)	5	5
Gross profit	10,934	-	10,934	10,805	-	10,805	1	1
Other income	405	(18)	387	562	(154)	408	(28)	(5)
Intangible asset impairment reversal	-	-	-	1,019	(1,019)	-	(100)	-
Trading expenses	(8,447)	35	(8,412)	(8,168)	(111)	(8,279)	3	2
Depreciation and amortisation	(1,500)	-	(1,500)	(1,475)	-	(1,475)	2	2
Employment costs	(2,771)	-	(2,771)	(2,718)	-	(2,718)	2	2
Occupancy costs	(1,145)	-	(1,145)	(1,072)	-	(1,072)	7	7
Trade receivable costs	(1,260)	-	(1,260)	(1,310)	-	(1,310)	(4)	(4)
Net bad debt and expected credit loss allowances raised	(1,164)	-	(1,164)	(1,168)	-	(1,168)	-	-
Other trade receivable costs	(96)	-	(96)	(142)	-	(142)	(32)	(32)
Other operating costs	(1,771)	35	(1,736)	(1,593)	(111)	(1,704)	11	2
Trading profit	2,892	17	2,909	4,218	(1,284)	2,934	(31)	(1)
Interest income	1,351	-	1,351	1,388	-	1,388	(3)	(3)
Dividend income	31	-	31	25	-	25	24	24
Profit before finance costs and tax	4,274	17	4,291	5,631	(1,284)	4,347	(24)	(1)
Finance costs	(525)	-	(525)	(476)	-	(476)	10	10
Profit before tax	3,749	17	3,766	5,155	(1,284)	3,871	(27)	(3)
Tax expense	(953)	(5)	(958)	(1,255)	291	(964)	(24)	(1)
Profit for the period	2,796	12	2,808	3,900	(993)	2,907	(28)	(3)
Attributable to:								
Equity holders of the company	2,790	12	2,802	3,887	(988)	2,899	(28)	(3)
Holders of the non-controlling interest	6	-	6	13	(5)	8	(54)	(25)

PRO FORMA INFORMATION (continued)

		Reported 52 weeks to 29 Jun 2025	Pro forma adjustments	Pro forma 52 weeks to 29 Jun 2025	Reported 52 weeks to 30 Jun 2024	Pro forma adjustments	Pro forma 52 weeks to 30 Jun 2024	Change on prior period 52 on 52 weeks Reported	Change on prior period 52 on 52 weeks Pro forma
		Audited			Audited			%	%
Basic earnings per share	(cents)	745.2	3.2	748.4	1,046.9	(266.1)	780.8	(29)	(4)
Headline earnings per share	(cents)	752.1	-	752.1	817.9	(37.1)	780.8	(8)	(4)
Diluted basic earnings per share	(cents)	736.5	3.2	739.7	1,031.3	(262.1)	769.2	(29)	(4)
Diluted headline earnings per share	(cents)	743.4	-	743.4	805.8	(36.6)	769.2	(8)	(3)
Weighted average number of shares in issue	(millions)	374.4	-	374.4	371.3		371.3		
Diluted weighted average number of shares in issue	(millions)	378.8	-	378.8	376.9		376.9		
Key ratios									
Gross margin	(%)	51.3		51.3	52.3		52.3		
Trading expenses to sale of merchandise	(%)	39.6		39.5	39.5		40.1		
Trading margin	(%)	13.6		13.6	20.4		14.2		
Operating margin	(%)	20.0		20.1	27.3		21.0		

PRO FORMA INFORMATION (continued)

	Reported 52 weeks to 29 Jun 2025	Pro forma adjustments	Pro forma 52 weeks to 29 Jun 2025	Reported 52 weeks to 30 Jun 2024	Pro forma adjustments	Pro forma 52 weeks to 30 Jun 2024
	Audited Rm	Rm	Rm	Audited Rm	Rm	Rm
RECONCILIATION OF PROFIT FOR THE PERIOD TO HEADLINE EARNINGS						
Profit for the period, attributable to equity holders of the company	2,790	12	2,802	3,887	(988)	2,899
Adjusted for:						
Net impairment/(impairment reversal) of right-of-use assets	17	(17)	-	(121)	121	-
Tax in relation to net (impairment)/impairment reversal of right-of-use assets	(5)	5	-	30	(30)	-
Loss on write-off of intangible assets	15	-	15	7	-	7
Tax on loss on write-off of intangible assets	(4)	-	(4)	(2)	-	(2)
Impairment/(impairment reversal) of property, plant and equipment	3	-	3	(7)	-	(7)
Tax in relation to (impairment)/impairment reversal of impairment of property, plant and equipment	(1)	-	(1)	2	-	2
Loss on write-off or disposal of plant and equipment	1	-	1	-	-	-
Tax on loss on write-off or disposal of plant and equipment*	-	-	-	-	-	-
Impairment reversal of trademarks	-	-	-	(1,012)	1,012	-
Tax in relation to impairment reversal of trademarks	-	-	-	253	(253)	-
Headline earnings	2,816	-	2,816	3,037	(138)	2,899

*Zero due to rounding.

PRO FORMA INFORMATION (continued)

Notes:

1. The accounting policies adopted by the Group in the 2025 audited annual financial statements, which have been prepared in accordance with IFRS Accounting Standards, have been used in preparing the pro forma financial information.
2. The 'Reported 52 weeks to 29 June 2025' column is the audited results for the current 52-week period ended 29 June 2025, which information has been extracted without adjustment from the audited statement of comprehensive income included in the 2025 Group statements of comprehensive income.
3. The amounts in the 2025 'Pro forma adjustments' column relate to the net right-of-use asset impairments (R35 million impairment accounted for in other operating costs and R18 million impairment reversal accounted for in other income), and their impact on trading profit, profit before finance costs and tax, profit before tax, the resultant tax impact and profit for the period.
4. The 'Pro forma 52 weeks to 29 June 2025' column is the adjusted 52-week financial information, after making the adjustments in the 'Pro forma adjustments' column to the 'Reported 52 weeks to 29 June 2025' column.
5. The 'Reported 52 weeks to 30 June 2024' column is the audited results for the 52-week prior period ended 30 June 2024, which information has been extracted without adjustment from the audited statement of comprehensive income included in the 2024 Group statements of comprehensive income.
6. The amounts in the 2024 'Pro forma adjustments' column relate to the partial reversal of previously recognised impairments in relation to the Office UK trademarks (R1 019 million), insurance recoveries received as a result of burglary at the Office UK DC (R20 million), net right-of-use asset impairment reversals (R12 million impairment accounted for in other operating costs and R134 million impairment reversal accounted for in other income), a reduction in other operating costs (R123 million) as a result of the consolidation of the charitable trusts for the first time, and their impact on trading profit, profit before finance costs and tax, profit before tax, the resultant tax impact and profit for the period.
7. The 'Pro forma 52 weeks to 30 June 2024' column is the adjusted 52-week financial information, after making the adjustments in the 'Pro forma adjustments' column to the 'Reported 52 weeks to 30 June 2024' column.
8. The relevant amounts for the 2025 and 2024 'Pro forma adjustments' have been extracted from the Group's accounting records.
9. The calculation of earnings per share and headline earnings per share for the relevant periods is based on the weighted average number of shares in issue over those periods.
10. The amounts in the 'Pro forma adjustments' column are not expected to have a continuing effect on the Group's Statement of Comprehensive Income.

INDEPENDENT AUDITOR'S ASSURANCE REPORT ON THE COMPILATION OF PRO FORMA FINANCIAL INFORMATION INCLUDED IN THE GROUP ANNUAL FINANCIAL STATEMENTS FOR TRUWORTHS INTERNATIONAL LIMITED ("THE GROUP") FOR THE YEAR ENDED 29 June 2025

To the Directors of Truworths International Limited
No.1 Mostert Street
Cape Town
8001

Dear Sirs

Report on the Assurance Engagement on the Compilation of Pro Forma Financial Information Included in the Group Annual Financial Statements for Truworths International Limited ("the Group") for the year ended 29 June 2025

We have completed our assurance engagement to report on the compilation of pro forma financial information of Truworths International Limited by the directors. The pro forma financial information, as set out in pages 147 to 151 in the Group Annual Financial Statements for Truworths International Ltd for the year ended 29 June 2025 dated on 28 August 2025, consists of certain once-off adjustments which constitute non-IFRS information ("pro forma financial information") included in said Group Annual Financial Statements.

The pro forma financial information has been compiled on the basis of the applicable criteria specified in the JSE Limited (JSE) Listings Requirements and described in the pro forma financial information.

The pro forma financial information has been prepared by the directors to illustrate the impact of the below adjustments on the Group's performance for the 52-week period ended 29 June 2025 (the current period) and the comparatives for the same prior year period.

The Group's earnings for the 52-week period ended 29 June 2025 (the current period) were impacted by:

- a net right-of-use asset impairment (R17 million).

In addition, the Group's earnings for the 52-week prior period ended 30 June 2024 (the prior period or 2024) were enhanced by:

- a trademark impairment reversal in relation to the Office trademark (R1 019 million),
- a net right-of-use asset impairment reversal (R122 million),
- insurance recoveries in Office (R20 million) in relation to prior period claims resulting from a burglary at the distribution centre, and
- a reduction in other operating costs (R123 million) resulting from the consolidation of the Group's charitable trusts for the first time.

The above adjustments have been derived from the detailed pro forma schedule prepared by management, with reference to the audited Annual Financial Statements and the pro forma financial information included in the Group Annual Financial Statements for the year ended 29 June 2025.

As part of this process, information about the Group's financial position and financial performance has been extracted by the directors from the company's audited financial statements for the period ended 29 June 2025, on which an auditor's report was issued on 28 August 2025 and which contained an unmodified opinion.



Managing Partner: ML Tshabalala

A full list of partners and directors is available on request

B-BBEE rating: Level 1 contribution in terms of the DTI Generic Scorecard as per the amended Codes of Good Practice

Associate of Deloitte Africa, a Member of Deloitte Touche Tohmatsu Limited

Directors' Responsibility for the Pro Forma Financial Information

The directors are responsible for compiling the pro forma financial information on the basis of the applicable criteria specified in the JSE Listings Requirements and described in the pro forma financial information.

Our Independence and Quality Management

We have complied with the independence and other ethical requirements of the Code of Professional Conduct for Registered Auditors issued by the Independent Regulatory Board for Auditors (IRBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards).

The firm applies the International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements, which requires the firm to design, implement and operate a system of quality management, including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Auditor's Responsibility

Our responsibility is to express an opinion about whether the pro forma financial information has been compiled, in all material respects, by the directors on the basis specified in the JSE Listings Requirements based on our procedures performed.

We conducted our engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3420, *Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus* which is applicable to an engagement of this nature. This standard requires that we comply with ethical requirements and plan and perform our procedures to obtain reasonable assurance about whether the pro forma financial information has been compiled, in all material respects, on the basis specified in the JSE Listings Requirements.

For purposes of this engagement, we are not responsible for updating or reissuing any reports or opinions on any historical financial information used in compiling the pro forma financial information, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the pro forma financial information.

The purpose of the pro forma financial information is solely to illustrate the impact of aforementioned adjustments on the Group's performance for the year ended 29 June 2025 as well as the comparatives for the same prior year period. We do not provide any assurance that the actual results for the year ended 29 June 2025 would have been as presented.

A reasonable assurance engagement to report on whether the pro forma financial information has been compiled, in all material respects, on the basis of the applicable criteria involves performing procedures to assess whether the applicable criteria used in the compilation of the pro forma financial information provides a reasonable basis for presenting the significant effects directly attributable to the corporate action or event, and to obtain sufficient appropriate evidence about whether:

- The related pro forma adjustments give appropriate effect to those criteria; and
- The pro forma financial information reflects the proper application of those adjustments to the unadjusted financial information.

Our procedures selected depend on our judgment, having regard to our understanding of the nature of the company, the corporate action or event in respect of which the pro forma financial information has been compiled, and other relevant engagement circumstances.

Our engagement also involves evaluating the overall presentation of the pro forma financial information.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the pro forma financial information has been compiled, in all material respects, on the basis of the applicable criteria specified by the JSE Listings Requirements and described in the pro forma financial information.

Signed by:
 *Deloitte & Touche*
39364DFBEA364F5...

Deloitte & Touche
Registered Auditors

Per: Jolandi Grace
Partner
28 August 2025

5 Magwa Crescent
Midrand
Johannesburg 2090
South Africa